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Belgium

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OECD ECONOMIC SURVEYS

2000-2001

BELGIUM

OECD

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BASIC STATISTICS OF BELGIUM (1999)

THE LAND

Area (1 000 km^2)	30.5
Agricultural area (1 000 km^2)	13.4

Major urban areas (thousand inhabitants, 31.12.99):	
Brussels	959.3
Antwerp	932.1
Liège	585.7
Ghent	495.4

THE PEOPLE

Population (thousands 31.12.99)	10 239
Inhabitants per km^2	336
Net natural increase (31.12.99)	26 092
Net migration	17 527

Total labour force (thousands)	4 274
Total domestic employment (thousands):	3 851
Agriculture	81
Industry and construction	914
Other	2 856

THE PRODUCTION

Gross domestic product (billion BF)	9 423
Gross domestic product per head (US$)	24 308
Gross fixed investment:	
Per cent of GDP	21.3
Per head (US$)	5 182

Gross domestic product by origin, at market prices (per cent):	
Agriculture	1.4
Industry and energy	21.6
Construction	5.0
Other	72.1

THE GOVERNMENT

General government (per cent of GDP):	
Current expenditure	46.9
Current revenue	47.2
Gross debt	115.9

Composition of the House of Representatives (number of seats):	
Liberals	41
Socialists	33
Christian-socials	32
Ecologists	20
Others	24
	150

Last election: 13.6.1999

FOREIGN TRADE

Exports of goods and services (per cent of GDP)	76.5
Main exports (per cent of total), SITC, Rev. 3:	
Iron on steel products (67 + 68)	6.4
Chemical products (5)	19.1
Machinery and equipment (71 to 77)	14.4
Textile products (65)	3.7
Transport equipment (78 + 79)	14.5

Imports of goods and services (per cent of GDP)	72.8
Main imports (per cent of total), SITC, Rev. 3:	
Iron on steel products (67 + 68)	4.6
Chemical products (5)	16.3
Machinery and equipment (71 to 77)	18.3
Textile products (65)	2.3
Transport equipment (78 + 79)	12.8
Energy (3)	5.9

THE CURRENCY

Irrevocable conversion rate	40.3399

Currency units of euro per US$, average of daily figures:	
Year 2000	1.1108
December 2000	1.0851

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Belgium by the Economic and Development Review Committee on 13 December 2000.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 11 January 2001.

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The previous Survey of Belgium was issued in January 1999.

Assessment and recommendations

A broadly based recovery improves labour market conditions…

Since 1997 real GDP growth has been at or above potential with the expansion being broadly based on domestic demand and exports. While there was a temporary slowdown in 1998/99 following the Asian and Russian crises, the Belgian economy quickly regained momentum. The revival of private consumption has continued with improving consumer confidence and a positive outlook for the labour market. For the first time in a number of years growth has been strong enough to bring down unemployment, while the supply side of the economy has been flexible enough to meet the growing demand without overheating pressures. Strong business fixed investment has helped to avoid supply side bottlenecks by shifting the capacity frontiers outward. The current account surplus has remained significantly positive, as it has been for several years. Meanwhile the general government budget deficit has been virtually erased, and while the general government debt remains above 100 per cent of GDP, the downward trend of this ratio has accelerated considerably in recent years.

… without inflationary tensions so far

Unlike earlier business cycles, the wage-price performance has remained free of tensions during this upswing. Real wages have increased less than productivity and unit labour costs have even remained stable due to a decline in social security taxes. More recently consumer price increases have risen due to the oil price shock and the weak euro. However, contrary to events following the last oil price shock in 1989-91, wage demands have not yet reflected a change of behaviour on the side of social partners, who continue to put considerable emphasis on maintaining external competitiveness. A special price index,

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the so-called "health index" (excluding most energy items, tobacco and alcohol), has been used for indexation since 1994, which, to a large extent, avoids the automatic spillover of terms of trade losses due to higher oil prices into domestic wages.

High oil prices and a tighter monetary policy will moderate real GDP growth, but the outlook remains favourable

The high oil prices and less accommodating monetary conditions in the euro area are likely to lead to a decline of Belgian export market growth, and this should feed through into somewhat slower overall growth of the Belgian economy. After peaking in 2000 at 3¾ per cent, real growth is projected to ease to 3.1 per cent in 2001 and 2.9 per cent in 2002, which would be a more sustainable rate. Consumer confidence will continue to be boosted by the improving labour market conditions as evidenced by increasing employment and vacancies. Private consumption may, therefore, grow in line with real disposable income, which will continue to be boosted by further tax cuts. Hence, the savings rate is likely to remain at a level which is considerably lower than in 1991-95, but substantially higher than in other EU countries on average. Investors and the business community welcome the renewed political commitment to continue fiscal consolidation and look forward to a series of growth enhancing supply side reforms. Consequently, while decelerating somewhat, business fixed investment is expected to remain relatively dynamic. With economic growth somewhat above the potential growth rate, the output gap would be closed in 2002 with the unemployment rate approaching the estimated structural rate, which may fall to just below 7½ per cent. The major risks and uncertainties concern, first, the spillover of the inflation hike to wage demands in the context of a tightening labour market – especially in the case of a further acceleration of import price increases – and secondly, a stronger than projected decline of export market growth.

The euro area monetary conditions may tighten somewhat

Although the ECB has increased its policy interest rates in several steps by 2¼ percentage points, overall monetary conditions in Belgium have been accommodative, because of the considerable real depreciation of the euro since its introduction. Over the projection period until 2002 the OECD Secretariat assessment is that a further modest

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increase in policy-controlled interest rates will be required to contain inflation risks in the euro area. Hence, monetary conditions in Belgium are likely to become somewhat less supportive of growth, which would seem appropriate in the circumstance.

Fiscal consolidation must be pursued to further reduce the still high debt to GDP ratio…

The 2001 Budget and the Stability Programme for 2001-05 set targets for the general government budget surplus to rise from 0.2 per cent of GDP in 2001 to 0.7 per cent in 2005, with the debt to GDP ratio falling from 106 per cent in 2001 to less than 90 per cent in 2005. Under prudent macroeconomic assumptions – notably, an average annual rate of growth of real GDP of 2½ per cent – the government estimates that these budget targets can be met, while at the same time providing scope (*marges budgétaires*) for additional policy measures of 0.2 per cent of GDP in 2001, rising to 1.3 per cent by 2005. The small 2001 margin has been used in the 2001 Budget to finance a reduction in the fiscal burden and an increase in health care and other social security spending. A rate of growth of real GDP above the assumed 2½ per cent would, of course, create additional margins, which the government has indicated would be used primarily, but not exclusively, to accelerate the reduction of public debt. It would be advisable that, to the extent that the additional margins are not used for debt reduction, they should be reserved for the financing of the envisaged tax reform (see below).

… and create room for an income tax reform aimed at reducing replacement rates and making wage moderation more acceptable through an increase in disposable income

As regards the budgetary margins for the 2002-05 period, the government intends to use them for financing an ambitious social and economic programme including an income tax reform. Moreover, a Fund for Population Ageing (F*onds de vieillissement*) will be created. It will be financed by the proceeds of privatisations (including the sale of UMTS licenses, which is scheduled to take place in early 2001), and, possibly, surpluses in the social security system and part of budget surpluses. To the extent that the Fund will invest and accumulate reserves, it will contribute to an accelerated reduction of the net public debt. The tax reform has been stretched out over a longer period (2001-04) than originally intended. As outlined by the government, it will represent a tax cut of BF 135 billion (or a little over 1 per cent of GDP).

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Its primary aim is to alleviate the tax burden on labour income, especially on lower wage incomes, thereby increasing disposable income with two effects: first, a reduction in replacement rates to encourage some of the many benefit recipients not in employment to join (or rejoin) the active labour force; and second, making continued wage moderation more acceptable. But to avoid an inflationary easing of fiscal policy, it will be necessary to restrain growth in public expenditures, giving the priority to those which increase the supply side elasticity of the economy, even if this may imply difficult choices. With these qualifications, the proposed income tax reform is highly welcome as a way to redress incentives to work and cement the still fragile culture of wage moderation as a result of a free bargaining process between the social partners.

Improved public expenditure targeting is a further challenge

Fiscal consolidation has to go hand in hand with structural changes in government expenditures and revenues, so as to progressively reduce the many distortions of high taxes and expenditures. The share of government expenditures on the federal, regional and local level in Belgium is among the highest in the OECD area. Consequently Belgian tax rates – predominantly on labour income – are also above the average European level. The high tax wedge both distorts labour supply decisions and introduces a bias against labour (and skill) intensive technologies. If the government intends to continue with its programme of cutting taxes then – in view of increased spending requirements inevitably associated with ageing – it seems clear that general spending programmes will need to be more and more contained through tighter targeting. An example of the difficulties in this area is provided by the renewed increase in public sector health expenditures. The slowdown of health cost expansion in earlier years turned out to be difficult to sustain. Led by strong increases of expenditures for pharmaceuticals, 1999 again saw a major cost overrun of public expenditures on health. It seems that relying on administrative measures and the goodwill of involved groups may not be sufficient. Hence, over the longer term, unless the country is willing to spend a growing proportion of its resources on health care, it will be necessary to consider additional measures to increase efficiency and restrain expenditure.

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Labour market performance has improved for cyclical reasons, but also as a result of government policies...

The Belgian labour market is still burdened with serious weaknesses inherited from the past. Low employment rates coincide with high tax wedges and benefit replacement rates. The incidence of long term unemployment was above 60 per cent in 1999 and about two-thirds of public spending on labour market measures is accounted for by passive measures, which is relatively high by international comparison. Furthermore significant regional unemployment rate differentials, both within and among the three regions, are symptomatic of very low labour mobility. While there is some evidence of increased responsiveness of relative wages across different sectors, low geographical mobility and the concentration of unemployment on the low skilled suggest that the degree of wage differentiation across regions and occupations still seems to be insufficient. The recent turnaround on the Belgian labour market – which is primarily cyclical – is supporting the efforts of the authorities to increase labour force participation. The measures include general and targeted reductions of social security taxation and voluntary framework agreements with the social partners. This strategy seems already to be paying off: employers have considerably increased their vocational training efforts for employees in exchange for a general reduction of social security taxes. To further increase wage flexibility at the microeconomic level, the use of "opening clauses" or equivalent arrangements should be encouraged, along with the introduction of bottom sectoral wage scales closer to the statutory minimum wage level, and wider exceptions to the minimum wage level for various target groups. Moreover, a further relaxation of restrictions on temporary work would increase labour market flexibility in general.

... but wage rigidities and adverse labour market incentives remain an issue

The government is relying on a wide variety of active and passive measures in dealing with people out of labour force. To some extent the measures suffer from a complicated institutional split of responsibilities. A prime example is the policy towards unemployed, where the administration of unemployment benefits is under federal control and job seeking assistance is under regional control. The reluctance on the side of regional authorities to enforce conditions for programme participation, which hit the local population, may have been partly due to the inflexibility of sanctions,

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which could not be used in a discretionary way. Hence, the recent modifications of the rules so that benefit sanctions correspond better to the nature of non-compliance with entitlement rules are welcome. Higher participation would however include a consistent and credible enforcement of benefit entitlement restrictions, and such enforcement would also tend over time to support increased wage responsiveness and labour mobility, particularly if at the same time there emerged a greater role for individual firm level profitability in wage negotiations. As regards active labour market measures, the recently-introduced "First Job Programme" is welcome since it has a preventive role and it can be adapted to local conditions. However, the "*plan d'accompagnement des chômeurs*" should be extended to persons above 46, thereby meeting a request of the social partners to step up reintegration efforts. Although reducing social security taxes for target groups may be a powerful instrument, in Belgium the very large number of such initiatives and, more generally, of labour market measures may be confusing for both employers and employees, and may hinder their effectiveness. An effort of consolidation and streamlining of these programmes has already started: it should be continued and stepped up.

The government is considering incentives to encourage more flexible work arrangements

In order to achieve a more flexible organisation of working time, the government is considering to provide incentives to encourage arrangements agreed by the social partners to reduce the work week either through a voluntary four-day work week or a general system of career breaks equivalent to a one-fifth reduction in working time. Details on these programmes have not yet been fully spelled out, but there are risks that these measures would not only have a budget cost, but could, if not carefully designed, unduly reduce the effective labour supply.

Improving competition in product markets should enhance benefits from global integration

In Belgium, product markets and especially the services sectors are areas where reform and increased competition could significantly enhance job creation, thereby facilitating efforts to make the labour market more flexible. Over the past few years, policy efforts in this area have mainly focused on responding to EU guidelines and recommendations. For the period ahead, the federal government and the

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regional governments have presented a very comprehensive programme aiming at improving the functioning and efficiency of markets through a better regulatory framework, a reform of certain sectors, and measures to facilitate market access for small- and medium-sized enterprises.

Belgium has a comprehensive competition legislation but the institutions in charge of implementing it seem understaffed

Although Belgium has had a strict and comprehensive competition legislation since 1993, its implementation has been hampered by the understaffing of the Competition Council and the Competition Services. The Act on the protection of economic competition was amended in July 1999 to create more positions in these two institutions. In addition, the market share threshold for notifying mergers has been abolished and only turnover thresholds have been retained. Following this amendment, activities regarding mergers and acquisitions have declined sharply. In the area of anti-competitive practices, most of the cases submitted by the Competition Service to the Council deal primarily with abuses of dominant position. It is to be hoped that the Competition Service and the Competition Council will soon have the necessary staff and resources to allow them to perform their statutory role in the implementation of the Competition Act. This could create a general climate of greater competition and dynamism in the economy with important synergy effects.

While the liberalisation process is well advanced in certain sectors, it is lagging and it should be accelerated in others, such as the electricity sector

The introduction of market forces and market discipline in a number of former public utilities has mainly been driven by EU policies to open these markets for competition, and has generally taken the form of transposing EC directives into Belgian law. The liberalisation process has been quite rapid and has achieved important results in the telecommunication sector and some others, such as air transport and parts of the postal sector, but has lagged in others including rail transport. As regards the very important electricity sector initial reforms have been undertaken, but much remains to be done. Hence, the new government intends to accelerate the liberalisation process in this sector to bring Belgium in line with its main trading partners and to ensure that consumers will benefit from lower prices and a better service. More specifically the government is rightly aiming at creating a clearer distinction between production,

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transmission, and distribution of electricity, with the regulation of the transmission network in the hand of an independent regulatory body. Currently Electrabel (a private company with a small participation of the public sector) accounts for the bulk of the production of electricity, and indirectly controls also its transmission and a large share of its distribution. The restructuring of this company remains a challenge.

The authorities have increased their attention to environmental issues and have launched sustainable development plans, but implementation will be difficult because of a complicated institutional structure…

The special chapter on encouraging environmentally sustainable growth illustrates some key issues in environmental policy using examples from the three regions. One important theme running through the discussion is the difficulties caused by the complexity of the institutional structure and the consequent need for a high degree of co-ordination and co-operation. In the past couple of years, both the regions and the federal government have launched initiatives for sustainable development, including long-term considerations of the development of the environment, economy and society and their potential interactions. Many aspects of environmental policy and enforcement are regional responsibilities, while tax issues are primarily a federal responsibility. Policy decisions generally require consensus between the regions and the federal government. During the period when the institutional arrangements were new and unfamiliar, achieving such consensus over problems with a potential conflict of interest between regions, as in the case of Brussels sewage and perhaps also traffic congestion in the capital, may have lengthened the decision period considerably. The comprehensive set of intergovernmental and inter-ministerial committees designed to mediate these discussions is thought to be working better now, as it faces the task of reconciling the division of responsibilit ies and powers in implementing recently developed sustainable development plans.

… as illustrated in a range of specific environmental issues

Two examples that illustrate the implications of the complex institutional structure are discussed in the following paragraphs: bathing water in Wallonia and sewage in Brussels. In both cases, translating EC directives dating from 1975 and 1991 into action has taken a great deal of time and the European Court has recently issued judgements

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against the Belgian government in both cases. Two further examples that illustrate a second important theme – that of the use of economic instruments – are addressed subsequently: reducing water pollution from agriculture in Flanders and fulfilling international commitments to reduce greenhouse gas emissions.

Water quality is an issue for surface water in Wallonia…

In Wallonia, while organised bathing zones are closed when the regional government notifies the organisers that norms of the EC directive on water quality have been violated, it seems that this is frequently not the case in other areas. Many local bathing areas are not classified as "organised" and local government administrations (with whom the responsibility for such public health issues lies) find that the costs – either the direct costs of administration and policing or the indirect costs through reduced tourism and leisure activities – are too great compared with the perceived public health risk. Without a heavy programme of investment in tertiary treatment – which is still relatively rare in most OECD countries, whereas much sewage in Wallonia still does not receive even primary treatment – this aspect of water quality is unlikely to improve rapidly. The Belgian government argued at the European Court that the water directives do not impose any obligation on member states to restrict access to polluted bathing water, an argument confirmed in the Court's recent judgement. Some explicit assessment of whether the health risks are serious enough to warrant measures to force local government to act more often, perhaps finding a way to give them an incentive to take local action to improve water treatment themselves, would be warranted nevertheless.

… for wastewater treatment in Brussels…

In the case of Brussels sewage, action has now been taken that should bring the city into line with legal requirements by 2005, with one water treatment works only about to come into operation and the result of tenders for another soon to be announced. Part of the explanation for the delay seems to have been that constitutional change and fiscal adjustment reduced the importance attached to this issue, but inadequate co-operation between the regional government of Brussels-capital, generating the pollution, and that of Flanders, receiving it, may also have been a factor. Given

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the magnitude of the problem – few people would imagine that a city of the size and importance of Brussels could be entirely without sewage treatment – it is also surprising that no domestic legal action occurred. Pressure from the EU, which eventually took action at the European Court, may have accelerated the process.

… and for ground water in Flanders

Surface and, increasingly, groundwater in Flanders is seriously affected by nutrient discharges (particularly of nitrates) due to heavy manure production from intensive livestock rearing. The authorities face a difficult trade-off: introducing and enforcing legislation compatible with water quality norms implies imposing costs on polluting activities, and possibly reducing their extent. A tax on wastewater from industry has reduced discharges from this source as enterprises have been induced to treat their wastewater; livestock farmers have had insufficient incentive to reduce their discharges. Reliance on codes of good farming practices, even though backed up by stiff fines supporting an EC directive, seems to have been insufficient. The extreme range in the new tax rates on the application of nutrients (both in animal feed and in fertiliser) in sensitive areas, could be narrowed to give more consistent incentives to reduce overall nutrient discharges, possibly using farm-by-farm nutrient flow accounts to bring the tax base closer to actual discharges. Tax credits based on a proportion of historical applications or discharges could mitigate abrupt financial shocks, while still maintaining the incentive to avoid pollution at the margin. A tradable discharge permit system with similar "grandfathering" of permit allocations would be an alternative that might meet quantitative targets more reliably.

International commitments to reduce CO_2 emissions will not be fulfilled without stronger reliance on economic instruments

As in most OECD countries, emissions of CO_2 have been rising even as governments have been agreeing to relatively ambitious targets for reducing emissions by 2008-12; little has been done so far in Belgium to meet this target. However, the recent Federal Plan for Sustainable Development envisages an energy/CO_2 tax introduced through the EU – the authorities intend to pursue this during the Belgian presidency in the second half of 2001, planning domestic action in the absence of agreement on this. Whether or not

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such a tax is introduced through the EU, the emphasis in the Plan on avoiding competitiveness effects and social costs should not allow the measure to be diluted, as it has been in a number of countries introducing a tax unilaterally. According to the OECD Secretariat, all emissions should face the same tax, perhaps with compensation for heavy emitters through a form of tax credits based on past emissions, leaving a uniform tax rate on marginal emissions without too great a financial burden on heavy emitters. A cap and trade system, with "grandfathered" emission permit allocations, would achieve a similar effect, as well as being better adapted to the quantitative nature of the Kyoto target and capable of allowing an easy link to international permit trading. In either case, the compensation schemes should be phased out over a number of years in order not to become a system of support for "incumbents". What is welcome, however, is that the authorities are considering an approach which uses economic instruments. The way in which these are implemented needs great care to ensure that they are introduced in an effective and efficient way.

Summing up

Economic performance has been rather good over the past few years. The authorities now face the challenge of moving from a robust cyclical expansion, which has largely closed the output gap, to a strong sustainable non-inflationary expansion. The key to this transition is the combination of wage moderation and a lower tax burden. A "virtuous circle" of improved international competitiveness, high profits, strong investment, rapid job creation and solid consumer confidence could set in. This would enhance fiscal consolidation and create the room for manoeuvre for further tax cuts, thereby boosting disposable income and making wage moderation more acceptable. The planned personal income tax reform is a step in this direction. The likelihood of such a virtuous circle occurring depends crucially on continuing and stepping up other supply side efforts to "activate", at least in part, the still large pool of working-age benefit recipients not in employment. Progress along these lines can be expected to reduce somewhat the geographical differences in labour market conditions, but more should be done to target labour market measures to specific local conditions, as the authorities have already started to do. Government efforts in

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various other areas, such as increasing competition and market liberalisation, promoting regulatory reform and administrative simplification, and curbing health care expenditure also need to be pursued. As regards environmentally sustainable growth, this issue is now widely discussed and the federal government has launched a comprehensive plan for sustainable development. Fulfilling international commitments, including EC directives, is the major driving force behind environmental policy. But to date little use has been made of economic instruments, as for instance in reducing CO_2 emissions or groundwater pollution from agriculture. Increasing the public awareness of such issues may allow for a more effective enforcement of environmental targets through the application of economic instruments, like a properly adjusted CO_2 tax. These challenges can be dealt with more easily and more efficiently if the economy is also adaptable and growth is strong. Hence the important progress in structural reform needs to be continued and macroeconomic policies must also be geared to providing the right conditions for maintaining the recent period of sustained non-inflationary growth.

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I. Recent trends and prospects

Overview

The macroeconomic performance of the Belgian economy has remained rather good over the past several years, continuing the upturn which started in 1997. After a temporary slowdown in late 1998 and early 1999, economic activity picked up strongly in the second half of that year and remained robust in the first half of 2000. Despite a loss of buoyancy in the second half, real GDP growth may have been of the order of 3¾ per cent for the year 2000 as a whole. The expansion has been broadly based, with private consumption and business fixed investment joining exports as the driving force. Although in its fourth year at, or above, potential growth, the expansion has remained relatively free of tensions. Productivity gains, wage moderation and cuts in employer's social security contributions have kept labour costs virtually stable. The recent pick-up in inflation has essentially reflected external factors, *i.e.* the increase in the price of imported goods as a result of the depreciation of the euro and the surge in oil prices. Another encouraging feature of this cycle has been the progressive improvement in labour market conditions, with robust job creation and a steady decline in unemployment. These relatively favourable trends are expected to continue over the next two years, even though, real GDP growth may progressively decline to around 3 per cent in 2002, in line with developments in the euro area as a whole. Inflation may start abating in 2001, and decline further in 2002. However, there is a risk that wage moderation might be less effective than expected, and that the sustainability of the expansion might thereby be jeopardised. There is also a risk that exports might be weaker if the slowdown in foreign markets is more pronounced than projected.

A broadly based expansion...

Real GDP growth is estimated to have been around 3¾ per cent in 2000, compared with 2.7 per cent in 1999 (Table 1). The economy has entered its fifth successive year of growth at, or above, potential (estimated by the OECD Secretariat at around 2½ per cent), and the estimated output gap, may have been nearly closed. The increase in growth in 2000 seems to have been accounted for by more buoyant exports as well as stronger domestic demand, as a pickup in private

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Table 1. **Macroeconomic performance at a glance**

	Belgium						EU[1]
	1996	1997	1998	1999	2000[2]	Average 1997-00	Average 1997-00
	Year-on-year percentage changes						
Real final domestic demand	1.1	2.6	3.2	2.9	2.6	2.8	2.9
Real total domestic demand	0.9	2.6	3.9	2.1	2.7	2.8	3.0
Net exports[3]	0.3	0.9	–1.2	0.7	1.2	0.4	–0.1
Real GDP	1.2	3.4	2.4	2.7	3.8	3.1	2.8
Inflation[4]	2.2	1.6	1.0	1.2	2.6	1.6	1.8
Total employment	0.4	0.8	1.2	0.9	1.5	1.1	1.5
	Per cent						
Employment rate[5]	56.4	56.8	57.5	57.9	58.8	57.7	62.4
Unemployment rate[6]	9.7	9.4	9.5	9.0	8.5[7]	9.0	9.4
General government balance – actual (% of GDP)	–3.8	–1.9	–0.9	–0.7	–0.1	–0.9	–1.1
General government balance – cyclically adjusted (% of potential GDP)	–1.6	–0.5	0.3	0.4	0.3	0.1	–0.7

1. Except for the total employment, weighted average using the method described in the *Economic Outlook*.
2. Estimates, unless otherwise indicated.
3. Contribution to real GDP growth.
4. Private consumption deflator.
5. As a per cent of working age population.
6. Standardised unemployment rate.
7. Actual figure.

Source: OECD.

consumption and private residential investment combined with a phase of restocking have more than outweighed a cooling off in the boom in business fixed investment.

As it is typically the case in a small open economy like Belgium, the upturn, which started in 1997, and its profile have been largely determined by exports and external factors. Exports have generally been the main driving force. They have been consistently underpinned by the good competitive position of Belgian firms as a result of very modest increases in unit labour costs and, more recently, the depreciation of the euro. Nonetheless, there has been a certain amount of volatility reflecting fluctuations in export demand and its interaction with stockbuilding. Thus, the downturn in EU countries in 1998, in the wake of the international financial crisis, had led to an unexpected deceleration in Belgian exports and a build up in stocks; their subsequent rundown weighted on growth in 1999.[1] Another exogenous factor which negatively affected growth in 1999 was of

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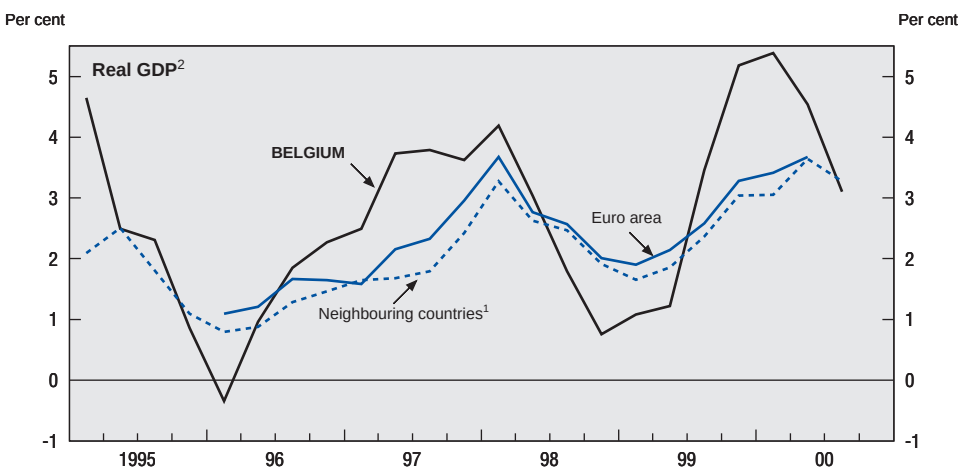
domestic origin, *i.e.* the dioxin contamination of part of the food chain. However, contrary to what it was feared at first, its impact on growth – which was concentrated on exports – was limited to an estimated one quarter of a percentage point of GDP. All considered, the contribution to growth of net exports which had become negative in 1998, turned positive in 1999 and has increased further in 2000.

In contrast with the relative volatility of exports and stocks, final domestic demand has been consistently strong, growing at close to 3 per cent a year over the 1997-2000 period. This has primarily reflected the persistent buoyancy of business fixed investment and the robust although somewhat more irregular growth of private consumption. On the other hand, the growth of government consumption, private residential investment and especially government investment have been rather volatile,[2] but the net impact of their fluctuations on economic activity has been minor.

The evolution of real GDP on a quarterly basis[3] shows that, as in the past, this business cycle has been closely synchronised with that on average in neighbouring countries (Germany, France and the Netherlands) and in the euro area in general (Figure 1). However, the cycle, and even fluctuations within it, have been significantly more pronounced in Belgium than in the other euro countries. For the recent period, this may be partly explained by the unusually important role of

Figure 1. **The business cycle in Belgium and in the euro area**



1. Germany, France and the Netherlands (weighted average).
2. Percentage changes from previous year, seasonally adjusted,volume.
Source: National Bank of Belgium, Eurostat and OECD.

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stocking and destocking discussed above. Another characteristic of the Belgian cycle, which is difficult to explain, is that it tends to lead the cycle in neighbouring countries and in the rest of the euro area. On the other hand, given the openness of the economy, it is not surprising that the current business cycle has been largely determined by the manufacturing sector either directly through exports or indirectly through stocking and destocking.

Throughout this cycle, business fixed investment has followed an almost steady upward trend.[4] With an average annual rate of growth of around 5½ per cent since 1997, business investment may have reached some 15 per cent of GDP in 2000, matching the previous historical peak recorded at the beginning of the 1990s. This investment boom has been linked to several factors, including: strong order books and positive expectations concerning domestic and foreign demand; a rising rate of capacity utilisation in the manufacturing sector; the increasing profitability and cash flow of enterprises, combined with their healthy financial position; and historically low real interest rates.

A more disaggregated analysis shows substantial differences in the pattern of investment at the sectoral level. In the industrial sector, investment declined somewhat in 1998, probably reflecting the export-led dip in GDP growth from mid-1998 to mid-1999 which caused a significant decline in the rate of capacity utilisation in manufacturing. But investment in this sector rebounded in 1999, as in the car and truck industry a number of major projects to increase production capacity resulted in stepped-up investment. On the basis of VAT data for the first nine months of the year and the November 2000 survey of the National Bank of Belgium, investment in the manufacturing sector seems to have levelled off in 2000. In the services sector investment was very strong in 1999, except in banking and other financial institutions, and VAT data indicate that investment in this sector and in non-industrial companies in general remained robust in the first nine months of 2000.

With an average annual rate of growth of 2¾ per cent, private consumption has been another driving force of the current expansion. It has reflected a sustained growth in real disposable income as a result of increases in employment, a moderate rise in real wages and, in the more recent period, higher income from financial assets in line with the upturn in interest rates and dividends. Nonetheless, as the average annual rate of increase of real disposable income over the 1997-2000 period has been only a little less then 2 per cent, the buoyancy of consumption has entailed a trend decline in the saving ratio. This decline, which started seven years ago, has coincided with an increase in consumer confidence to levels unprecedented in Belgium and above those of the euro area as a whole. Confidence seem to have been boosted primarily by improving conditions in the labour market and, more generally, by a reduction in uncertainties following tangible progress in fiscal consolidation and the success of Belgium in joining EMU from its inception.

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After a modest decline in 1999, the rate of growth of private consumption picked up markedly early in 2000, and, despite some loss of buoyancy in the last months of the year, its rate of growth may have been of the order of 2½ per cent, for 2000 as a whole, compared with 1.9 per cent in 1999. The acceleration in the first half of the year reflected not only a more rapid increase in real disposable income as a result of stronger job creation and higher property incomes, but also a further small decline in the household saving ratio, in line with a rebound in consumer confidence after its short-lived dip in mid-1999. Moreover, private consumption was boosted by the biannual Auto Show which, typically, has a strong impact on car sales, even though its net effect on total consumption may be somewhat offset by a reduction in purchases of other consumer durables. In the second half of 2000, however, real disposable income and private consumption were dampened by the terms of trade losses brought about by the depreciation of the euro and the rise in oil prices.

... with improving labour market outcomes...

Labour-market outcomes have improved distinctly over the past few years, related in part to structural changes in the labour market which are reviewed in Chapter III. Employment growth, which was a strong 1.2 per cent in 1998, dipped to 0.9 per cent in 1999, but is estimated to have rebound to 1½ per cent in 2000. This represents the strongest period of employment growth since the beginning of the 1980s. Combined with only a modest increase in the population of working age, the buoyancy in employment has further boosted the employment rate, which has risen continuously since the trough of some 55 per cent reached in 1994, following the decline in economic activity in 1993. At 58 per cent in 1999, the employment rate has returned to the levels prevailing at the end of the 1970s. Nonetheless, as noted in Chapter III, it remains below the EU average and especially the average of the three "reference countries" (Germany, France and the Netherlands). Within Belgium, the employment rate varies greatly from region to region – from nearly 60 per cent in Flanders to a little over 54 per cent in Wallonia, and less than 53 per cent in Brussels.[5]

Not only did the growth of employment picked up in 2000, but the "quality" of jobs created is likely to have changed significantly compared with 1999. In that year, an important proportion of new jobs were created through special government programmes, in both the private sector and the public sector – the so-called "unemployment benefit activation policy" ("*politique d'activation des allocations de chômage*"). According to one estimate, these jobs accounted for over one quarter of all jobs created in 1999 (Table 2).[6] These special programmes include: regional programmes in Flanders and Wallonia; youth employment programmes (*stage des jeunes*); local Employment Agencies job-creation schemes; and occupational transition programmes (*programmes de transition professionnelle*). On the other hand, in 2000, most of the new job created are expected to be "traditional employment" in the private sector.

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Table 2. **Employment and special labour market programmes**[1]

End-June

	1997	1998	1999	2000[2]
Total employment	**3 807**	**3 853**	**3 902**	**3 954**
of which: Independents	752	746	747	
Public sector	973	986	998	1 002
"Traditional" employment	826	838	840	842
Special programmes	99	105	118	122
Armed forces	48	43	40	38
Private sector[3]	2 834	2 867	2 904	2 952
"Traditional" employment	2 799	2 833	2 869	2 916
Special programmes	35	34	35	36
Memorandum items:				
Special labour market programmes[4]	134	139	153	158
Troisième circuit travail[5]	12	11	10	10
Primes[6]	9	9	9	9
Agents contractuels subventionnés	76	77	77	79
Youth employment[7]	18	17	17	17
Local employment agencies[8]	7	12	15	15
Occupational transition programme[9]	–	–	6	6
Emplois services	–	–	6	9
Others	12	13	13	13

1. Figures in thousands.
2. Estimates.
3. Including "Independents".
4. Given the complexity and constant changes, this presentation of "special labour market programmes" (and the related figures) entails a degree of approximation.
5. Regional programmes, mainly in Flanders.
6. Regional programmes in Wallonia.
7. *Stages des jeunes*.
8. *Agences locales pour l'emploi*.
9. *Programme de transition professionnelle*.

Source: Ministère fédéral de l'Emploi et du Travail.

Another important change in employment in the recent period has been the growing proportion of part-time, temporary and other atypical forms of work. Part-time work reached nearly 18 per cent of total work in 1999, when it was boosted by the large number of jobs created by the activation of unemployment benefits, since these jobs are mainly on a part-time basis. As in other countries, notably the Netherlands, part-time work is especially important in the services sector (23 per cent of total employment in 1998) while it remains marginal in the industrial sector (some 5 per cent). Firms have also made increasing use of fixed-term contracts for workers hired directly or through employment agencies. Hence, the proportion of non-permanent jobs has risen from around 5 per cent at the beginning of the 1990s to almost 8 per cent in 1998, which is nonetheless rather

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low in international comparison. Finally, more and more firms rely on "atypical working hours" to better match labour schedules with production requirements. In 1999, almost a third of workers in industry regularly worked on Saturday, Sunday or at night; over half of then were regularly involved in "team work".[7]

The growing use of part-time work combined with other factors such as programmes for the reinsertion of low-skilled workers and government policies aimed at enhancing wage moderation and cutting employers' social security contributions may have encouraged labour-capital substitution and seem to have resulted in an slight increase in the employment-intensity of economic growth. For instance, while in 1997-98 an average increase in real GDP of 2.9 per cent was associated with an average increase in employment of 1 per cent, in 1999-2000 an average increase in real GDP of 3.3 per cent was associated with an average annual increase in employment of 1.2 per cent. Hence, the ratio between the rate of change in employment and the rate of increase in real GDP – *i.e.* the employment intensity of economic growth – rose from an average 34 per cent in 1997-98 to an average 36 per cent in 1999-2000.

The standardised unemployment rate has fallen nearly steadily from its peaks at around 10 per cent in 1994-95. It reached 8.3 per cent in December 2000, compared with 8.8 per cent a year earlier, and averaged 8.5 per cent in 2000 as a whole. The unemployment rate is now only slightly above its structural rate (or NAIRU), estimated by the OECD Secretariat at some 8 per cent. Even so, the decline in unemployment has been relatively slow: while over the past few years the standardised unemployment rate was significantly lower in Belgium than in the European Union on average, currently the two rates are very close. However, both rates are a couple of percentage points higher than the OECD average. The Belgian unemployment rate is also significantly higher than its levels at the beginning of the 1990s (Figure 2).

The vacancy rate has risen sharply over the past few years and, at around 1¼ per cent of the labour force, is now at an historical peak and 3 times higher than at the beginning of the 1990s, when the unemployment rate, at a little over 6 per cent, was much lower than at the present (Figure 3). Combined with growing geographical differences in labour market conditions discussed in Chapter III, the evolution of these two variables over the past decade or so, points to a major increase in mismatches in the labour market, which took place essentially in the first half of the 1990s and then again between 1997 and 1998. Developments in the more recent period seems to have left the degree of labour mismatches largely unaffected, with a decrease in unemployment combined with an increase in vacancies.

Another salient feature of the labour market in Belgium is the large number of persons of working age who have effectively withdrawn from the labour force by entering various social security schemes which exempt then from seeking a job (hence they are not included either in unemployment or in the labour force).

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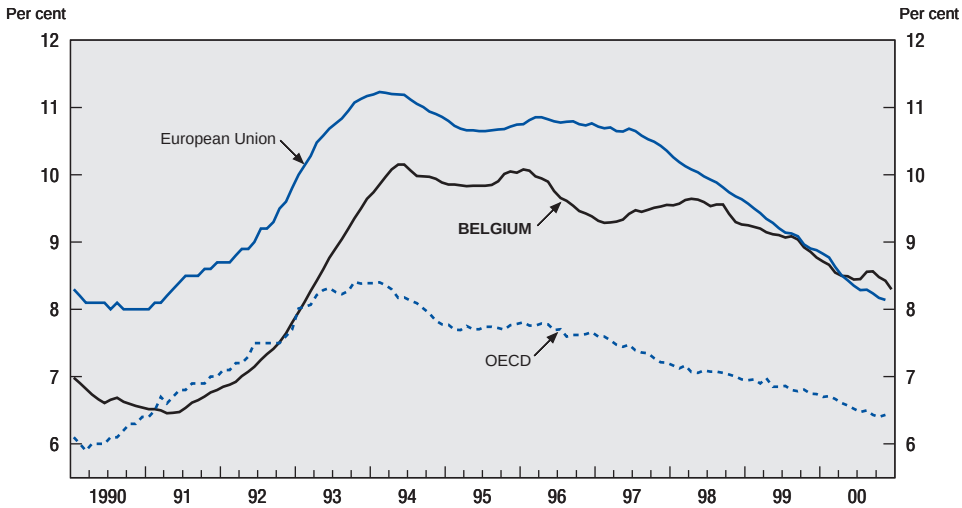
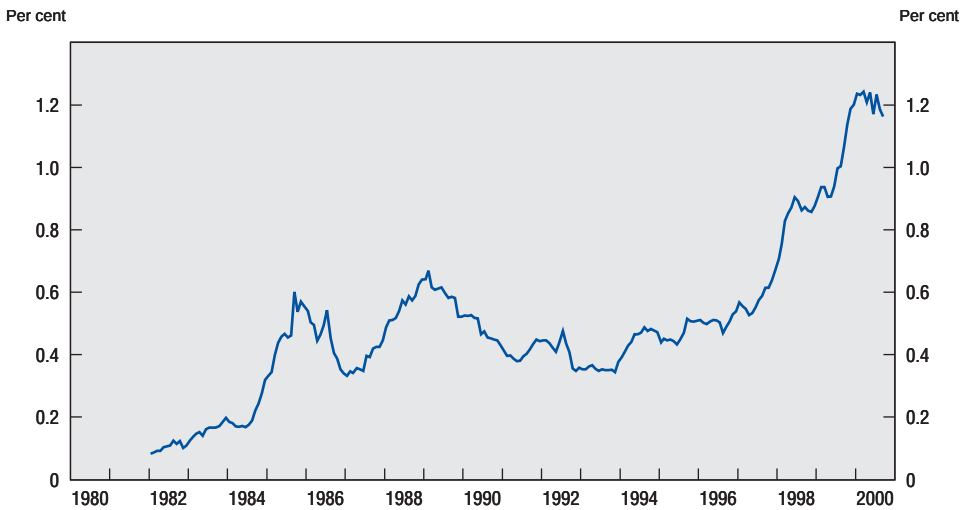
Figure 2. **Unemployment rates:[1] an international comparison**



1. Standardised rate.
Source: OECD, *Main Economic Indicators*.

Figure 3. **Vacancy rates[1]**



1. Unfilled vacancies as a percentage of the labour force.
Source: OECD, *Main Economic Indicators* and *Labour Force Statistics*.

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The total number of these "other benefit recipients not seeking a job" has remained at around 300 000, or some 7 per cent of the corresponding labour force,[8] since 1999. Over this period, a decline in the number of persons in the early retirement programme (*prépension conventionnelle*) has been broadly offset by an increase in the number of persons in the "old unemployed programme". As noted in Chapter III, these persons represent a pool of untapped resources who, with appropriate policies and market conditions, could, at least in part, return to the active labour market. They give an idea of the potential scope for the "activation policy" pursued by the government.[9]

... and relatively few inflationary tensions

Despite the progressive tightening of the labour market and the near disappearance of the output gap, the increase in wages and compensation per employee has remained moderate and broadly in line with productivity gains. This relative wage moderation is in contrast with the experience in previous cycles, when wage-price tensions used to build up already in the early stage of an upturn. Several factors may have accounted for this change. The introduction of EMU, European integration and globalisation in general have certainly made the social partners more aware of the need for moderate wage claims in order to preserve international competitiveness and employment. As a result, the 1996 law on employment and competitiveness (which limit on an *ex ante* basis the maximum increase in compensation per employee in the private sector to the weighted average increase of the three reference countries, *i.e.* Germany, France and the Netherlands) has been reflected in a similar "norm" that the social partners spontaneously introduced in the 1998 and 2000 general rounds of wage negotiations (*accord interprofessionnel*) covering the 1999-2000 and 2001-02 periods, respectively. The ceiling for wage increases in real terms (*i.e.* excluding index-linked increases) was set at 3.4 per cent for the 1999-2000 period as a whole. This "norm" seems to have been broadly respected. An acceleration in wage increases in the first half of 2000 was apparently due to some bunching of the wage increases negotiated under the "norm".

Another very important change in the current context of surging oil prices has been the switch in the indexation of wages from the general consumer price index (CPI) to the so-called "health index", a measure of consumer prices which excludes alcohol, tobacco, and most energy products. Nonetheless, the increase in wages due to indexation is likely to have been higher in 2000 than in 1999, as inflation on the basis of the "health index" has also increased, reflecting, among other factors, the impact of the depreciation of the euro on imported products other than oil. The threshold for the index-linked adjustment of wages in the public sector and social benefits was reached in July 2000, entailing an increase of 2 per cent in September 2000.

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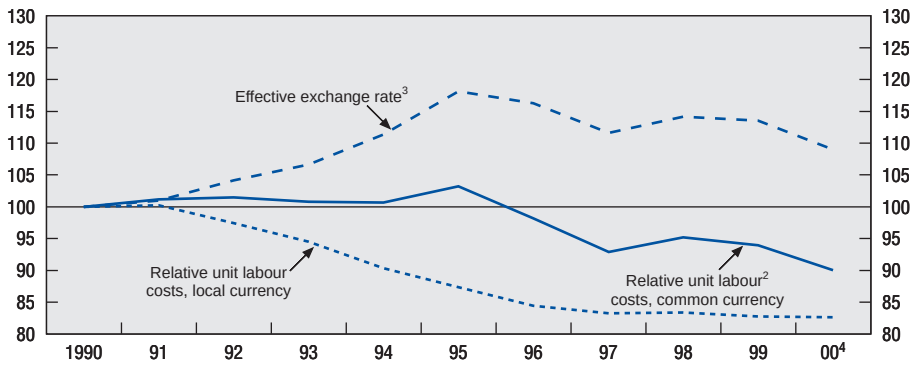
As regards labour costs (compensation per employee) in the private sector, their increase in recent years has been slower than that of wages. This has reflected the government decision in 1997 to introduce a multi-annual programme of cuts in employers' social security contributions. The new government, which came to power in July 1999, decided to accelerate this programme and introduced an additional cut in employers' non-wage labour costs in April 2000.

All considered, the increase in wages in the private sector may have picked-up from 2.1 per cent in 1998, to 2.6 in 1999, and to an estimated 3.6 per cent in 2000. Compensation per employee may have accelerated from 1.8 per cent in 1998 to 2.2 in 1999 and around 2½ per cent in 2000. Nonetheless, as a result of somewhat larger productivity gains than in 1998, unit labour costs in the business sector may have remained broadly unchanged over the 1999-2000 period. Given developments in unit labour costs in partners countries and, above all, the depreciation of the euro in effective terms, the international competitive position of Belgian firms, which on the basis of this indicator, was already comfortable, has improved significantly in the recent period (Figure 4). The surplus of the trade balance may have been of the order of US$7 billion in 2000, with a current account surplus of some 4¼ per cent of GDP.

The picture is less positive concerning price inflation, even though its recent sharp pick-up has largely been due to imported inflation. Consumer price

Figure 4. **International cost competitiveness**[1]
Index 1990 = 100



1. In manufacturing. The indices refer to export and import competitiveness of Belgium *vis-à-vis* all its partner countries (including Euro countries).
2. Real effective exchange rates (a decline represents an improvement in competitiveness).
3. Nominal effective exchange rate of the Belgian franc.
4. Average of the first three quarters.

Source: OECD.

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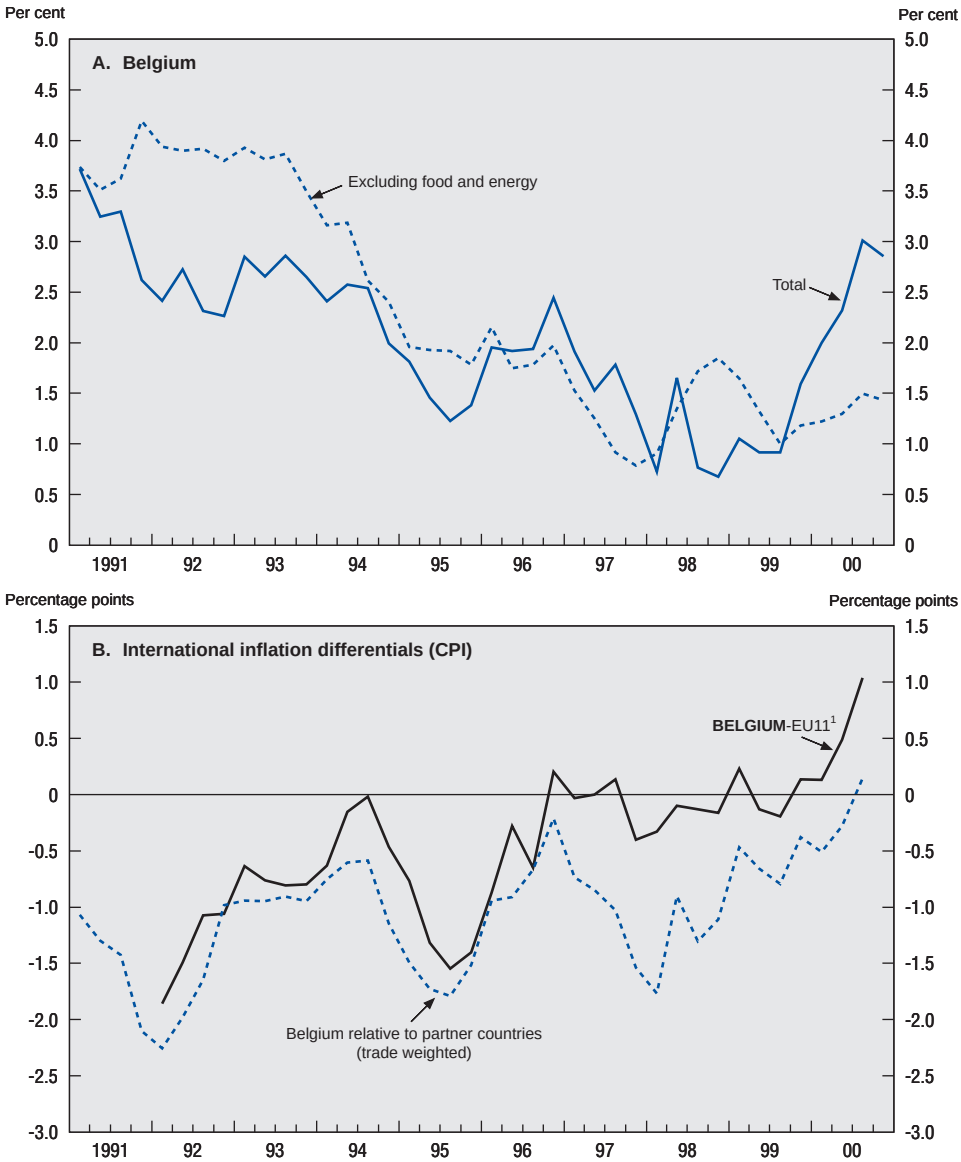
Figure 5. **Consumer prices**

Change from corresponding quarter of previous year



1. Belgium-EU11 is HICP inflation in Belgium minus HICP inflation in the Euro area, where HICP is the harmonised index of consumer prices.

Source: OECD.

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inflation reached 3.4 per cent (year-on-year) in September, one of the highest rates in the euro area, before falling back to 2.5 per cent in December 2000. On the basis of the health index, inflation rose to 2.6 and 2.3 per cent, respectively. Underlying inflation – which excludes prices of food and energy – has, for the time being, edged up rather little, to about 1½ per cent (Figure 5, Panel A). Nonetheless, while until recently Belgium had a distinctly better performance in terms of consumer price inflation than the other euro countries on average and, especially, than all its trading partners on average, this advantage has been progressively eroded and recently has been reversed (Figure 5, Panel B). This has largely reflected the relatively high share of energy and more specifically oil in the Belgian consumer price index, as compared with other EU countries.[10]

A comparison of two cycles

A comparison of the current expansion with the previous one of 1987-90,[11] may shed some light on how the economy may have changed as a result of, among other factors, European integration and structural reform, and how it may evolve in coming years. Apart from the fact that, for the time being, the two expansions have lasted the same number of years (four), they display pronounced differences. In the earlier episode, which was characterised by a very strong investment boom, economic growth was faster and the decline in unemployment was more rapid than in the current episode. This was followed by a pick-up in inflation and in the growth in compensation per employee, which caused profitability to drop (Figure 6). These tensions and imbalances made the economy vulnerable to external shocks, such as the international slowdown of 1991 and the increase in interest rates associated with German unification. The combination of all these factors brought the expansion to an end and, after two years of slow growth, real GDP actually declined in 1993.

What stands out in comparing the two episodes is that the current one has been accompanied by much smaller variations in key macroeconomic variables such as, unemployment, inflation, compensation per employee and profitability. This is despite the fact that in the current cycle real GDP growth, although somewhat less rapid than in the previous cycle, has generally exceeded the potential growth rate; that the initial unemployment rate was lower in this cycle; that the rate of capacity utilisation in manufacturing has reached the highest level since the beginning of the 1980s and has been consistently higher than in the previous cycle; and finally, that the rate of unfilled vacancies has also been markedly higher in this cycle.

Several structural changes and policy measures may have played a role in this respect, although it is difficult to disentangle and quantify their effects on the basis of hard evidence. As noted, the social partners may have become

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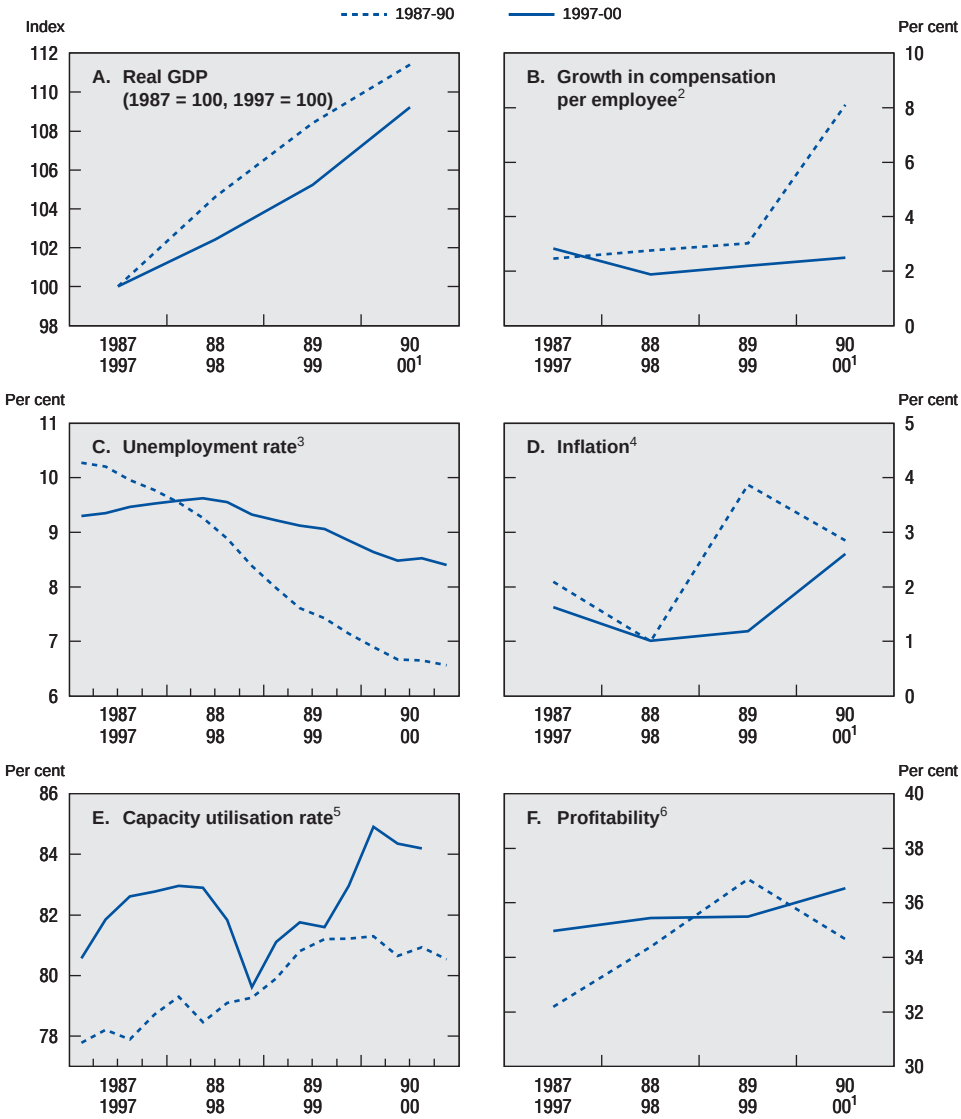
Figure 6. **Comparison of two business cycles**



1. Partly estimated.
2. Business sector.
3. Standardised unemployment rates.
4. Private consumption deflator.
5. Industries, including printing and food industries.
6. Share of capital in business GDP (excluding mining and housing).

Source: National Bank of Belgium and OECD.

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increasingly aware that, owing to European integration and the introduction of the euro, a loss of competitiveness might translate rapidly into a loss of exports and jobs. Hence, they realise the importance of preserving the competitiveness of Belgian firms through wage moderation and efforts to improve skills and qualifications of the labour force, in line with government measures going in the same direction. Moreover, the growing importance of the services sector and atypical work-forms, such as part-time and temporary work, seems to have increased the flexibility of the labour market and, despite higher vacancy rates, may have lessened pressures for higher wage claims. This broad-brush analysis suggests that, on the domestic side, there do not seem to be major imbalances threatening the expansion, even though, as the output gap has been nearly closed, the pace of the expansion will have to be slower and more in line with potential growth than in the recent period if tensions are to be avoided.

Short-term prospects

The outlook is relatively favourable, despite the spike in imported inflation and the more uncertain environment created by the increase in oil prices which has already been reflected in a steep decline in household and business confidence. With respect to the new oil shock, Belgium may be somewhat better equipped than most other EU countries to cope with its inflationary impact. True, price indexation is widespread in Belgium but, owing to the use of the "health index" (which as noted, excludes most energy items), the economy is largely sheltered from the first mechanical impact of the increase in oil prices on wages.

The terms-of-trade losses related to the increase in import prices will damp real disposable income and private consumption. But the depreciation of the euro in effective terms has boosted the international competitive positions of Belgian firms which, over the projection period, will also benefit from the expected continuation of wage moderation and further cuts in employers social security contributions. Combined with solid gains in productivity, this should significantly moderate the increase in unit labour costs. As a result, Belgian firms stand to gain market shares, and exports are expected to be the major driving force of the expansion in the 2001-2002 period.

The 2001 Budget was presented in mid-October, together with the third stability programme for the years 2001 to 2005. The targets set for the general government budget and the reduction of the debt-to-GDP ratio, suggest that fiscal policy will be broadly neutral, over the coming years. Moreover, partly as a counterpart to several measures included in the government economic programme, the social partners showed self-discipline again in the 2000 general wage negotiations (*accord interprofessionnel*) covering the 2001-02 period, and broadly preserved wage moderation, despite a tight labour market. Under

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the technical assumption of unchanged exchange rates, monetary conditions are projected to become progressively less supportive of growth, as interest rates, especially at the short-end of the market are expected to rise further in the euro area, in line with the maturing expansion and to ward off the risks caused by imported inflation.

All considered, the expansion seems likely to continue, although it might have reached its peak already in 2000, and its pace may slow over the projection period. This view is supported by the conjunctural indicators of the National Bank of Belgium which, while remaining at historically high levels, have lost some

Table 3. **Short-term projections**[1]

	1999	2000[2]	Projections 2001	Projections 2002
	Percentage changes			
Demand and output (volume)				
Private consumption	1.9	2.6	2.4	2.2
Government consumption	3.4	0.8	1.4	1.4
Gross fixed capital formation	4.8	4.5	2.5	2.7
Private sector non-residential	4.8	5.0	4.0	3.0
Private sector residential	0.1	2.5	2.3	2.0
Public sector	19.8	5.5	–9.1	2.5
Final domestic demand	2.9	2.6	2.2	2.2
Change in stockbuilding[3]	–0.7	0.1	0.0	0.0
Total domestic demand	2.1	2.7	2.2	2.2
Exports of goods and services	5.2	12.4	9.2	7.7
Imports goods and services	4.5	11.5	8.5	7.2
Change in net exports[3]	0.7	1.2	1.0	0.9
GDP at market prices	2.7	3.8	3.1	2.9
Inflation				
GDP deflator	1.0	1.7	2.0	1.9
Private consumption deflator	1.2	2.6	1.9	1.6
	Per cent			
Others				
General government balance (% of GDP)	–0.7	–0.1	0.3	0.7
Unemployment rate[4]	9.0	8.5[5]	7.9	7.6
Household saving ratio	14.2	13.4	13.9	14.3
Current account balance (% of GDP)	3.9	4.2	5.1	6.0
Short-term interest rates	3.0	4.4	5.4	5.5
Long-term interest rates	4.7	5.7	5.9	6.0

1. Same projections as in *Economic Outlook* 68. (These projections were finalised in early November 2000.)
2. Estimates, unless otherwise indicated.
3. Contribution to GDP growth.
4. Standardised rate.
5. Actual figure.

Source: OECD.

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ground. A broadly similar conjunctural evolution is expected in other EU countries and the OECD area as a whole. In such an international environment of slowing growth and higher interest rates, a progressive loss of buoyancy of exports will weigh on economic activity and imports, so that, although net exports will change little, economic growth will be lower. But the slowdown is likely to be modest, and would essential represent a welcome adjustment – bringing the rate of growth more in line with potential.

Real GDP growth is thus projected to decline from an estimated 3¾ per cent in 2000 to around 3 per cent in 2002, still slightly above the potential growth rate estimated by the OECD Secretariat at around 2½ per cent.[12] E*x post*, most of the slowdown is likely to be accounted for by a less buoyant domestic demand, the contribution of net exports to growth remaining close to 1 percentage point.[13] Employment is expected to continue to grow at a robust pace, and the standardised unemployment rate should decline further, to 7½ per cent in 2002 – close to its estimated structural rate, which may itself decline to a little over 7 per cent. With tight labour market conditions and relatively high inflation – even in terms of the health index – wages and compensation per employee are expected to accelerate, but only moderately, as the government is considering further initiatives, notably an income tax reform, to bolster personal disposable income. Average inflation is projected to decline in 2001 and 2002, as the impact of the increase in oil prices and the depreciation of the euro progressively peters out. Hence, in 2002 the Belgian economy may have moved closer to sustainable growth (Table 3).

The main risks to this projection seem to centre around wages and inflation. Given the recent spike in inflation, wage moderation might not be as effective as expected, with the result that Belgium's competitiveness might worsen. Another risk concerns exports, which may be weaker if the slowdown in foreign markets is more pronounced than projected.

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II. Macroeconomic policies

As a result of several years of rigorous and well-managed macroeconomic policies, Belgium succeeded in what had been its overriding goal, *i.e.* meeting the Maastricht criteria and participating in the Economic and Monetary Union (EMU) from its inception. In the new context of EMU and owing to the strength of the current expansion, the settings for macroeconomic policy have changed significantly. *First*, monetary policy is no longer available as a policy tool, even though, as discussed below, in practice this does not represent a major change. *Second*, while the EU's Stability and Growth Pact and the need to reduce the still exceptionally high public debt-to-GDP ratio, combined with longer term consideration such as population ageing, continue to provide compelling reasons for pursuing fiscal consolidation, the buoyancy of the economy is causing current and prospective budget outcomes to be significantly better than expected. A debate has thus started in Belgium, as in other Member countries, on the best way of using these windfall gains. Combined with some consolidation fatigue, the challenge of further improving public finances may prove as difficult, if not more difficult, in the current cyclically-favourable period as in past years.

Monetary conditions

Owing to the introduction of the European Economic and Monetary Union (EMU), monetary policy is no longer under the direct control of the Belgian authorities, but is determined by the Euro system, *i.e.* the European Central Bank (ECB) and the national central banks in the euro area. Hence, monetary policy is now attuned to conditions and requirements of the area as a whole. However, the loss of the monetary instrument has not been a significant policy change for Belgium since the long-standing overriding objective of the authorities of closely linking the exchange rate of the Belgian franc to the Deutschemark, meant that an independent interest rate policy had not been possible for many years. In fact, over the second half of the 1990s, interest rates had steadily converged towards German levels so that, for Belgium, the transition to EMU was especially smooth and did not require any significant changes either in interest rates or in the exchange rate.

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In December 1998, the ECB set the short-term euro interest rate (*i.e.* the rate on the main refinancing operation) at 3 per cent – the level to which the rates of the member Central Banks had converged (Figure 7, Panel A). This rate was cut to 2.5 per cent in April 1999, reflecting a very low level of inflation (less than 2 per cent, year-on-year, in terms of harmonised consumer prices) and the weakness of economic activity. But in November 1999, with generous liquidity conditions in the area, a surge in oil prices, and a stronger economic outlook, the ECB raised the rate back to 3 per cent. Following an increase in the harmonised inflation rate to above 2 per cent – the upper limit of the 0 to 2 per cent band defined as "price stability" by the ECB – growing weakness of the euro in foreign exchange markets and a new spike in the price of oil, the policy rate was raised further in several steps to 4.75 per cent in early October 2000.

In EMU capital markets, long-term interest rates – after declining for several years and reaching exceptionally low levels in January 1999 both in nominal and real terms – rebounded markedly until early 2000 (Figure 7, Panel B). This trend reversal seemed to reflect, at first, mainly the pull or rising US rates, and then stronger economic growth and a pick-up in inflation in the euro area as well as the weakness of the euro. Long-term rates levelled off in mid-2000, before easing again towards the end of the year. The positive interest rate differential between Belgian and German ten-year government bonds, which had narrowed to around 10 basis points in early 1998, has increased somewhat and stabilised at around 30 basis points. This positive differential, which exists for all other EMU countries, seems to reflect essentially liquidity considerations, since the ten-year German bond is the basis of the transactions carried out on Eurex, the dominant futures market for bonds in euro.[14]

Since its introduction at the beginning of 1999, the euro has depreciated sharply in foreign exchange markets. By the end of 2000, it had lost 30 per cent of its value against the US dollar and 15 per cent in effective (*i.e.* trade weighted) terms (Figure 7, Panel C). Reflecting the relatively large share of Belgian trade with other euro countries (some 85 per cent), the Belgian franc in effective terms has depreciated significantly less than the euro. Nonetheless, at over 5 per cent, the effective depreciation of the Belgian franc has been important.

Overall, monetary conditions, which were quite easy just prior to the introduction of EMU, may not have changed greatly since, so far as the rise in long-term interest rates and especially in short-term rates has been largely offset by the depreciation of the euro. Under the technical assumption of unchanged exchange rates, monetary conditions are projected to become progressively less supportive of growth over the next two years, as interest rates, especially at the short end of the market, are expected to rise further in line with the maturing expansion and the risk of inflationary pressure as a result of higher oil and other import prices. For Belgium, in view of the current and prospective strength of its economy (see Part I) such a development should be seem as broadly appropriate.

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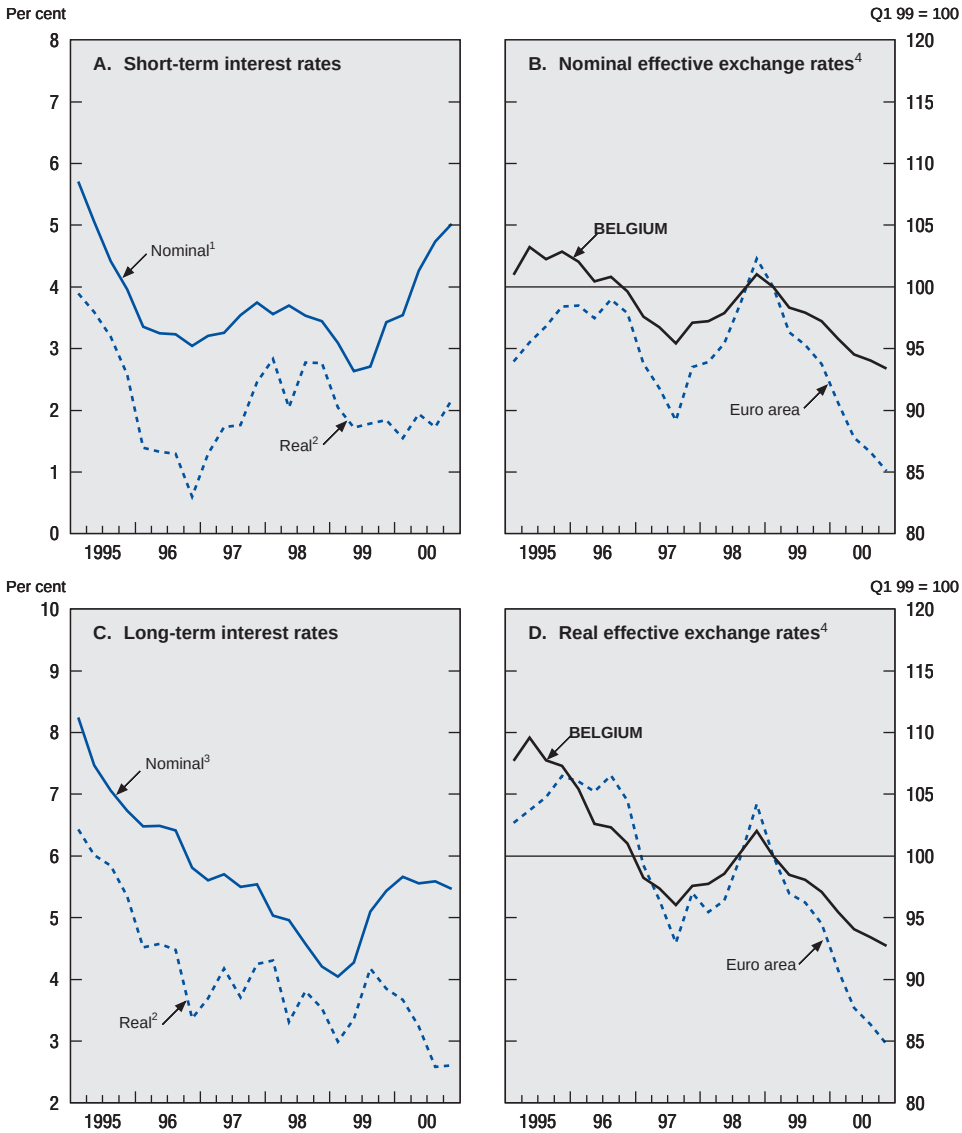
Figure 7. **Overview of monetary conditions**



1. Before January 1999, 3-month certificates of the Belgian Treasury; 3-month EURIBOR thereafter.
2. Nominal interest rate minus CPI inflation.
3. Yield of government bonds.
4. For nominal effective exchange rate indices, an increase indicates an appreciation. Real effective exchange rates are based on unit labour cost. Euro area includes Belgium.

Source: OECD.

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Budgetary policy

Fiscal consolidation in perspective

Belgium has been pursuing fiscal consolidation for nearly two decades, *i.e.* from the early 1980s when the general government deficit exceeded 12 per cent of GDP. But progress has been uneven, and in the early 1990s the deficit widened again. Hence, in 1992 the government introduced the Convergence Plan to formalise the goal of meeting the Maastricht criteria. Since then progress has been more regular and it might be useful to briefly review how public finance has changed over this period.

From 1992 to 2000, the budgetary position improved sharply and faster than in the European Union on average, (Table 4 andFigure 8, Panel A). The general government budget moved from a deficit of nearly 8 per cent of GDP in 1992 to virtual equilibrium in 2000. About a half of this improvement has been accounted for by a reduction in interest payments as a per cent of GDP as a result

Table 4. **General government budget**
Per cent of GDP

	1990	1995	1996	1997	1998	1999	2000[1]	2001[2]	2002[2]
Primary receipts	43.4	45.6	46.2	46.6	47.0	46.9	46.2	45.8	45.5
of which :									
Direct taxes	15.6	16.7	16.7	17.1	17.6	17.2	17.2	17.1	17.2
Indirect taxes	11.8	12.2	12.7	12.9	12.9	13.3	13.2	13.1	13.0
Social security contributions	15.1	15.8	15.7	15.6	15.5	15.5	14.9	14.7	14.5
Primary expenditure	38.9	41.0	41.4	40.8	40.6	40.7	40.0	39.4	38.9
of which :									
Government consumption	20.3	21.5	21.8	21.3	21.2	21.4	21.0	20.8	20.6
Subsidies	1.7	1.5	1.6	1.4	1.5	1.5	1.5	1.5	1.5
Social security outlays	15.1	15.5	15.5	15.2	15.0	14.7	14.4	14.2	14.0
Primary balance	4.5	4.6	4.7	5.8	6.4	6.2	6.2	6.4	6.6
Interest payments (net)	11.2	8.9	8.5	7.7	7.4	6.8	6.3	6.1	5.9
Net financial balance	–6.7	–4.3	–3.8	–1.9	–0.9	–0.7	–0.1	0.3	0.7
Memorandum items :									
Cyclicaly adjusted:[3]									
Primary balance	2.9	5.8	6.6	7.0	7.5	7.1	6.6	6.5	6.5
Net financial balance	–8.7	–2.9	–1.6	–0.5	0.3	0.4	0.3	0.4	0.7
Debt[4]			130.5	125.2	119.7	115.9	110.7	105.4	100.2

1. Estimates.
2. Projections.
3. As a percentage of potential GDP.
4. Maastricht definition.

Source: OECD.

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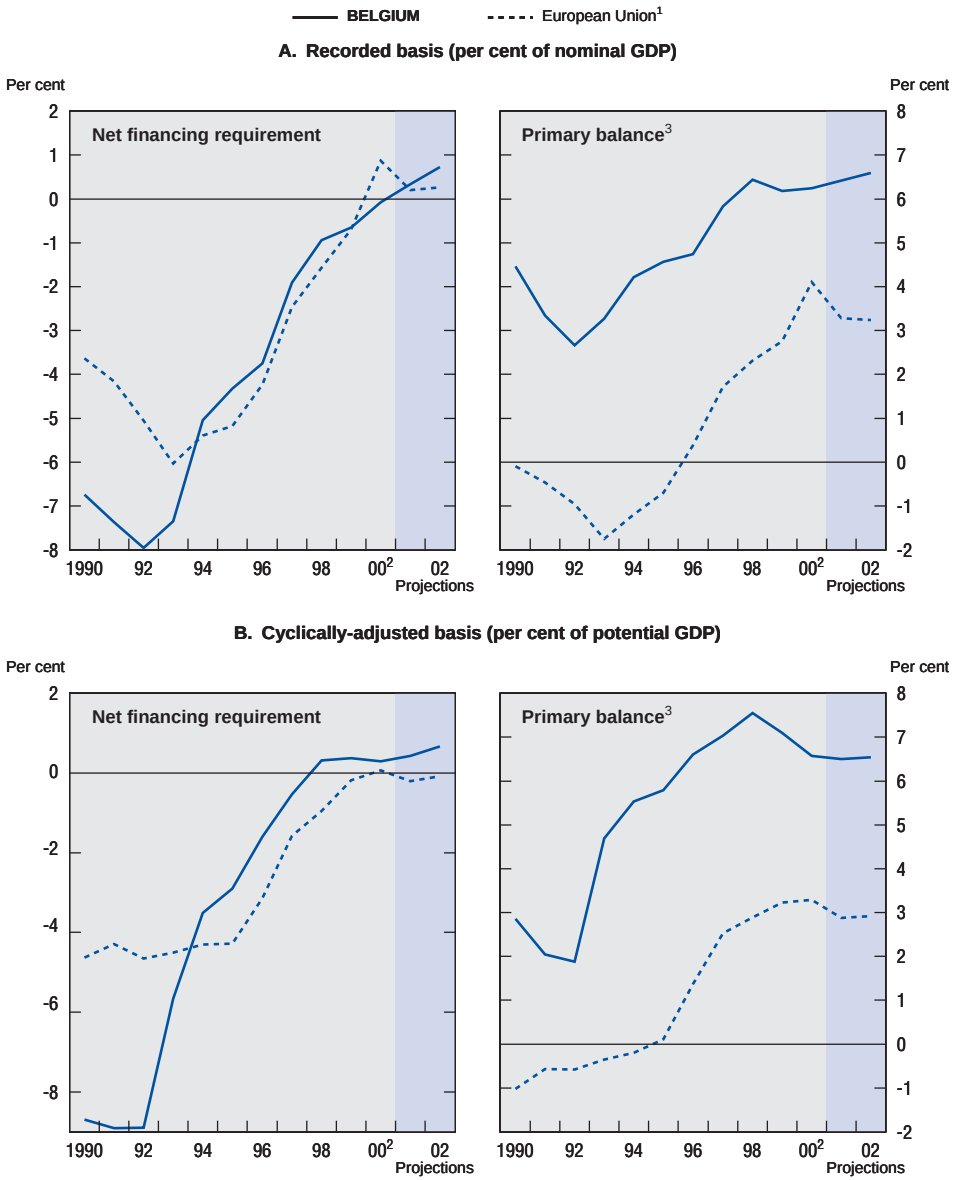
Figure 8. **Public finances in Belgium and the European Union**



1. Excluding Belgium and Luxembourg.
2. Partly estimated.
3. Excluding net interest payments.

Source: National Accounts Institut; National Bank of Begium and OECD.

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of several factors: a pronounced decline in market interest rates; a better debt management policy, which has accentuated the impact of the fall in market rates on the effective interest rate paid on the debt; and a lower debt ratio (Figure 9). The other half of the improvement in the overall budget position has been accounted for by an increase in the primary surplus (OECD Secretariat's definition)[15] as a share of GDP from around 2¾ per cent to 6¼ per cent of GDP as a result of a major corrective effort, aimed first at enlarging the primary surplus to around 6 per cent of GDP and then at keeping it at broadly that level. This effort included: restraint of public expenditure, which lowered the ratio of general government primary expenditure to GDP by a couple of percentage points to 40 per cent in 2000; the introduction of new direct and indirect taxes and, to a lesser extent, an increase in personal social security contributions; and improved tax collection and a clamp-down on fiscal fraud. Moreover, especially in the past couple of years, both expenditure and revenues have been positively affected by the strength of the expansion. However, as the economy was close to potential also in the early 1990s, in terms of net changes over the 1992-2000 period, the improvement of the overall budget position and of its major components has been broadly the same in recorded as in cyclically adjusted terms (Figure 8, Panel B).

In Belgium, the general government is often divided into two major subsets: the so-called Entity I, which includes the federal government and the social security system; and the Entity II which includes communities, regions and local governments. Considered in these items,[16] fiscal consolidation since 1992, has been largely accounted for by Entity I – its net financing requirement has improved by 6.5 per cent of GDP compared to only 1.1 per cent for Entity II (Table 5). The role of Entity I remains dominant even excluding net interest payments since its primary balance has improved by 2.8 per cent of GDP compared with an improvement of 1.0 per cent for Entity II. Within Entity I, the federal government has accounted for the bulk of all the improvement in both the net financing requirement and the primary balance. As for Entity II, its improvement in the primary and overall balance has been more than accounted for by an increase in receipts of nearly 2 per cent of GDP, reflecting a transfer of fiscal resources from the federal government (personal taxes and VAT taxes) in line with the L*oi spéciale de financement* (see Box 1). This has allowed communities, regions and local governments to increase their combined primary expenditure from 15.6 per cent of GDP in 1992 to 16.7 per cent in 2000. Hence, fiscal consolidation over the 1992-2000 period is to be ascribed mainly to the federal government.

Despite these remarkable achievements in terms of fiscal consolidation, other aspects of public finance remain less positive. The debt-to-GDP ratio is still very high and, in this respect, Belgium is an outlier among OECD countries. Nonetheless, this ratio has fallen rapidly form a peak of 139 per cent in 1993 to an estimated 111 per cent in 2000. The decline has reflected not only the narrowing budget deficit but also the proceeds of privatisation as well as asset management

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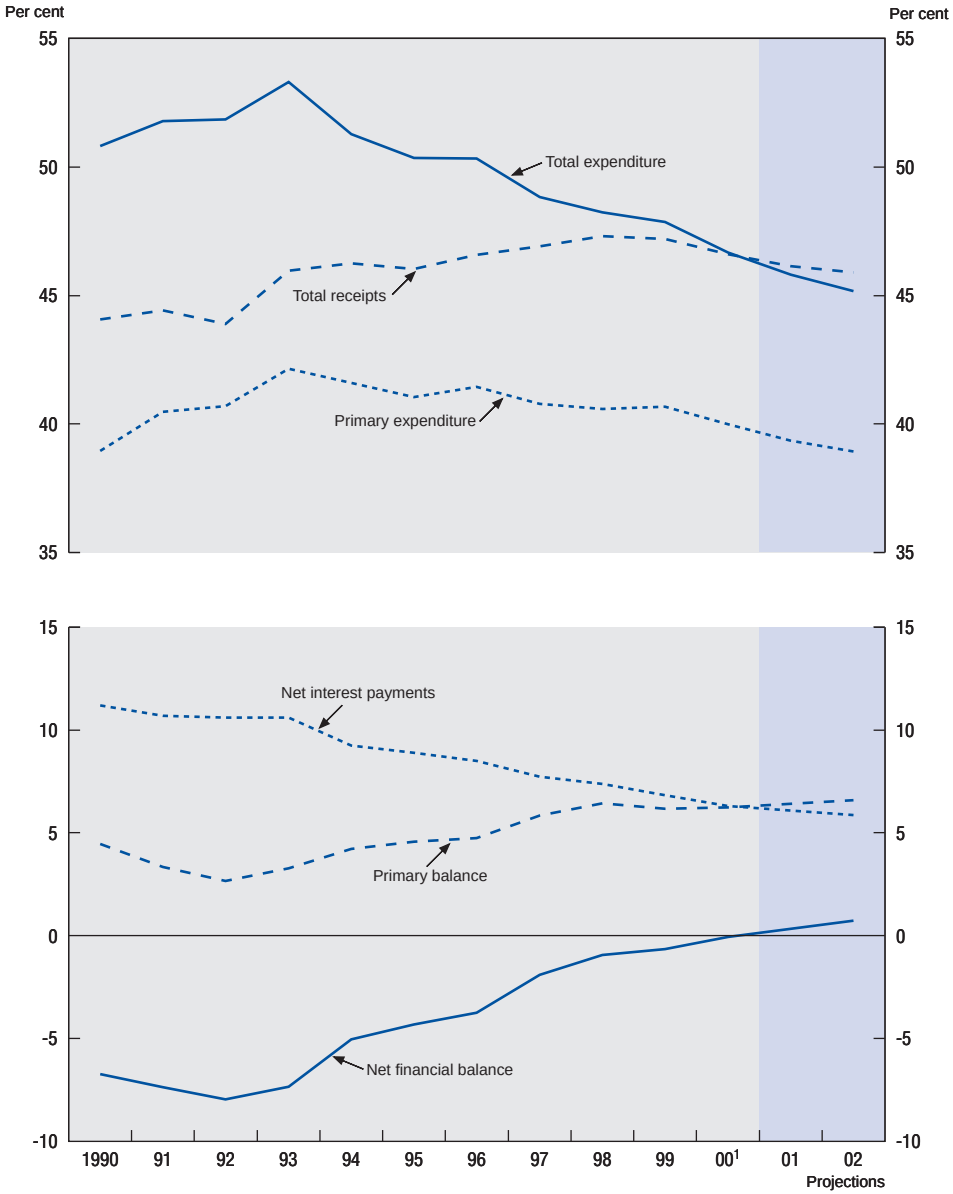
Figure 9. **General-government public finances**

Per cent of GDP



1. Partly estimated.

Source: National Accounts Institut; National Bank of Belgium and OECD.

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Table 5. **Fiscal consolidation since 1992**
Per cent of GDP

	1992	2000[1]	Changes 1992-2000
Entity I			
(Federal government and social security system)			
Total receipts	32.5	34.0	1.5
Primary expenditure	29.2	27.9	–1.3
Primary balance	3.3	6.1	2.8
Net interest charges	10.4	6.4	–4.0
Net financing requirements	–7.1	–0.2	6.9
Entity II			
(Communities, regions and local governments)			
Total receipts	15.5	17.5	2.0
Primary expenditure	15.6	16.7	1.1
Primary balance	–0.1	0.8	0.9
Net interest charges	0.8	0.6	–0.2
Net financing requirements	–0.9	0.2	1.2
General government			
Total receipts	46.4	49.9	3.5
Primary expenditure	43.2	42.9	–0.3
Primary balance	3.2	6.9	3.7
Net interest charges	11.2	7.0	–4.2
Net financing requirements	–8.0	0	8.0

1. Estimates. These estimates of the National Bank of Belgium are somewhat different from the OECD estimates used in this *Survey*.

Source: National Bank of Belgium.

operations, which were especially large in 1996 and, to a lesser extent, in 1997 when they reached a total of nearly BF 370 billion. Most of this sum (BF 222 billion) represented capital gains recorded by the central bank on gold sales, to which the government was entitled by law.[17]

Moreover, with general government outlays representing around 47 per cent of GDP, the size of the Belgian public sector still exceeds that of other euro area countries on average and especially OECD countries on average (Table 6). The structure of the Belgian budget also remains quite different from that of most other OECD countries, because of the size of interest payments and the primary surplus (which, of course, are the reflection of the high debt-to GDP ratio). Primary expenditure, which is nearly entirely accounted for by public consumption and social expenditure is also, at around 40 per cent of GDP, distinctly above the OECD average, although slightly below the euro area average. To finance these expenditures as well as the interest payments on the debt, taxes and social

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Box 1. Public finance in the Belgian institutional context

Introduction

The Kingdom of Belgium is a constitutional monarchy which, through four successive revisions of its Constitution (in 1970, 1980, 1988 and 1993), has been transformed into a federal State composed of three communities (the Flemish, the French and the German-speaking community) and three regions (the Flemish, the Walloon and the Brussels-Capital region) – referred to as the federated entities.* Decision-making power is shared by the federal government, the communities and the regions which are equal in law and exercise their responsibilities independently in various fields. The federal government is responsible for justice, social security (including pensions), monetary and fiscal affairs, foreign policy and national defence, and has some other responsibilities in economic areas such as prices and incomes policy, supervision of the financial system, and trade laws. The powers of the communities relate to education, cultural matters, the use of languages and person-related matters (such as youth policy, social advancement, leisure, tourism, preschooling in nursery and day care units). The regions are responsible for territory-related matters. Their main responsibilities concern the economic area, including development planning, environment, rural redevelopment and nature conservation, housing, water policy, economic affairs, energy policy, employment policy, public works and transport (except the national railway).

As regards public finance, a distinction has to be made between the funding system prior to the 1988 reform and the current financing system.

The funding system for the period 1980-88

Following the constitutional reform of 1980, the regions and communities were mainly (about 80 per cent) financed by federal appropriations (*dotations*). The total amount as well as the way of dividing these appropriations among the regions and communities was determined by the federal government. The total amount was based on need. The division was different depending on the federated entities.**

The 1989 reform of the funding system

The third stage of the constitutional reform, which took place in 1988, provided an important transfer of responsibilities from the federal authority to the

* The Flemish region and the Flemish community have merged into a single entity, called the Flemish community, with a single Parliament, administration and budget.

** A fixed division was applied to the communities (55 per cent for the Flemish community and 45 per cent for the French community). On the regional level, the division was based on three objective criteria – one-third on the basis of the surface of the regions, one-third on the basis of the population of each region, and one-third on the basis of the revenue of the personal income tax located in each region. Some 20 per cent of the revenues of the regions was accounted for by the proceeds of some federal taxes and non-tax revenues.

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Box 1. **Public finance in the Belgian institutional context** (*cont.*)

regions and the communities. In order to enable the federated entities to exercise these new responsibilities, their financial resources had to be increased. Consequently, the funding system in force since 1980 was entirely revised in 1989 and translated into law by the Special Financing Act (SFA) of that year. The previous system of appropriations was replaced with one of pooled and shared tax revenues, with regard to both the vertical transfers (from the federal authority to the federated entities) and the horizontal transfers (among federated entities). Apart from an adjustment and refinancing operation in 1993, the 1989 system remains the basis of the financing system of the regions and communities.

The new funding system is based on two major principles: financial autonomy of the federated entities and solidarity among entities. The solidarity among entities relies on a mechanism which takes into account the evolution of the tax capacity of each entity. When fiscal capacity per capita is lower than the national average, the concerned region is entitled to a "solidarity grant".

The major points of the current financing system

The current financing system can be summarised as follows:

1) In 1989, the federal grants were replaced by the allocation of parts of federal tax revenues, in particular from the personal income tax and the value-added tax (VAT). These taxes are levied uniformly all over the national territory and are entirely the responsibility of the federal government.
2) The expenditure credits, as provided for in the 1989 national budget and corresponding to the responsibilities transferred to the regions and communities, represented the starting point of the tax allocations (vertical division of financial funds). Consequently there is no direct connection between federal tax revenues and total allocations to the federated entities.
3) The allocations are based on different regimes depending on whether they are financed through VAT proceeds (mainly for education) or through personal income tax proceeds (theoretically to finance the other responsibilities of the regions and communities). Moreover, the financing system was somewhat different during the 1989-99 transition period than it is now that the final period has started.
4) As from 2000, the allocations of funds from the personal income tax among communities and regions (horizontal allocations), is related to the share of each entity in the total proceeds of this tax. These allocations are adjusted annually to both the price index and real economic growth.
5) As concerns the allocations financed from the VAT proceeds, since 1989 they have been determined by an annual price index-linkage and a demographic correction factor (population under the age of 18) – the grants for education are thus somewhat related to needs. The distribution among communities is a function of the number of pupils in each community (and not of its fiscal capacity). In the transition period, a distribution mode based on the number of pupils in 1989 was introduced gradually (57.55 per

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Box 1. **Public finance in the Belgian institutional context** (*cont.*)

cent for the Flemish community and 42.45 per cent for the French community); since 2000 the distribution has been based on the number of pupils, which will be computed annually.

6) In 1993 a number of further changes were introduced including: a progressive link between financing from the personal income tax and economic growth; a new transfer of funds related to the additional transfer of responsibilities from the federal authority to the regions (mainly responsibilities related to agriculture and foreign trade); and, a refunding operation in favour of the communities and the regions through an increase in the allocations resulting from the personal income tax (not accompanied by a transfer of responsibilities).

7) The transition period was introduced for two reasons: first to enhance the fiscal consolidation process;* and second, to provide a gradual transition from the actual distribution of allocations in 1989 to a distribution fully based on the new standards.

8) The federated entities' budgets are not only financed by the allocated shares of VAT and personal income tax, but also by the transfer by the federal government of the revenue from specific taxes,** and other transfers (such as the appropriation for higher education of foreign students and payments for unemployed persons returned to the active labour force). Furthermore, since 1992 the federal government has transferred the entire proceeds of the radio and television licence fee to the communities (the so-called community tax).

9) As determined by the Special Financing Act and the Constitution itself, the taxation autonomy of the federated entities is rather limited, especially for the communities. The SFA allows the regions, under certain conditions, to levy surtaxes or to grant tax reductions on the personal income tax and on registration duties, and to levy surtaxes on the radio and television fee. The Constitution gives the communities and regions a general fiscal responsibility. But they can levy taxes only on matters that are not already the object of a federal tax; and a tax enacted by a region or a community can be abolished by a common bill if the federal government intents to levy a tax in the same field. Some taxable matters are thus reserved either to the federal government or to the federated entities.***

* The contribution of the communities and regions to the fiscal consolidation process consisted in accepting a delayed and partial allocation of the amounts due.

** The specific taxes include the so-called "regional taxes", characterised by a linking to a territory *i.e.* inheritance tax, 41 per cent of the registration duties, withholding tax on real estate income, amusement machine licence duty, betting and gambling tax and ecotaxes). The proceeds of these taxes are fully transferred to the regions. The regions are entitled to levy surtaxes or to allow reductions as regards registration duties.

*** The Constitution authorises the communities and regions to levy fees (in return of services provided for by the authorities). Unlike the general tax responsibility, this responsibility is linked with the material responsibilities of the regions.

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Table 6. **Budget structure**
Per cent of GDP

	1965	1970	1980	1985	1990	1999	2000[1]
A. General government outlays							
Belgium	35.0	39.7	53.4	57.3	50.8	47.9	46.7
Euro area	33.0	34.0	43.5	47.8	47.0	46.8	45.0
OECD	27.2	29.5	35.4	38.3	38.3	37.6	36.7
B. General government primary expenditure							
Belgium	. .	36.1	46.8	46.1	38.9	40.7	40.0
Euro area	. .	. .	. .	. .	42.2	42.5	40.9
OECD	25.8	26.6	32.5	33.6	33.4	33.4	32.6
C. General government consumption and social expenditure[2]							
Belgium	. .	31.0	40.9	42.2	37.1	38.2	37.5
Euro area	26.5	27.3	35.2	37.4	36.6	38.6	38.1
OECD	21.3	23.5	28.2	29.2	29.5	30.3	29.9
D. General government taxes and social charges[3]							
Belgium	. .	34.9	41.7	45.1	42.6	46.0	45.3
Euro area	30.3	31.3	37.3	39.3	39.3	42.9	42.7
OECD	25.0	26.9	30.2	31.3	32.6	34.5	34.9

E. Estimated general governement outlays by category in 2000

	Income transfers	Subsidies	Interest payments	Consumption	Net capital outlays	Total outlays
Belgium	16.5	1.5	6.7	21.0	1.0	46.7
Euro area	18.4	1.4	4.1	19.7	1.4	45.0
OECD	14.1	0.8	4.2	15.9	1.9	36.8

1. Estimates.
2. Social security outlays and other current transfers.
3. Direct and indirect taxes and social security contributions.

Source: OECD.

charges are also high by international standards. Indeed, as fiscal consolidation and meeting the Maastricht criteria were the overriding priorities for most of the 1992-2000 period, tax pressure, was increased further. Direct levies consisting of corporate taxes and withholding taxes paid by individuals have risen in relation to GDP. Indirect taxes have also risen, reflecting successive increases in excise duties on fuels and cigarettes as well as in the standard VAT rate – first, from 19.5 per cent to 20.5 and then to 21 per cent. However, this increased reliance on indirect taxes (the so-called "alternative financing" policy), represented to a certain extent, the counterpart to the reduction in employers' social security contributions started by the previous government and stepped up by the current one (see above). The taxation of income from labour has also begun to be eased, though it remains heavy: until recently, both average and marginal tax wedges on labour were among the highest in the OECD area (see Chapter III).

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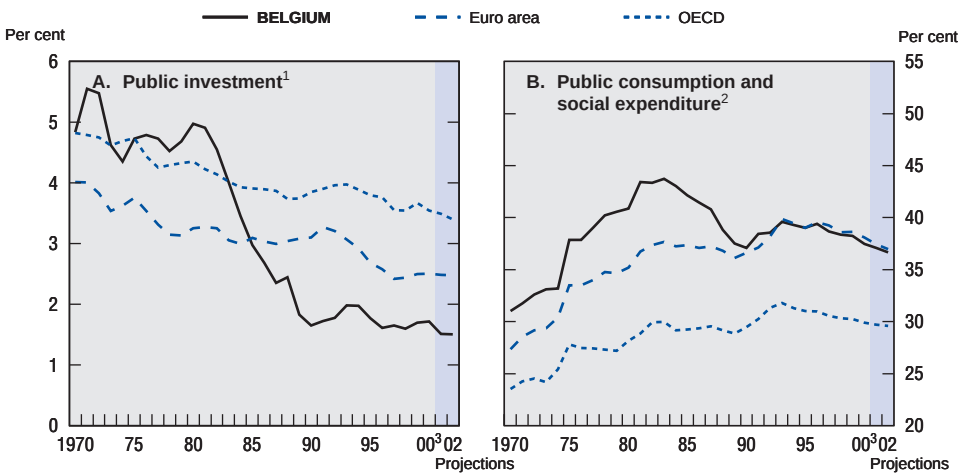
Another problematic aspect of the way in which the budget was consolidated is that the burden of restraining public expenditure has fallen disproportionately on public investment which, as a percentage of GDP, fell sharply already in the 1980s, and is now only around 1½ per cent, well below the euro area and OECD averages (Figure 10, Panel A). Public consumption and social expenditure, as a percentage of GDP, have also fallen markedly from their peak of nearly 45 per cent in the mid-1980s. But since 1992, their decline has been modest, and at around 39 per cent of GDP they are broadly in line with the euro area average but well above the OECD average (Figure 10, Panel B). Finally, the Belgian public sector is relatively large also in terms of public employment as a share of total employment, since this share has remained rather stable over the last decade at around 26 per cent.[18]

A specific feature of Belgium's tax system is that it seems to offer fiscal advantages to various financial operations of multinationals with appropriate offices in Belgium, the so-called co-ordination centres (*centres de coordination*). The OECD Forum reviewing Member country tax systems has identified Belgium's fiscal treatment of co-ordination centres as being a potentially harmful preferential tax regime, notably in the areas of intra-group insurance, financing and leasing,

Figure 10. **Selected public-expenditure items**

Per cent of GDP



1. Gross fixed capital formation.
2. Social security outlays and other current transfers.
3. Partly estimated.

Source: National Accounts Institut; National Bank of Belgium and OECD.

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and corporate headquarters' activities in general. According to the 1998 OECD Report on harmful tax competition,[19] "a preferential tax regime is identified as potentially harmful if it has features that suggest that the regime has the potential to constitute a harmful tax practice, even though there has not yet been an overall assessment of all the relevant factors to determine whether regimes are actually harmful".[20] Hence, "further work will assist Member countries in determining which of their potentially harmful regimes are, or could be applied to be, actually harmful, and in determining how to remove the harmful features of such harmful regimes".[21] Recently, the European Commission has expressed doubts concerning the compatibility of Belgium's co-ordination centres with EU competition rules.

Public finance since EMU

While Economic and Monetary Union leaves the responsibility of budgetary policy with the national authorities, it has nonetheless created a new environment since EMU Member states are required to comply with the Stability and Growth Pact. This Pact calls on participants in Monetary Union to commit themselves to aim at a medium-term budgetary balance or small surplus. The purpose is to ensure that normal fluctuations in economic activity will not result in excessive budget deficits, *i.e.* deficits of more than 3 per cent of GDP. Beyond, this technical target, the medium-term orientation of budgetary policy is motivated by several considerations: first, to prevent budgetary conditions from undermining the effectiveness of monetary policy; second, to contribute to a faster reduction in the debt-to-GDP ratio in countries where this ratio is still above the reference value of 60 per cent; and third, to create the necessary room for manoeuvre to cope with longer-term developments, such as the likely increase in public spending required by population ageing. To ensure that the provisions of the Stability and Growth Pact are respected, Member countries are required to prepare each year a stability programme, outlining their budgetary policy for the next three or four years, and indicating how they intend to ensure that budgetary developments conform with the provisions of the Pact.

The first stability programme

Belgium submitted its first stability programme in December 1998, covering the period 1999-2002. The cornerstone of the government approach was a norm requiring the maintenance of the primary surplus (national definition)[22] at around 6 per cent of GDP– the level then expected for 1998.[23] Combined with decreasing interest payments as a percentage of GDP, this was projected to virtually eliminate the general government deficit by 2002 and reduce the debt-to GDP ratio to around 107 per cent. This fiscal consolidation path was based on the assumption of an average economic growth of 2¼ per cent a year. To ensure respect of the consolidation path two specific budgetary norms were introduced:

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first, the consolidated primary surplus of the federal government and the social security system (Entity I) was to remain at 5¼ per cent of GDP – the level, expected in 1999; and second, the consolidated budget of the regions, communities and local governments (Entity II) was to remain in balance.

The 1999 Budget

The 1999 Budget, presented in October 1998 before the first stability programme, assumed a rate of growth of real GDP of 2.4 per cent. It projected an overall deficit for the general government of 1.3 per cent of GDP and a primary surplus (national definition) of 6.2 per cent of GDP. Despite fears at mid-1999 of a serious slowdown in real GDP growth due to a general weakening in economic activity in EU countries and the dioxin crisis in Belgium (*i.e.* the dioxin contamination of part of the food chain), the outcome was better than projected. Economic growth reached 2.7 per cent, and the overall deficit was reduced to 0.7 per cent of GDP – compared with a target deficit of 1.3 per cent of GDP set by the stability programme.[24] The slight decline in the primary surplus (by 0.2 per cent of GDP) was accounted for by a small rise in total primary expenditure as a share of GDP, as the total revenue share stayed broadly constant at around 46½ per cent of GDP. Hence, the improvement in the overall deficit was more than accounted for by a decrease in interest charges as a percentage of GDP.

The second stability programme

An updated stability programme was submitted at the end of 1999, covering the period 2000-03. It retained the assumption of an average annual rate of growth of 2½ per cent for 2000-01 and, for the rest of the period, it assumed a growth rate equal to potential, *i.e.* 2¼ per cent. It also introduced a second general norm requiring the general government overall balance to return to equilibrium in 2002 – with intermediate deficit targets of 1 and ½ of a per cent of GDP in 2000 and 2001, respectively. In 2003 a small structural surplus, was to be generated.[25] In the event of economic growth in excess of what was assumed, it was stipulated that while in 2000 the windfall gains would be *primarily* used to reduce the public debt, in the following years they would be *entirely* used for this purpose. Specific norms were set for all the various Entities to allow each one of them to reach a balanced net financing position in 2002. For Entity I, this implied an increase in the primary surplus. For the regions and communities in aggregate budgetary balance had to be achieved over the entire period, in line with the terms of the co-operation agreement of November 1999 between the federal government and the federated entities. As regards the local governments, they had to generate a small surplus (0.2 per cent of GDP) in 2000 and 2001, and keep their budgets in balance from 2002 onwards.

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The 2000 Budget

The 2000 Budget presented in October 1999, was the first one prepared by the new government. It projected a primary surplus of around 6 per cent of GDP and an overall general government deficit of 1 per cent of GDP. It was based again on the prudent assumption of real GDP growth rate of 2½ per cent. This was sufficient to give the government some room for manoeuvre for a number of new initiatives. These included: a significant acceleration in the multi-annual programme of reductions in employers' social security contributions which, to affect proportionately more the lower end of the labour market, took the form of a lump sum additional reduction; the re-indexation of tax brackets to end the automatic increase in the tax burden caused by inflation; the phasing-out, over a period of three years and starting with low incomes, of the 3 per cent solidarity tax (*contribution complémentaire de crise*), which was introduced in July 1993; the deduction of the value added tax rate on some labour intensive services, such as shoes, clothes, and bicycle repair work as well as repair work on 5 to 15 years old buildings (from 21 to 6 per cent); and, an increase in tax reductions for child care. In addition, the Budget introduced a new labour market programme ensuring that school-leavers find a job within six months (*plan premier emploi*).

Since real GDP growth is expected to have been of the order of 3¾ per cent in 2000 – well above the 2½ per cent assumed in the Budget – the general government seems to have been close to balance already in 2000 – two years ahead of the timetable set in the stability programme. The primary surplus may have remained at around 6¼ per cent (OECD definition). On a cyclically-adjusted basis, while the small overall surplus may have remained virtually unchanged the primary surplus may have declined from 7.1 per cent of GDP in 1999 to 6.6 per cent in 2000, primarily as a result of a modest easing in the stance of fiscal policy. The budgetary results could have been even better without the rise in oil prices and the depreciation of the euro which, according to estimates of the Federal Planning Bureau, had a negative net impact on the overall general government account of around 0.3 per cent of GDP in 2000.[26]

The multi-annual budgetary programme 2001-05

In its statement on federal policy presented to Parliament on 17 October 2000, the government introduced the multi-annual budgetary programme 2001-05,[27] and an outline of the envisaged income tax reform. In addition, the government reviewed all its socio-economic goals, and briefly indicated how it intends to reach them. To ensure the consistency and viability of all its goals and initiatives, the government introduced a new Pact for Decreasing the Public Debt ("*Pacte de diminution de la dette* 2001-2005"). More specifically, the government set targets for the general government budget which is to show a small surplus already in 2001, two years ahead of the schedule set in the second stability

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Table 7. **The multi-annual budgetary programme 2001-05**

Per cent of GDP

	2001	2002	2003	2004	2005
Targets for:					
Net lending of the general government	0.2	0.3	0.5	0.6	0.7
Entity I	–0.3	0.0	0.2	0.4	0.5
Entity II	0.5	0.3	0.3	0.2	0.2
Projected gross public debt[1]	105.8	101.4	97.2	92.9	88.7
Memorandum items:					
Projected budgetary margins (Entity I)[2]					
Per cent of GDP	0.2	0.4	0.8	0.9	1.3
BF billion (2001 prices)	16.0	45.0	82.0	104.0	146.0

1. Maastricht definition.
2. Under "prudent" assumptions – notably an average annual rate of growth of real GDP of 2½ per cent – and at unchanged policies, but including all multi-annual measures taken before the 2001 Budget, notably, the re-indexation of tax brackets and the phasing out of the 3 per cent "*contribution complémentaire de crise*". Hence, it excludes the impact in coming years of measures taken in the 2001 Budget, and financed by the 2001 margin.

Source: *Les finances publiques belges pour l'année* 2001, Cabinet du Vice-Premier ministre, ministre du Budget, Bruxels, 17 october 2000.

programme of end-1999, and the first surplus since 1950. The surplus is to increase to 0.7 per cent of GDP in 2005, with Entity I improving its position from a small deficit in 2001 to a surplus of 0.5 per cent in 2005, and Entity II showing a small surplus throughout the entire period (Table 7). The debt-to-GDP ratio is projected to fall below 100 per cent already in 2003, rather than in 2005, as indicated in the second stability programme, and to decline to a little less than 90 per cent in 2005. For the regions and communities these targets and projections rest on an agreement which has been formalised in a new co-operation Agreement ("*Accord de coopération*"). The debt-to-GDP projections do not include expected proceeds from the sale of UMTS licenses in 2001, which will be allocated to the financing of the "Fund for Population Ageing" (*Fonds de vieillissement*). To the extent that the Fund will invest these proceeds in government securities, they will entail a faster decline of the public debt in relation to GDP.[28]

Under prudent macroeconomic assumptions notably – an average annual rate of growth of real GDP of 2½ per cent, broadly corresponding to the estimated potential growth of the economy –[29] the government estimates that these budget targets can be met while at the same time providing scope for additional policy measures ("*marges budgétaires*"). These margins, which are all related to Entity I, represent 0.2 per cent of GDP in 2001, and rise to 1.3 per cent in 2005.[30] The small 2001 margin has been used in the 2001 budget to finance a reduction in the fiscal burden and an increase in health care and other social security spending.[31]

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All told, the 2001 Budget, as noted projects a small surplus (0.2 per cent of GDP) for the general government, as a result of a deficit of 0.3 per cent of GDP for the federal government and the Social security system (Entity I), and a surplus of 0.5 per cent of GDP for the regions, communities and local governments (Entity II).[32] Total receipts of the Entity I, as a percentage of GDP, decline from 43.9 in 2000 to 43.1 per cent in 2001. Primary expenditures of Entity I increase by 4.4 per cent compared with the revised 2000 budget, representing a decrease with respect to GDP from 26.1 to 25.6 per cent.

Since economic growth in 2001 is expected to be stronger than assumed in the budget (around 3 per cent rather than 2½ per cent) the margin of manoeuvre is likely to be somewhat larger than envisaged. The statement in the Budget document that, given the recommendations of the European Commission, cyclical windfall gains (or additional margins) can be used for new policy initiatives only "up to a point", would seem to imply that the automatic stabilisers will not be allowed to work fully and that some additional policy measure will be introduced. Hence the OECD Secretariat expects the overall surplus to be only slightly larger than targeted and the cyclically adjusted primary surplus to remain broadly unchanged at around 6½ per cent of GDP.

In coming years, the government intends to use the margins to finance a number of policy initiative including:

- The reduction of the tax burden, notably on the income from labour, through various measures and especially an income tax reform (see below);
- The financing of the Fund for Population Ageing, to accumulate sufficient reserves to meet the additional expenditures – notably for pensions – that population ageing is expected to bring about, especially from 2010 to 2030;
- Stepping-up active labour market policies and raising the employment rate through various initiatives, such as targeted measures to increase the employment of youngsters with a low educational level, long-term unemployed and other persons who have been excluded from the labour market;
- Providing financial incentive to encourage arrangements negotiated by the social partners to reduce the work-week to 38 hours and making working-time and careers more flexible;
- Increasing progressively, and permanently, the financial resources and autonomy of the communities according to a detailed timetable covering the period up to 2012. The increased fiscal autonomy and responsibility of all federated governments (E*ntités fédérées*) will included the transfers of various taxes in areas under "regional responsibility" to the corresponding authorities.[33]

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The income tax reform

While, over the next few years, the government has decided to carry out a major overhaul and simplification of the entire tax system, the priority and the first step is a personal income tax reform. The aim is to accelerate the reversal, of the decade long trend towards a growing tax burden. The emphasis will be on relief measure for labour income and especially for low wages. More specifically, the envisaged tax reform, which is estimated to represent tax cuts of some BF 135 billion (around 1¼ per cent of GDP), starting with 2001 incomes, is centred around four main priorities.

The first priority aims at reducing the tax burden on labour income at an estimated cost of BF 69 billion. It includes various measures notably:

– The introduction of an in-work tax credit concentrated on low wages;
– The increase from 20 to 25 per cent of the deduction for professional expenditure in the first tax bracket;
– A change in the tax rates on middle-income brackets to reduce the tax burden on corresponding incomes;
– The elimination of the highest income tax brackets, *i.e.* 52.5 and 55 per cent.

The other three priorities aim at, respectively:

– Reforming the fiscal system to make it neutral with respect to the social status of the tax payer. For instance, the different fiscal treatment of married and unmarried couples will be eliminated, and all the advantages applying to married couples will be fully extended to unmarried couples. The budgetary cost of this measure is estimated at BF 59 billion.
– Increasing the generosity of child allowances, and revising existing legislation which does not allow persons with low incomes to take full advantage of these allowances. The estimated budgetary cost is BF 5 billion.
– Alleviating the impact on the environment of workers' commuting from home to the workplace – for instance through measures enhancing the use of public transports – and encouraging a better isolation of houses and buildings to save energy.

In addition to the personal income tax reform, the Finance Minister is exploring ways to reduce corporate tax rates while abolishing tax breaks, and has asked the *Conseil supérieur des finances* for advice on how this could be done.

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III. Progress in structural reform

Introduction

The macroeconomic performance of the Belgian economy has been rather good over the past couple of years, which may be attributed in part to the fact that the pace of structural reform has been stepped-up. Nonetheless, much remains to be done in this area, notably in the labour market where the low employment rate is a major problem.

The emergence and persistence of high unemployment in various forms was linked in the 1997 OECD *Economic Survey* to a set of structural factors. In particular, institutional rigidities and specific features of the labour market, of social protection and of the education and training system, had resulted in a rather inflexible wage structure, high non-wage labour costs, insufficient incentives to work and a lack of appropriate skills and qualifications – all these factors affecting especially the lower end of the labour market. The 1997 *Survey* called for a wide-ranging, multi-annual strategy to: first, make the wage formation system more flexible and correspond more to differentials in skills and local conditions; second, reform the unemployment insurance scheme and, more generally, the welfare system to increase incentives for the unemployed and other persons in unemployment-related programmes to return to the active labour market; and third, strengthen and broaden active labour market policies to provide persons in welfare programmes with the necessary guidance and qualifications and, in special cases, with work in social-job programmes.

In assessing progress in structural reform over the 1997-99 period, the 1999 OECD *Economic Survey of Belgium* (OECD, 1999*a*) noted that, on the whole, progress had been slow and rather uneven, and a few important measures had not been considered. In the labour market, the authorities had continued to emphasise cuts in employers' social security contributions, appropriately focused on low-wage workers, combined with "active" measures such as training and guidance. Over this period, macroeconomic outcomes were encouraging, but the significant decline in the standardised unemployment rate had largely reflected cyclical developments and was not accompanied by a parallel rise in the low employment rate as participation rates did not pick up significantly; and the modest increase in

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wage costs was not surprising given the law on employment and competitiveness – a measure which carries a long-term risk of potentially harmful effects arising from rigidities introduced at the microeconomic level.

Hence, it was recommended that the law be progressively phased out along with a freeing of the wage formation process, especially at the low-wage end of the labour market, to increase the employment prospects for young people and other low-skilled workers. To enhance an orderly transition it was suggested to rely on various provisional measures, including: lowering the minimum sectoral wage to the minimum statutory (or interprofessional) wage level; making greater use of "opening clauses"[34] and generalising existing exceptions from the minimum statutory wage to various target groups, such as older persons, youngsters and the long-term unemployed. To strengthen work incentives while at the same time preserving social and equity objectives it was again recommended to reduce replacement rates, apply more strictly benefit sanctions in case of refusal of suitable work, and introduce in-work benefits – a policy aimed at encouraging a shift of persons from a passive benefit situation to low-paying jobs complemented by in-work benefits. Finally, it was noted that progress in this direction would be significantly enhanced by more competitive and dynamic product markets, especially in the services sector where the scope for reform seemed considerable.

The following paragraphs, after presenting a brief overview of the economic programme of the new government, discusses measures taken over the past couple of years or envisaged in the labour, product and financial markets, and in the health care sector (which was analysed in-depth in the 1999 S*urvey*), and concludes with a discussion of reform priorities for the period ahead.

Overview of the economic programme of the new government

The new government, which came to power in July 1999, has stressed its intention of implementing an "active welfare state" ("É*tat social actif*"). The aim is to make sure that, through participation in the active labour force, no social group is marginalised, and that all citizens will be assured a high degree of security, enabling them to contribute in a creative manner to society, while enjoying a good quality of life. More specifically, the Government has announced a number of priorities and reforms to be undertaken over the coming years – one of the main goals being to make the current cyclical expansion sustainable. These priorities include: assuring the continuation of wage moderation through the 2000 biannual general wage negotiations (*accord interprofessionnel*) covering the 2001-02 period, and various measures concerning the labour market, including plans to make the labour force more mobile; a fiscal reform, at first limited to personal taxes; the introduction of a special fund to help finance the requirements of population ageing (F*onds de vieillissement*); a revision of the "financing law" (*loi de financement*) governing the transfer of funds from the federal government to

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regions and communities (*entités fédérées*); and, finally, stepping-up the introduction of information technology in the public sector ("*e-gouvernement*").

In a nutshell, it can be said that this approach is centred around two main and interrelated axes: first as reviewed in Chapter II, putting public finance firmly on a sustainable basis, thereby assuring a continuous significant decline in the debt-to-GDP ratio; and second, improving labour market outcomes with a strong increase in the employment rates over the coming years through reform in most labour and product markets. Since the labour market is one of the focus of attention of the new government, the following section, briefly takes stock of conditions in this market before considering policy measures.

The labour market

Current conditions in the labour market

Despite recent improvements, mostly related to the favourable cyclical situation, the labour market remains the weak spot of the Belgian economy. The employment rate[35] was 58 per cent in 1999, one of the lowest in the OECD area and somewhat below the average of the three "reference countries" (Germany, France and the Netherlands) and the EU average – both around 63-64 per cent, (Figure 11, Panel A).[36] The employment rate is also low by historical Belgian standards since it was over 60 per cent in 1960. This overall result is primarily the reflection of the low employment rate of three groups: older adults (55-64), youths (15-24), and women above 40. On the other hand, the employment rate of adults (25-54) is broadly in line with the EU and OECD average (Figure 11, Panel C).

The employment rate of older adults (55-64), at a little less than 25 per cent, is the lowest among Member countries (Figure 11, Panel D). This can largely be ascribed to policies to reduce the number of persons recorded as "unemployed". In the 1970s and 1980s the early retirement programme (*prépensions*) allowed a large number of working-age persons to leave the labour force. In the 1990s, while this programme was progressively tightened and the age limit for early retirement was raised from 55 to 58 (with a few exceptions), the programme for old unemployed (*chômeurs âgés*), who are not required to seek a job (and hence, are effectively removed from the labour force and are not recorded as "unemployed"), was made financially more attractive, and the minimum entry age was reduced to 50. As a result, the total number of working-age persons who have withdrawn from the labour force through these two programmes has continued to increase (Figure 12).

The employment rate of youths (15-24) is also very low – 26 per cent compared with nearly 40 per cent in both the three reference countries and the European Union on average (Figure 11, Panel B). But this low rate reflects to a significant extent the fact that students in Belgium stay longer in school than in

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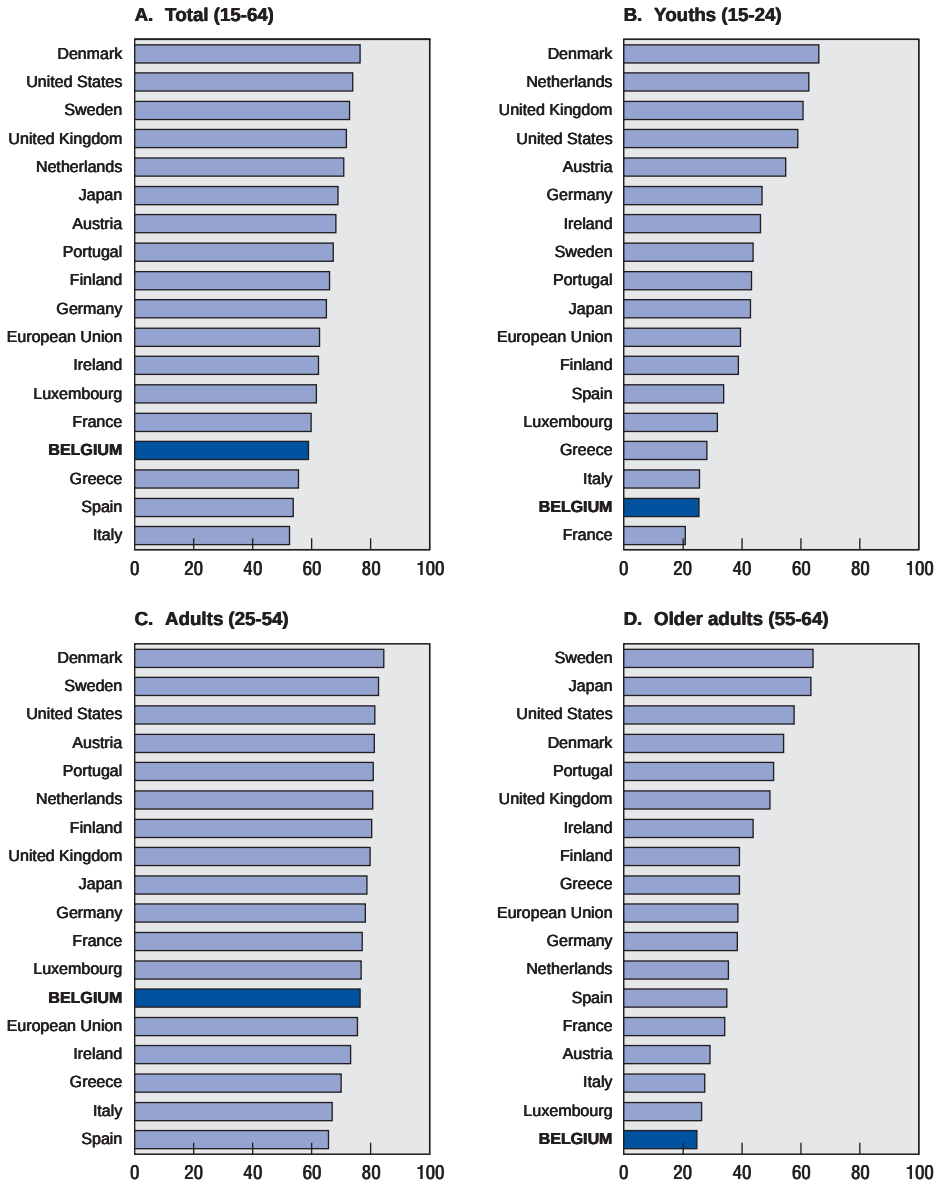
Figure 11. **Employment rates,[1] 1999**



1. Total employment as a percentage of corresponding population.
Source: OECD, *Employment Outlook*, June 2000.

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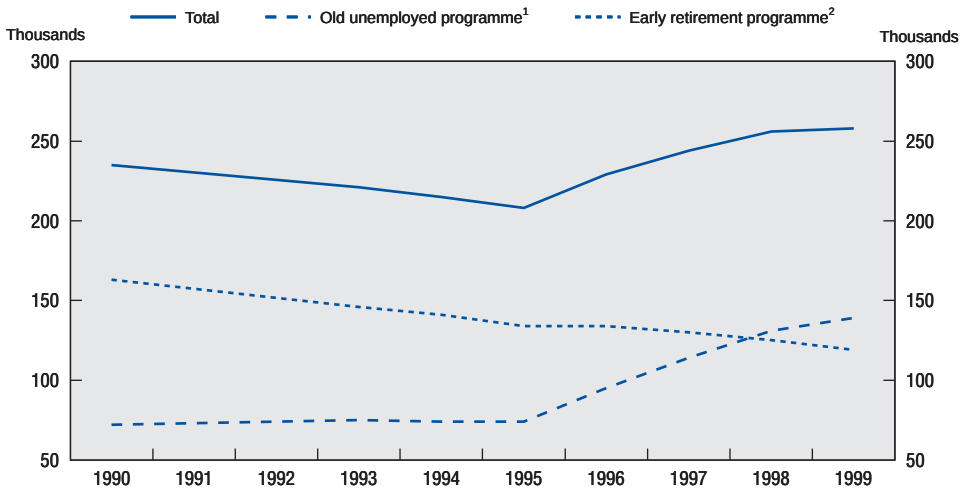
Figure 12. **Old unemployed and early retirement programmes**



1. Old unemployed exempted from seeking a job.
2. *Prépension conventionnelle.*
Source: Ministère Fédéral de l'Emploi et du Travail and OECD.

other EU countries on average, and the system of apprenticeship (combining part-time training and part-time work) is relatively less developed.

As regards women, their employment rate is generally low except for the 25-34 age group, especially compared with the three reference countries – 50 and 56 per cent respectively. However, the difference with other countries is particularly significant for women above 40 for whom the employment rate falls to 47 per cent – a somewhat puzzling feature which is not well understood.

Partly reflecting the special programmes allowing persons to withdraw from the labour force, the Belgian standardised unemployment rate, at 9.1 per cent in 1999, was just below the EU average (9.2 per cent), although above the average of the three reference countries – 7.8 per cent (Table 8). While the unemployment rate of women is broadly similar to that of the European Union, the unemployment of youngsters and older people is significantly more important than in other EU countries on average. But what is really striking about Belgium, is the incidence of long-term unemployment which, at more than 60 per cent of total unemployment, is the highest in the OECD area (Figure 13). Another long-standing feature of unemployment in Belgium is the importance of regional and sub-regional differences.[37] While the national unemployment rate (national definition)[38] was 11.6 per cent in 1999, it was 7.5 per cent in Flanders, 17.3 per cent

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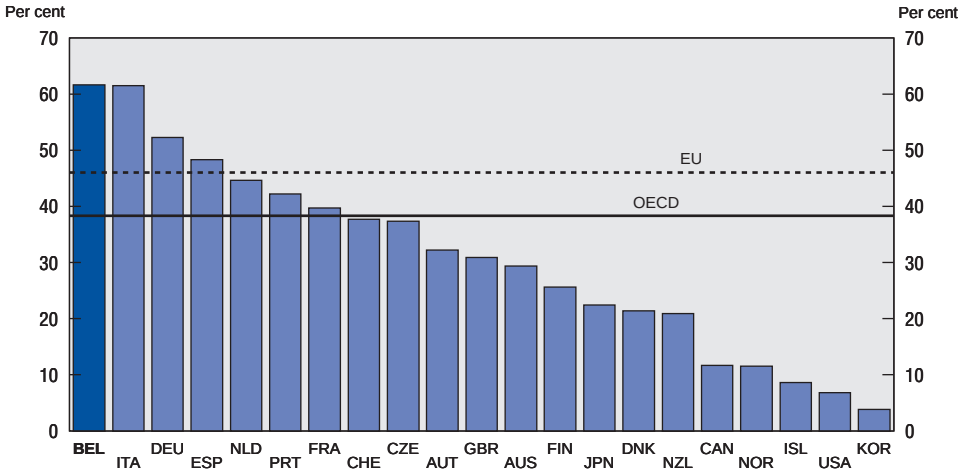
Table 8. **Unemployment rates in selected countries, 1999**

	Total[1]	Youth (15-24)[2]	Women[2]
United States	4.2	9.9	4.3
European Union	9.2	17.2	10.9
of which:			
Belgium	**9.1**	**22.6**	**10.2**
Germany	8.8	8.5	9.3
France	11.3	26.6	13.6
Netherlands	3.3	7.4	4.9
Japan	4.7	9.3	4.5
Canada	7.6	14.0	7.2
Australia	7.2	13.5	6.7
New Zealand	6.8	13.7	6.5
Switzerland	. .	5.6	3.5

1. Standardised rates.
2. National definition.
Source: OECD, *Main Economic Indicators* and *Employment Outlook*, June 2000.

Figure 13. **Incidence of long-term unemployment**[1]
As a percentage of total unemployment, 1999



1. 12 months or more.
Source: OECD, *Employment Outlook*, June 2000.

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in Wallonia and 18.1 per cent in Brussels. Not only are the differences in regional unemployment large, but they have increased significantly over the past few years. While in the first part of the 1990s, unemployment rose in all three regions, in the more recent period of good economic growth it has declined throughout the country but much faster in Flanders than in the other two regions.[39]

The decline in the overall unemployment rate over the past few years has been accompanied by a significant increase in the number of unfilled vacancies, to a new historical peak of over 50 000 early in 2000 – representing 1¼ per cent of the labour force (see Chapter I). Here, too, the difference between the three regions is large and growing, with Flanders accounting for the bulk of these vacancies (over 40 000), and each one of the other two Regions recording less than 10 000 vacancies.

Commenting on these differences in regional labour-market conditions and their evolution over the past decade or so. The *Conseil supérieur de l'emploi* notes that not only has the reduction of jobs in the industrial sector been smaller in Flanders than in Wallonia and Brussels, but also the creation of jobs in the services sector has been significantly more rapid in Flanders than in the other two regions.[40] The *Bureau fédéral du plan* links these divergences primarily to structural factors such as: policies towards foreign direct investment; subsidies to investment; zoning and environmental laws; the state of the infrastructure; the role of risk capital; and education and training.[41]

This brief review of labour market conditions suggests that the problems are mainly structural and continue to reflect most of the factors identified in previous *Surveys*. On the demand side, wage and non-wage costs may still be too high to price low-skilled workers back into the market and, for certain types of work, such as temporary jobs, employment security provisions may remain too constraining (see below). But increasingly, the most important rigidities may be on the supply side, where a lack of appropriate skills and qualifications (as well as aptitude to work) combined with a rather low labour mobility results in major mismatches (Figure 14). As noted above, growing unfilled vacancies in Flanders coexist with high unemployment rates in other parts of the country. Weak incentives to work seems a major reason for low labour mobility: they reflect both the generosity of the welfare system – or, at least, some parts of it – (Figure 15) and the highest tax wedge on labour in the OECD area (Figure 16, Panel A). This last point is due nearly equally to the burden of personal income taxes and employers' and employees' social security contributions (Figure 16, Panels B and C). Similarly, for an important group of tax-payers,[42] average and marginal tax rates on labour income[43] are the highest among Member countries (Figure 17).[44] Unemployment traps[45] are especially relevant for the low-skilled and those potentially available for part-time work,

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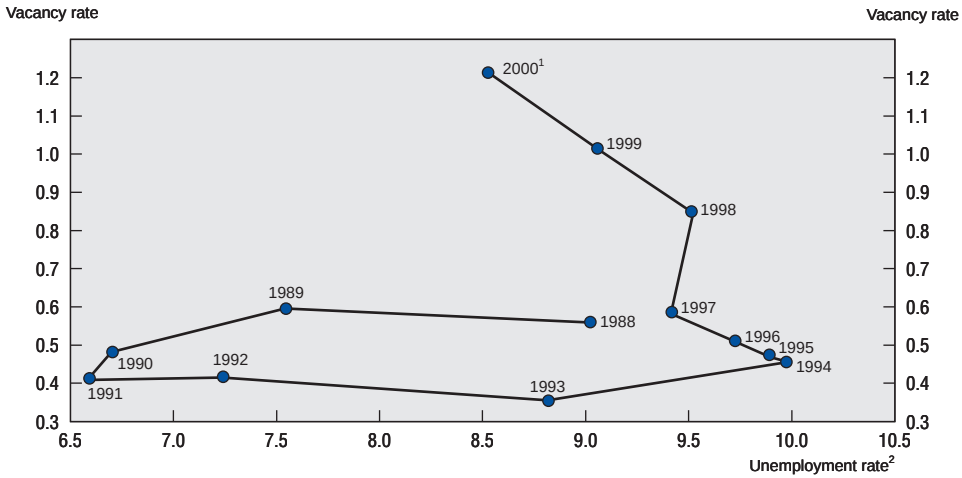
Figure 14. **Labour market mismatch**

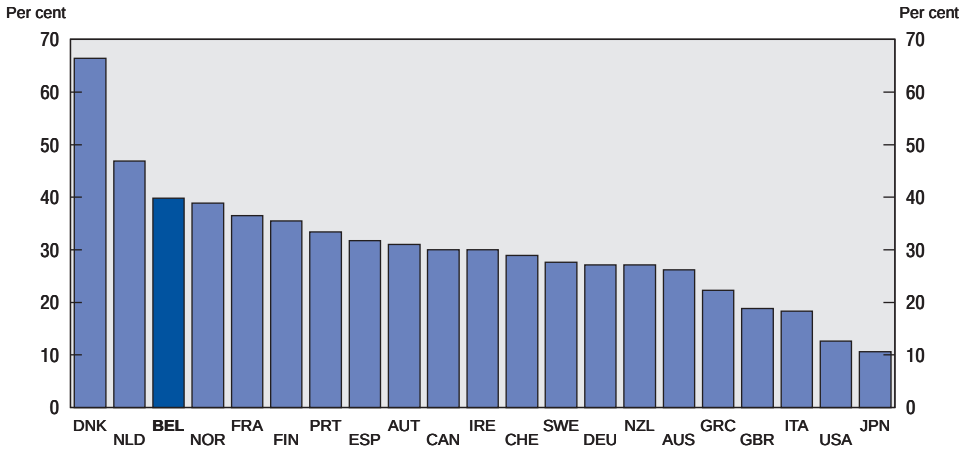
Per cent



1. Average of first nine months.
2. Standardised unemployment rate.

Source: OECD, *Main Economic Indicators* and *Labour Force Statistics*.

Figure 15. **Unemployment benefit replacement rates**[1]



1. Average of three family types (single persons, persons with dependent spouse, and persons with spouse in work) over a five year period and two earnings levels. Benefits were calculated before tax as a percentage of previous earnings before tax. Countries are ranked in descending order of replacement rates in 1997 (in 1995 for New Zealand).

Source: OECD, *Benefit Systems and Work Incentives*, 1999.

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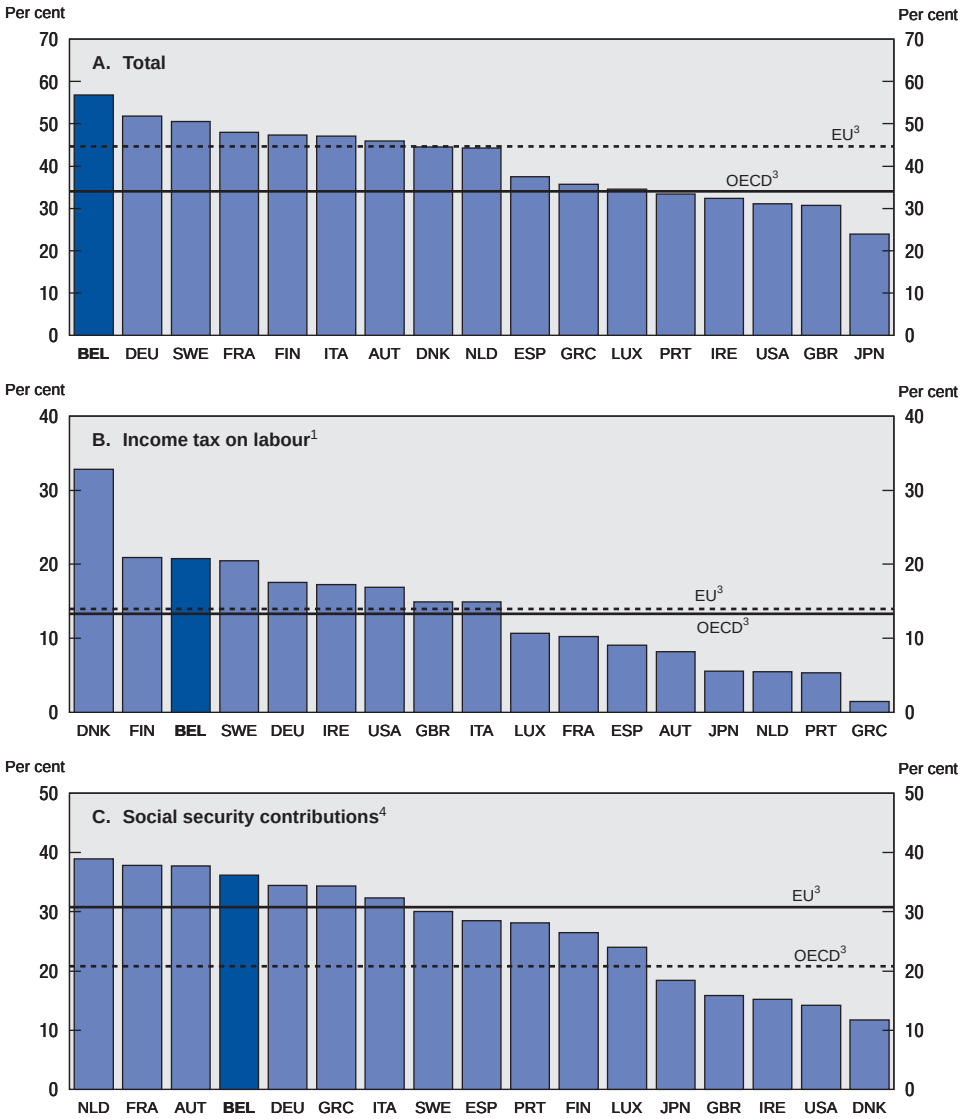
Figure 16. **Average tax wedge on labour,[1] 1999**

As a percentage of gross labour costs[2]



1. For a single individual at the income level of the average production worker.
2. Gross wage plus employers' contributions.
3. GDP weighted average.
4. Employers' and employees' contributions.

Source: OECD, *Taxing Wages*.

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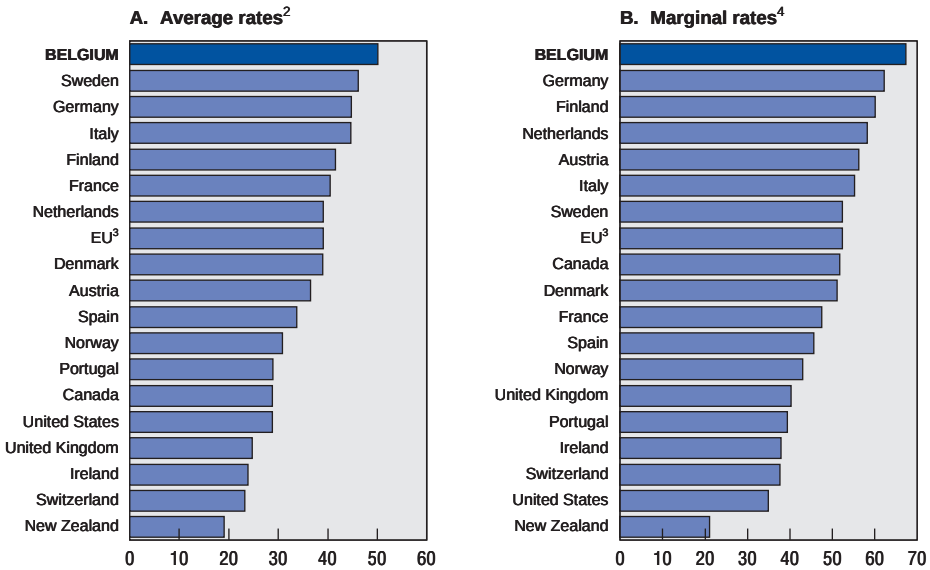
Figure 17. **Tax rates on labour income in Belgium and other OECD countries**
In 1999 for a married couple with two children,[1] per cent



1. Where the principal earner makes 100% and the spouse 67% of the income of an average production worker.
2. Income tax plus employee and employer contributions less cash benefits.
3. Weighted average.
4. Income tax plus employee and employer contributions. Assumes a rise in gross earnings of the principal earner in the household.

Source: OECD, *Taxing Wages*.

but also for other unemployed persons cumulating various (mean-tested) social security benefits.[46]

Confronted with this complex situation, the new government aims at raising the employment rate both by encouraging the demand for labour and by working on the supply side to increase the size and quality of the labour force. The government characterises its policy as an "activation of unemployment benefits" ("*activation des allocations de chômage*"). The emphasis on "activation" is particularly important given the very large number of working-age benefit recipients not in employment some of whom, given appropriate policies and market conditions, could be expected to be in the active labour force. As shown in Table 9,this pool of potential labour resources represents over 16 per cent of the corresponding labour force,[47] which gives a broad indication of the scope for "activation".

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Table 9. **Employment and non-employment**
Thousands, end-June

	1990	1993	1994	1995	1996	1997	1998	1999	2000[1]
Working age population (15-64)	6 673	6 693	6 702	6 703	6 703	6 706	6 709	6 712	6 717
Employment	3 814	3 766	3 737	3 762	3 783	3 807	3 853	3 902	3 954
of which special labourt market programmes[2]	128	113	114	116	122	134	139	153	158
Employment rate[3]	57.2	56.3	55.8	56.1	56.4	56.8	57.5	58.0	58.9
Benefit recipients not in employment[4]	678	804	834	825	837	841	820	801	775
As a percentage of the broad labour force[5]	15.1	17.6	18.3	18.0	18.2	18.2	17.6	17.0	16.4
Unemployed job seekers	365	511	554	555	545	541	505	475	439
Unemployment rate[6]	8.7	11.9	12.9	12.9	12.6	12.4	11.6	10.9	10.0
Other benefit recipients not seeking a job	313	293	280	270	292	300	315	326	336
of which :									
Old unemployed exempted from seeking a job	72	75	74	74	95	114	131	139	149
Unemployed exempted from seeking a job for social or educational reasons[7]	51	46	42	41	43	35	37	43	44
Training or special leaves[8]	27	26	23	21	20	21	22	25	28
Early retirement[9]	163	146	141	134	134	130	125	119	115
Memorandum item:									
Standardised unemployment rate (Eurostat definition)	6.6	8.8	10.2	9.8	9.8	9.4	9.6	9.0	8.5[10]

1. Estimates, unless otherwise indicated.
2. See Table 2.
3. Employment as a percentage of the working age population (national definition).
4. People of working age who are inactive and who are receiving social security benefits (excluding disabled persons).
5. Broad labour force is employment plus benefit recipients not in employment.
6. Unemployed job seekers as a percentage of the labour force (*i.e.* employment plus unemployed job seekers).
7. *Interruption de chômage*.
8. *Interruption de carrière à temps complet*.
9. *Prépension conventionnelle*.
10. Actual figure.

Source: Ministère fédéral de l'Emploi et du Travail and OECD.

Wage and labour cost flexibility

On the demand side, the new government, like the previous one, has centred it labour market policy around a progressive structural reduction in non-wage labour costs, targeted at the lower-end of the labour market and at specific groups – such as young unemployed, long-term unemployed, and older persons. This approach is complemented by employment-enhancing measures taken by the social partners and a more preventive active labour market policy. Hence, in the framework of the 2000 budget, the multi-annual programme of cuts in employers' social security contributions[48] was stepped up, starting in April of that year. The additional measure took the form of a reduction of BF 32 000, on average, per

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worker per year. Given its lump-sum character, this measure benefits relatively more low-paid workers, and will contribute to increasing demand for such workers. It also accelerates the process of bringing Belgian non-wage labour costs down to the weighted average level of the three reference countries. The previous government had expected to reach this goal in 2004, at a total budget cost of BF 108 billion (around 1 per cent of GDP), entailing a total reduction in the average labour cost of 3.4 per cent over six years.[49] However, since then the reference countries have also embarked on a policy of cuts in non-wage labour costs, so that it will take Belgium longer and cost more than expected to reach parity in this area with Germany, France and the Netherlands.

To ensure that this programme will lead to the maximum possible increase in employment (rather than be used to boost profits) the authorities have asked the social partners, as a counterpart, to step up their efforts with respect to training and other employment-enhancing measures, bringing their expenditure in this area up to the average level of the three reference countries. It is too early to assess whether these engagements have been fully respected but, according to the *Conseil central de l'économie*,[50] it would seem that the social partners have indeed increased their expenditure on training. Labour Force Surveys show that the number of people aged 25-64 receiving continuous vocational training increased from 110 000 in 1997 to 255 000 in 1999.

To raise the employment rate of older persons, since 1 July 2000 firms hiring a person 45 or older benefit from a substantial reduction in social security contributions which lasts for 5 years and is increased if the hired person is long-term unemployed. In all, according to the *Conseil supérieur de l'emploi* there are currently over 20 different measures concerning reductions in employers' social security contribution. This situation, as noted by the *Conseil*, risks confusing both employers and employees, and hampering the effectiveness of these measures; hence, a major effort of streamlining, and consolidation is required.

As regards the need of encouraging greater wage differentiation to better reflect differences in skills and local conditions, no major measures have been taken. With the economy close to potential, the authorities feel that the moment is not appropriate for considering an outright phasing out of the law on employment and competitiveness. Also there has been littlediscussion of various techniques – such as "opening clauses" – which, as noted above, the previous *Survey* suggested could be used to prepare for a gradual withdrawal of the government from the wage determination process. Unfortunately, there do not seem to be reliable indicators of the current share of collective wage agreements with opening clauses or equivalent arrangements and whether these clauses are effectively used. According to the *Conseil central de l'économie*, opening clauses in sectoral wage agreements are not used very often which, according to this institution, may imply that there is no great need for this sort of arrangements. As regards minimum

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sectoral wages in collective agreements[51] the Ministry of Employment and Labour estimates that in June 2000 they were, on average, 21 per cent higher than the minimum statutory (or interprofessional) wage. Finally, it is not known how many workers are affected by exceptions from the minimum statutory wage and the percentage of workers at this wage level.[52]

Nonetheless, the exact role of the law on employment and competitiveness seems to have changed somewhat over the past few years, pointing to a reduced direct role of the government in the wage-determination process. In the 1998 interprofessional agreement (*accord interprofessionnel*) covering 1999 and 2000, the social partners spontaneously decided on the introduction of an indicative wage norm fully in line with the law on employment and competitiveness, which was thus pushed somewhat to the background, acquiring the status of a safety net. According to the *Conseil central de l'économie*, which is in charge of calculating the maximum economy-wide wage increases allowed by the law and monitoring developments in this area, the indicative norm was broadly respected.

Concerning the risk of rigidities introduced by the law at the microeconomic level, the *Conseil central de l'économie* stresses that differentiation between sectors has always been possible. In fact, negotiations at the sectoral level concern the margin between the increase in wages due to price indexation (which must always be fully granted) and the maximum possible increase determined by the law. Where the negotiated increase in wages will actually fall within this margin will depend on specific sectoral conditions, so that wage increases are likely to be different from sector to sector. Moreover, the wage bargaining process takes place in some 160 commissions of the social partners;[53] and, in "informal subsectors".[54] As an example, the food industry has 35 of them. In these groups, the social partners can determine their own specific agreements concerning wages and work conditions.

In addition, the 1998 interprofessional agreement allowed sectors to negotiate wage increases above the ceiling fixed by the indicative norm (and the law) provided they could show a good relative performance in terms of both employment creation and resources allocated to continuous vocational training. Conversely sectors with a relatively poor performance in terms of job creation and training were expected to negotiate wage increases below the ceiling. Finally, as noted in the previous *Survey*, a profit-sharing scheme gives firms that have increased employment the right to grant an additional remuneration to their employees over and above the economy-wide ceiling set for ordinary wage increases. A favourable tax regime for stock options and new equity issues granted to employees at a discount adds a further possibility for wage differentiation.

The 2000 interprofessional agreement for the years 2001-02 has broadly preserved wage moderation and has introduced a quantified element of wage differentiation among sectors. As in the 1998 agreement, the social partners have

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again spontaneously adopted an indicative wage norm allowing a maximum increase in hourly labour costs of 6.4 per cent over the next two years, fully in line with the increase allowed by the law on employment and competition as calculated by the *Conseil central de l'économie*. In addition, the agreement stipulates that sectors which have performed "especially well" over the past two years, can grant a further exceptional and once-for-all increase of 0.4 per cent, provided the total increase in hourly labour costs does not exceed 7 per cent over the 2001-02 period.[55]

All considered, the government is of the opinion that the wage bargaining process is quite flexible and closely reflects local economic conditions. Nonetheless, the law and its implementation requires a rather heavy bureaucratic apparatus which has no equivalent in other EU countries. Furthermore, the use of the law, or a similar wage norm, could become problematic in the period ahead if cuts in non-wage labour costs in the three reference countries were larger than in Belgium. In this case the maximum possible increase in Belgian wages above indexation would be correspondingly reduced, and could conceivable fall to zero.[56]

Employment security provision and work-time flexibility

Job protection legislation is another factor that can affect the demand for labour. While a reasonable degree of employment security can help promote attachment of workers to their firms, thereby fostering investment in skills, beyond a certain point employment security provisions may become a cause of rigidities and make firms more hesitant to hire. Employment protection in Belgium is largely decided by the social partners and, for regular employment, it does not seem to be overly restrictive (Figure 18, Panel A). However, notice periods for white-collar workers have not been reduced and, as noted above, for temporary work employment security provisions are rather strict by international standards (Figure 18, Panel B). According to the *Conseil supérieur de l'emploi*, legislation in this area (*travail intérimaire* and *contrats à durée déterminée*) is "constraining".[57] The general rule forbidding successive fixed-term contracts (*contrats de travail à durée déterminée*) is still in force, although several exceptions have been introduced, allowing, within certain limits, the renewal of fixed-term contracts.[58] These constraints have not prevented temporary work from increasing by 15½ per cent a year over the past five years, to around 8 per cent of total employment.[59] Without reaching the level in the three neighbouring countries, part time work has also continued to grow steadily – to nearly 18 per cent of total work in 1999 – and other forms of atypical work (such as "team work"[60] and night or weekend work) are already more important in Belgium than in the European Union on average. All considered, according to the Ministry of Employment and Labour, the growing share of atypical work has significantly changed the structure of the Belgian labour market and increased its flexibility.[61]

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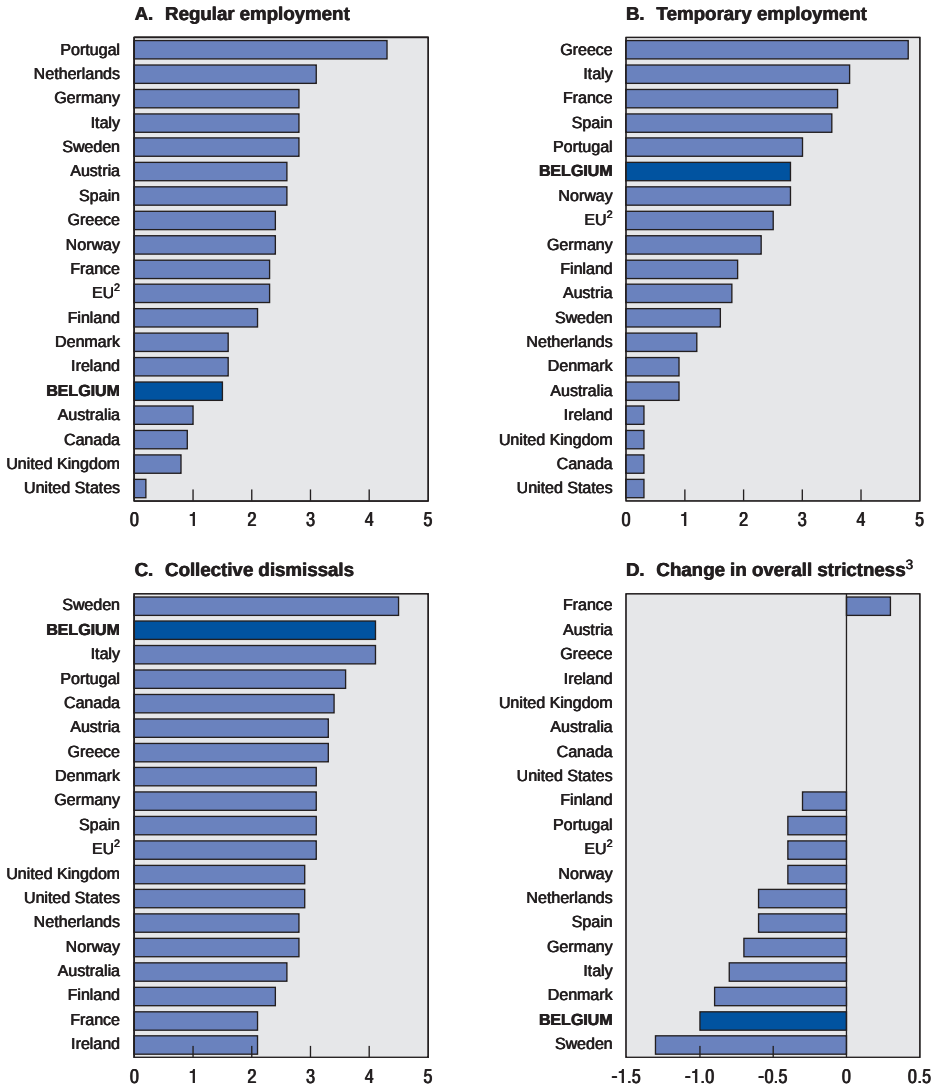
Figure 18. **Employment protection legislation**[1]
Late 1990s



1. Indicators of strictness of legislation. Scores can range from 0 to 6 with higher values representing stricter legislation.
2. Weighted average.
3. Average of indicators for regular and temporary contracts since the late 1980s.

Source: OECD, *Employment Outlook,* June, 1999.

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To meet the wishes of citizens for a more flexible organisation of working time, the government is considering steps to increase the scope of flexible forms of work to be negotiated at the branch and firm level, possibly within the framework of a general reduction of the work week to 38 hours to be agreed by the social partners. Hence, the government is envisaging giving support to a voluntary four-day work week by introducing a general system of career breaks equivalent to a one-fifth reduction in working-time, which should be available to every worker requesting them. Details of this programme are still to be set, however, there are clear risks that these measures could reduce the effective labour supply. Moreover, the government will prepare a leave scheme to enable parents to better reconcile their family life with their professional life.

Unemployment and related benefit systems

On the supply side, the new government, as noted, intends to tackle unemployment traps and increase incentives to work through a policy of activation of unemployment benefits to encourage a shift of persons from traditional welfare programmes to low paying jobs complemented by special financial or non-financial arrangements. This policy consists of a rather large number of relatively narrowly-focused measures targeted at specific problems and social groups. For instance, with a view of reducing unemployment traps at the lower end of the labour market, employee's social security contributions have been cut for the lowest wages.[62] Moreover, benefit recipients taking up employment at around the minimum wage will continue to benefit, for a transition period, from the social security advantages – such as family allowances – linked to their previous status. To raise the employment rate of older persons, *i.e.* aged 45 or above, several measures have been taken or are envisaged to give early retirees and older unemployed incentives to joining again the active workforce, even if only on a part-time basis, in particular by allowing them to retain the rights derived from their status. Hence, older unemployed who accept a job with a salary lower than their previous salary will keep their social security rights based on their previous salary. In addition, early retired persons and older unemployed who return to the active labour force will benefit from reductions in personal social security contributions. A system of part-time work at career's end may also be introduced. Finally, a more flexible regime, *i.e.* one entailing a shorter work week, might be encouraged towards the end of a career in occupations where work is especially hard or unpleasant. In coming years, unemployment traps will be substantially reduced by the income tax reform which, as noted in Chapter II, will include an in-work tax credit concentrated on low wages.

The authorities have modified the rules regulating the application of benefit sanctions in the unemployment scheme. Although statutory sanctions, for instance in the case of refusal of suitable work, were severe compared with other

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OECD countries, they were rarely used, one of the reasons being that sanctions were too inflexible and could not be used in a discretionary way. Hence, they have been simplified and made to correspond better to the importance of transgressions.

Among various other targeted measures, a once-off sum of BF 30 000 is available since 1 July 2000 for persons unemployed for over one year who accept a job requiring a significant commuting time (a total of work and commuting time of over 12 hours a day). A similar amount is available (and can be cumulated with the first one) for single parents who accept a job after more than one year of unemployment.

Active labour market policies

A second key element of the employment strategy of the new government on the supply side is stepping up active labour market policies to assure a better integration, or reintegration, of workers into the active labour force. At a little less than 4 per cent of GDP in 1999, Belgium's public spending on labour market measures is rather high by international standards, but its share of spending on active measures is relatively low (Figure 19). The government has also taken special care to improve co-operation with the regions and communities with respect to new and existing measures in this area.

Reflecting its engagement to give a more preventive role to active policies, the government has introduced a "First Job Programme" (*Plan premier emploi*)[63] which is targeted at young people (below 25) and aims at assuring that each one of them will be able to enter the active labour market within six months of leaving school. A special policy regime has been put in place to reduce the non-wage labour costs of youngsters leaving school with poor qualifications. This is complemented by initiative in the areas of placement and training taken in co-operation with the regions and communities to allow each participant in the programme to acquire first-hand work experience based on an employment contract. This initiative, which offers a degree of flexibility allowing it to reflect local requirements, is to be integrated or co-ordinated with already existing active programmes, such as the programme for practical training for young people (*stage des jeunes*).

The *plan d'accompagnement des chômeurs* which for several years had been Belgium's main active labour market initiative, is to be strengthened in terms of counselling, training and reinsertion into the active labour market. However, it remains restricted to persons less than 46 years old and unemployed for less than 12 months. In the past, the effectiveness of this plan was hindered by the distribution of responsibilities among different levels of government: the federal government and the social security system financing unemployment benefits and the *plan d'accompagnement*; the communities being responsible for education and training; and the regions administering job search and placement (*i.e. placement des travailleurs*). But, as noted, co-operation at all levels of government has been improved, including

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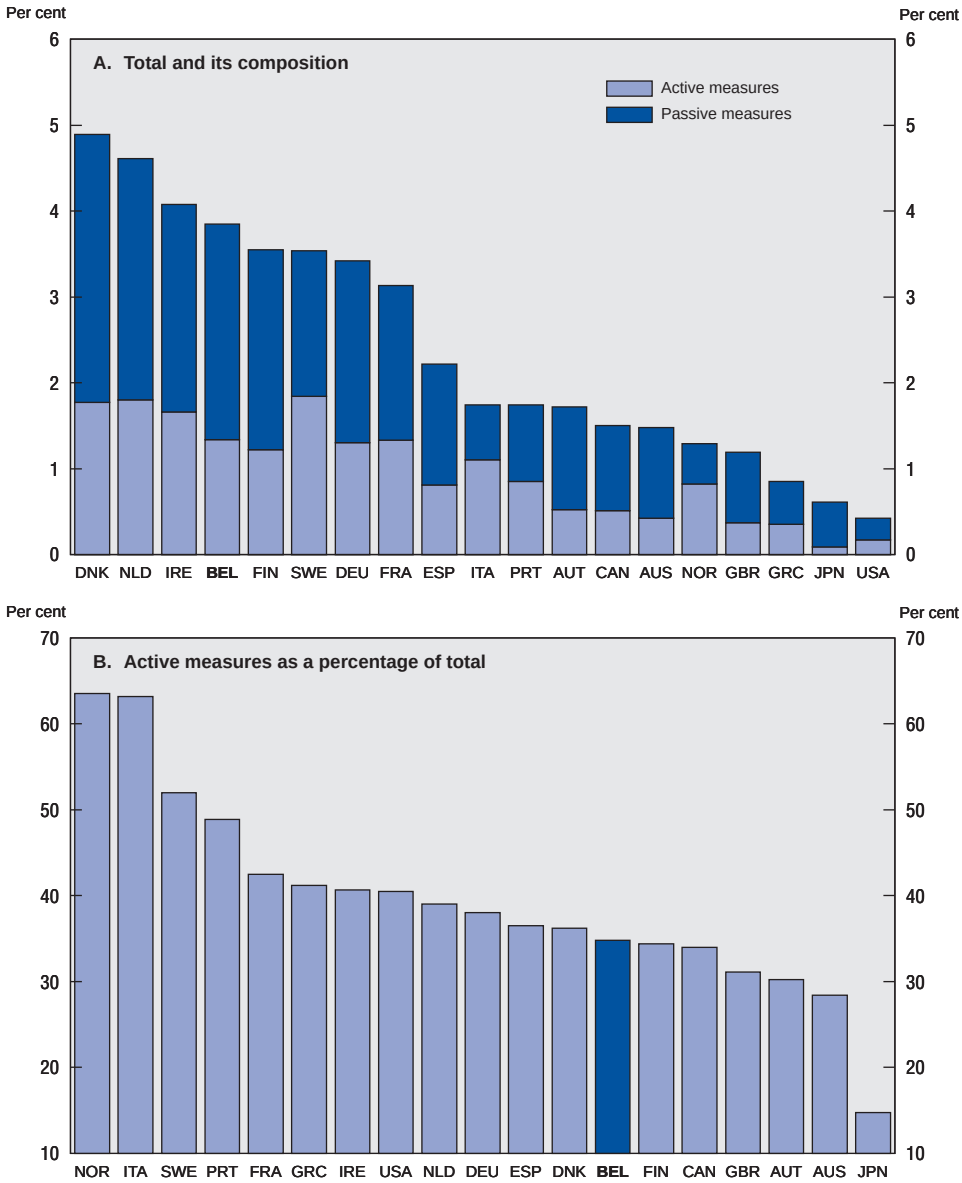
Figure 19. **Public spending on labour market measures**
As a per cent of GDP, 1999[1]



1. 1998 data for Belgium, France and United Kingdom; 1997 for Greece and 1996 for Ireland and Portugal.
Source: OECD, *Employment Outlook*, June 2000.

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for the *plan d'accompagnement*. Moreover, as with the "First Job programme", both Flanders and Wallonia, as well as Brussels have somewhat reformulated the practical aspects of the *plan d'accompagnement*, thereby introducing a welcome differentiation which makes it more attuned to local conditions and, hopefully, more effective.

Within this general framework of heightened co-operation, regions and communities have further developed and adapted to their own specific needs programmes enhancing the school-to-work transition. For instance, the P*rogrammes de transition professionnelle* (PTP), which are financed by all levels of government and provide for the creation of jobs in the services sector (both public and private), offer to young unemployed and long-term unemployed the possibility of reintegrating into the active labour market. These programmes will be strengthened and, with a view of enhancing neighbourhood services (*services de proximité*), service-vouchers will be introduced. Initiatives to prevent youngsters from leaving school too early and without the required minimum level of skills have been introduced in each community.

Measures aiming specifically at increasing the employment rate of older persons include the special leave programme (*interruption de carrière*). This programme, which offers an alternative to an outright withdrawal from the labour force, has been especially popular in the recent period, with an increase of more than 36 000 beneficiaries in 1999 and 2000 bringing the total to over 96 000. As most of the persons in this programme continue to work on a part-time basis, this programme presents the advantage of facilitating the full reinsertion of these persons either in response to a tightening in labour market conditions or to a change in their own preferences.

In aggregate, labour market programmes have resulted in the direct creation of a large number of special jobs both in the private sector and in the public sector. As discussed in Chapter I, these special jobs exceeded 150 000 in 1999,[64] and their increase accounted for around one third of all jobs created that year.

To avoid mismatches, the government will complement active labour market policies with efforts to give to the labour force the kind of skills and competencies required by firms. To progress in this direction, the emphasis is on a better co-operation among all the major players and a stronger co-ordination of the initiatives taken by the social partners at the sectoral level. However, each region sets its priorities in the light of conditions in the local labour market. Hence, Flanders directs its educational efforts primarily towards meeting the requirements reflected in unfilled vacancies, *i.e.* essentially a relatively high level of education and skills, and good knowledge of foreign languages. In Wallonia, in view of the need for a technological and industrial restructuring, the primary task is to train or retrain the labour force to meet the new requirements.

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Product markets

Improving the way product markets operate

The previous *Survey* singled out product markets and especially the services sector as areas where reform and increased competition could significantly enhance job creation, thereby facilitating the relaxation of restrictive labour market arrangements and the shift of labour away from declining industries and towards the most dynamic segments of the economy. In 1997-98, compared with other OECD countries, overall product market regulation in Belgium was rather strict, and in terms of barriers to entrepreneurship Belgium had the third highest barriers after Italy and France (Figure 20). Over the past few years, policy efforts in this area have been focused on responding to EC guidelines and recommendations, and have centred mainly on:

- Administrative simplification.
- The control of product standards and mutual recognition.
- The introduction of new legislation modifying the rules governing competition and the strengthening of their application.
- The overhaul of the communications sector, entailing a catching-up in the transposition of EC directives concerning telecommunications, and a gradual opening up to competition of the postal sector.
- The beginning of the process of liberalisation in the gas and electricity sector.

The new federal government and the regional governments have presented a comprehensive programme aimed at improving the functioning and efficiency of markets through a better regulatory framework, a reform of certain sectors, and measures to facilitate markets access for small and medium-sized enterprises (SME). More specifically, this programme is centred around the following priorities:

- An overhaul of public administration bodies: the tasks of these bodies are to be better focused and the functioning to be improved and made more user-friendly. Administrative and regulatory constraints are to be reduced. The government has prepared a special plan ("*Plan Copernic*") to modernise the public administration and to implement a major process of restructuring in this area. In the meantime new measures will be implemented in order to simplify the internal organisation and to facilitate relations with final users (administrative simplification, the use of information technology in all services, and development of an "e-government" network).[65]
- A tax reform: in addition to the reindexation of personal tax brackets, the repeal of the 3 per cent crisis surcharge, and the personal income

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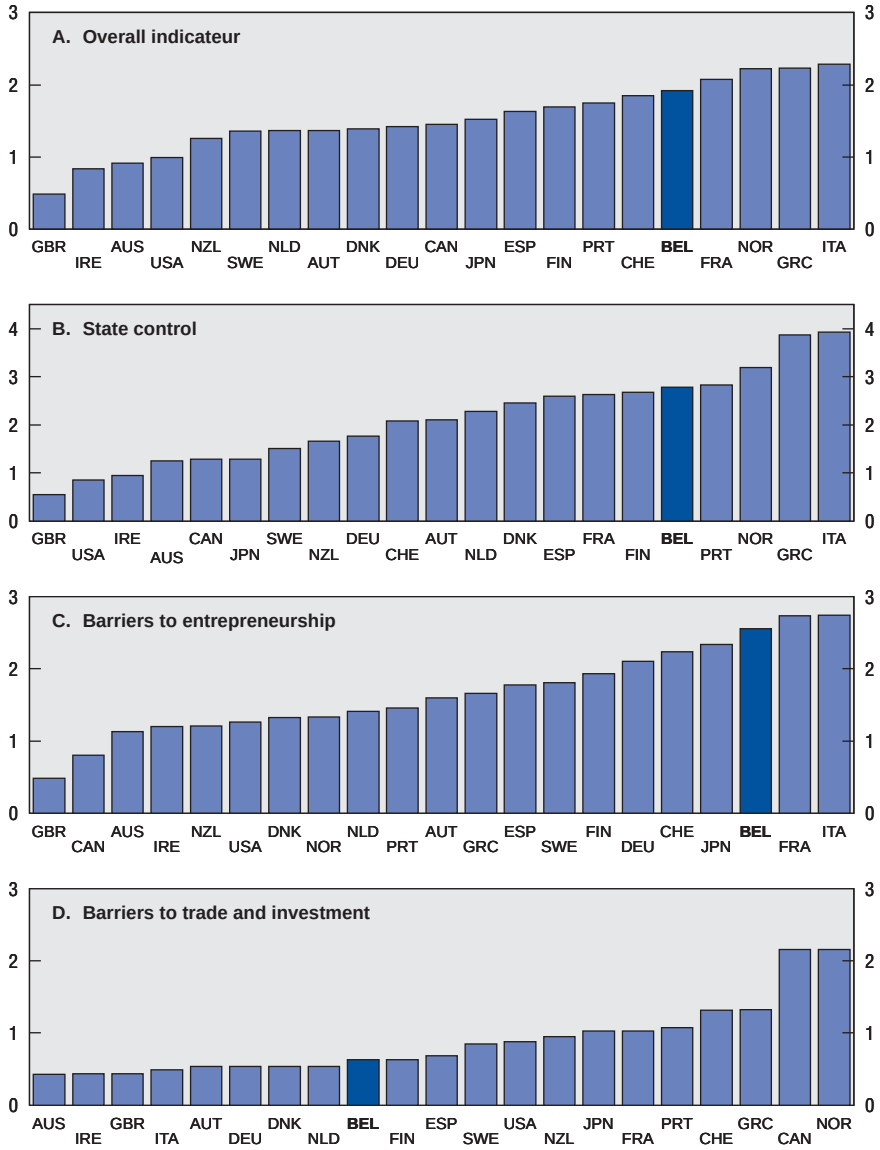
Figure 20. **Product market regulation**[1]
1997-98



1. Indicators of stritness of legislation. Scores can rage from 0 to 6 with higher values representing stricter regulation.
Source: OECD.

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tax reform which have been already decided, the government is envisaging to simplify the whole taxation system and to make it more favourable to the environment. As noted in Chapter II, the government aims at reducing both corporate tax rates and tax breaks, thereby making the reform revenue-neutral.

- An integrated mobility policy for the transport sector: in order to ensure sustainable mobility the government wants to increase the market share of both railways and water transport. Hence, the quality and quantity of services provided by these two sectors must be improved and demand is to be encouraged. Various incentives have been introduced to stimulate the use of public transport, and the government has agreed on a plan to increase investment in railways over the next ten years.
- A stepping up of the liberalisation process in the electricity sector: following the first steps in this direction taken in April 1999, the government decided in April 2000 to speed up the liberalisation process, and the reduction in prices. An independent body in charge of the regulation and control of the liberalised part of the Belgian energy market has been set up and reinforced. The government wishes to establish a clearer distinction between production, transmission and distribution.
- The modernisation of public companies and the development of new public/private partnerships: a comprehensive strategic plan defining specific roles and tasks for each public company will be developed. To enhance the value of assets that are still held by the State, the Minister of Telecommunications, Public Enterprises and Public Shareholdings has been asked to overhaul the management of State assets, modernising public companies and making private/public partnerships more effective and conducive to investment. The government envisages a major investment effort in the areas of mobility, management of public infrastructures, and the use of information technology in public services.
- The progressive reform of financial regulations: in July 2000 the government approved a general legislative framework to promote participation of all workers in all Belgium-based companies. At the same time, it adopted the general principles of a legal framework for the second pillar of pension funds (see below). The government is considering other fields for reform like, for instance, a revision of the legislation governing company takeovers.
- The introduction of a specific policy to encourage SMEs and self-employed persons, which represent a key sector of the Belgian economy and account for 56 per cent of total private-sector employment. In addition to the initiative to simplify administrative matters discussed above, each self-employed person and each business will be given a unique

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identification number which, combined with a single contact "desk", will avoid having to take multiple administrative steps. In addition, start-ups will benefit from a simplification of the administration of social contributions and the social protection of new company managers. The fiscal treatment of SMEs will be modified to stimulate investments by shareholders.

– The introduction of conditions consonant with sustainable development: this include the adaptation of legislation on product standards and its extension to agricultural products; the consideration of ecological requirements in the forthcoming tax reform; better product information – such as a single system of ecological labelling; and the improvement of legislation governing dangerous products and waste (see Chapter IV).

– Ensuring that everyone has access to the new technologies and encouraging high-tech or "new economy" activities. The government has decided to adapt Belgian law to the EC directive on electronic signature, and the forthcoming directive on electronic business will be transposed, with due regard to the right to privacy and the protection of consumers.

Product market competition

Since 1993, Belgium has had a strict and comprehensive competition legislation, on an equal footing with European Union law and the national law of most other Member countries. As noted in a recent OECD document,[66] the Act on the protection of economic competition was amended in July 1999 to:

– Create four full-time positions on the Competition Council, including the posts of Chairman and Vice Chairman.

– Create a number of reporters (four initially) in the Competition Service, mainly to head investigations, prepare investigative reports and submit them to the Competition Council.

– Amend the thresholds for notifying mergers. The market share threshold has been abolished and only turnover thresholds remain: at least two of the firms involved in a prospective merge must have turnover in Belgium of at least EURO 15 million, and the total combined Belgian turnover must exceed EURO 40 million.

– Allow the Council of Ministers to authorise a merger that the Competition Council has found inadmissible, on the ground that its contribution to the common good would outweigh the risk of restraint of competition.

While these amendments should allow the recruitment of additional staff, the Competition Service remains understaffed for the time being. In the area of anti-competitive practices the Competition Service has submitted a total of 27 cases to the Council. These cases, as well as those still under investigation,

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deal primarily with abuse of dominant position (in the telecommunication and food sectors), collusive agreements (in the waste disposal sector), and on the problems raised by the relations between members of the professions and their official bodies. Following the amendment of the Competition Act, activities regarding mergers and acquisitions declined sharply, with 35 operations notified in 1999 compared with 52 in 1998. Nonetheless, the number of reported mergers having only a limited impact on the Belgian market or markets concerned remained substantial, which explains the large number of cases receiving tacit approval.[67]

Concerning the role of the competition authorities in framing and implementing other policies, while as yet they have no direct sway, informal consultations have increasingly taken place and the practice has been established of forwarding opinions to supervisory Ministries regarding regulatory projects that have been considered by the Competition authorities.

Increasing the openness of specific markets

The previous *Survey* recommended that in the *distribution sector* entry conditions be liberalised to diminish the power exercised by incumbent shop owners to limit entry of new outlets. It also suggested that rules on shop opening hours be relaxed to enhance both consumer choice and competition. According to the authorities, Belgium ranks about tenth compared with other European countries regarding the number of legal opening hours during the week.[68] On this point, to meet specific requirements of consumers, a new law was introduced in 1999 which allows shops selling general food products and household items to be open between 6:00 p.m. and 7:00 a.m. ("night shops"). Other exceptions to the general rule on opening hours have been introduced. On the other hand, little has been done to relax rules on entry conditions. To avoid "anarchic" developments in the mass distribution sector, these rules have required a socio-economic authorisation for the opening, expansion or major modifications in the nature of the commercial activity of a large outlet. The number of authorisations demanded has increased over the past few years but the average floor area of the approved projects has fallen. According to the authorities, this reflects a decline in the number of large projects approved and the preference for updating and extending existing shops.[69]

The introduction of market forces and market discipline in a number of former public utilities, such as telecommunications, mail, electricity, gas and public transport, has mainly been driven by EU policies to open these markets for competition, and has generally taken the form of transposing EC directives into Belgian law. While the liberalisation process is well advanced in the telecommunications sector and the postal sector, it is generally lagging behind in other sectors, for instance the electricity sector.

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In the *telecommunications sector*,[70] the government took a number of measures in October 1999 to fully erase the lag in the transposition of EC directives, especially concerning the portability of numbers (for which the deadline was 1 January 2000). Other projects adopted include: the way that interconnection operates; the determination of the accounting principles to be complied with by large operators; and the conditions on which such operators will lease their lines. European regulations governing privacy in telecommunications will also be transposed into Belgian law. The next step will be to perform an in-depth review of Belgian legislation with the aim of adapting it to the latest technological developments. This exercise will integrate, as far as possible, the expected conclusions of discussions currently underway at the EU level. In October 2000 the government approved a Royal Decree to organise the unboundling process.

Prodded by the European Commission, the new government, as noted above, intends to accelerate the liberalisation process in the *electricity sector*, to bring Belgium in line with its main trading partners and to ensure that consumers will benefit from lower prices and a better service. Electricity prices are relatively high compared with neighbouring countries for both industrial users and households. This situation, given the openness of the Belgian economy, has already resulted in a growing penetration of the Belgian electricity market by foreign producers.[71] More specifically, the government aims at creating a clearer distinction between production, transmission, and distribution of electricity, with the regulation of the transmission network in the hands of an independent regulatory body. At the same time, the government will enhance the development of alternative sources of energy and will encourage energy saving.

Electrabel (a private company with a small participation of the public sector) currently accounts for the bulk of the production of electricity (nearly 90 per cent). The transmission of electricity is assured by the *Société pour la coordination de la production et du transport de l'énergie électrique* (CPTE) which is 91.5 per cent owned by Electrabel. The distribution of electricity (and gas)[72] is carried out by the *communes* grouped in "*intercommunales*", either "mixed" (with Electrabel as a private partner) or without a private partner ("*pures*"). The former account for 80 per cent of the distribution of electricity and the latter 20 per cent. According to the 1999 law mentioned above, the electricity market was to be fully liberalised by the end of 2006 at the latest. However the new government, in co-operation with the regions, has decided to accelerate the liberalisation process. Hence, the Flemish Parliament decided in July 2000 to liberalise the market for electricity already by 1 January 2006. At that date end-users will be free to choose their suppliers, though the control and management of the distribution networks will remain the responsibility of the *communes*. These changes are meant to result in a fall in the price of electricity in Flanders which, according to the authorities,[73] is currently among the highest in the European Union. While the *communes* will lose their revenues from the distribution of electricity (some BF 15½ billion a year), initially, two third

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of these losses will be compensated by fees paid by the suppliers for using the distribution networks of the *communes*. During the transition period, the rest of the revenue losses, will be compensated for by sales of environmentally-friendly electricity ("green" electricity) to users who until the end of 2005 remain bound by contract to buy electricity also from the *communes*. The supplying companies, are obliged to deliver an increasing proportion of "green" electricity: 0.96 per cent in 2000, 3 per cent in 2004 and at least 5 per cent in 2010. As the production of this kind of electricity is more expensive, to prevent upward pressure on prices, the suppliers will no longer have to pay the *communes* for the use of the distribution network.

The EC directive providing for a gradual introduction of competition in the *postal sector* was transposed into Belgian law by a Royal Decree in June 1999. As a result, mail services are now open to competition, except for letters and packages up to 350 gr, at five times the letter rate. The unreserved services that are part of the universal service are subject to individual authorisations, while other unreserved services can be provided without authorisation if there is a demand for them. According to a plan approved by the Post Office Directorate and aimed at adapting its structures and better responding to market requirements, the Post Office is to be reorganised around business units, each one of which will be responsible for its own costs and profits. The authorities hope that this restructuring will provide a better service and facilitate certain partnership activities with the private sector.

In the *transport sector*, since the major reform implemented in 1998, few new modifications have been introduced in the area of air transport waterways, and combined road/rail transport. On the other hand, a number of regulatory changes have been made with respect to road transport for people and goods. The government intends to strengthen the transport sector, with a particular focus on public transport and freight transport which are very important for the Belgian economy. Hence, in the framework of a sustainable mobility policy and in line with its social commitments, the government is seeking to improve the way the rail sector and especially the Belgian National Railways Company operates and progressively open this segment to private initiatives.

The creation and diffusion of technological know-how

An appropriate financial infrastructure is a key element in the commercialisation of innovations stemming from research and development (R&D). In Belgium, the venture capital market seems to be well-performing and supplying an adequate amount of financing, particularly to early stage and high-tech investment. According to a recent OECD analysis, in 1995-99, Belgium ranked third among OECD countries in early stage and expansion investment, and high-technology investment as a share of total venture investments.[74] Moreover, the number of

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"Business Angels" and "Business Angel Networks" is considerable for a small economy like the Belgian one.[75] Recent initiatives have included: a new risk capital fund (START IT), which was launched by the Walloon region in August 1999 for newly founded innovative companies; the Walloon region is also taking measures to help finance research spin-offs through the FIRST programme; and in Flanders, universities have recently been allowed to have "seed capital funds" that make equity investment, usually in co-operation with banks or venture capitalists.[76] Nonetheless, according to the authorities, over the longer-term a shortage of private venture capital and of bridging finance in particular may hamper the growth of the venture capital market. To prevent this and put the growth of the venture capital market on a sustainable basis, the government will ensure the full implementation of the Risk Capital Action Plan, agreed at the 2000 EU Lisbon Summit.

As regards funds available for research and development, public sector financing has strongly increased in recent years (by 20 per cent from 1995 to 1998), and this trend is expected to continue. Policies for R&D and innovation are largely region-based. Through the financing of the universities, basic research is largely within the competencies of the communities. The federal government accounts for around 30 per cent of the total public funding for R&D, but about a third of these funds are devoted to the Belgian participation in the European Space Agency (ESA). The regions are in full control of policies concerning R&D and the amounts spent in this area. Nonetheless, there is a degree of convergence in the objectives pursued, as all three regions are seeking to develop the interaction between research centres and enterprises.

Financial markets

The banking sector

The Belgian banking sector, like the rest of the financial sector, has gone through a period of major changes mainly as a result of market forces triggered by European integration and the introduction of Economic and Monetary Union. This has led to a wave of mergers and acquisitions which has greatly increased the degree of concentration in the banking sector, with major banks now partly or fully foreign owned. Compared with other European countries, a relatively large share of these operations were aimed at creating financial groups combining banking and insurance operations. According to the authorities, this consolidation has not decreased the level of competition, and margins have been quite low as the newly created financial institutions have tried to increase their market share. Moreover, EMU has greatly increased the degree of potential competition from institutions in other member countries, at least for most transactions, (though not, for the time being, for retail banking). The effects of this process of concentration do not seem

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to be fully evident yet. Especially with respect to employment and the number of branches the scope for further rationalisation and reduction would appear important.

As regards supervisory issues raised by these developments, the Belgian supervisory authorities have made arrangements with their counterparts in other countries concerning financial institutions which are partly foreign owned. On the other hand, there have been no initiatives to merge domestic banking supervision (which is the responsibility of the Banking and Financial Commission) and insurance supervision (which is the responsibility of the Economics Ministry). Full mergers between banks and insurance companies are not possible legally. In practice, however, the distinction between the products sold by these two types of financial institutions has become quite blurred, and the overall financial health of a banking and insurance institution depends on the health of the two sides in a highly interdependent way.

The stock market

Recent reforms in the stock market have been designed to increase the efficiency in the way transactions are conducted and to make it easier for companies to have access to this type of finance. They have included:

- The integration of the Belgian stock market with other European stock markets. In 1996 the Brussels Stock Exchange created the EURONM market in partnership first with the French, German and Dutch markets, and then also the Italian market. The stock exchanges in the three Benelux countries have establish a partnership agreement which, among other things, has sharply reduced the requirements for companies listed in one country to be listed in the other two countries, thereby significantly increasing the liquidity of stocks traded in each one of these markets. In 2000, the authorities approved the fusion of the Belgian, French and Dutch stock markets. This process has resulted in the creation of EURONEXT.

- The vertical integration of the major institutions active in the stock market – *i.e.* the Brussels Stock Exchange, the Interprofessional Bureau for the Deposit and Transfer of Bonds (CIK) and Belfox (Belgian Futures and Options Exchange).

- The Brussels Stock Exchange company (BXS) has been established as a limited liability company to replace the previous partnership structure. This "demutualisation" makes it possible to protect the company from the risk of fluctuations in the equity position of shareholders linked to the company. It also allows for the opening of the capital to third parties and for listing in the market.

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Pension funds

The rules governing Belgian pension funds were modified in 1998 to make then conform with the European law on the free circulation of capital. Among other changes, this entailed the abolition of the obligation to invest at least 15 per cent of assets in securities of the public sector. A second law also introduced in 1998 aimed at facilitating the creation and management of collective pension funds (*i.e.* pension funds of more than one company), thereby allowing smaller companies to provide their employees with a complementary pension scheme, the so-called second pillar of pensions. The general principles of a legal framework for the second pillar were adopted by the government in July 2000. The legal translation of these principles was finalised by the end of 2000 and will be submitted to Parliament in 2001.

Modification of the regulatory framework

Recent modifications of the regulatory framework in financial markets have concerned mainly the financial participation of workers and corporate governance.

- To enhance the financial participation of workers, the government in 1999 introduced new legislation to enable companies to issue stock options to their employees. The new system which, is based on a favourable tax regime,[77] may help rapidly growing companies to attract and retain highly qualified staff. As noted above, these measures were completed in July 2000 by the approval by the government of a general legislative framework to promote participation of all workers in all Belgian-based companies.
- As regards corporate governance; the aim of the government has been primarily to ensure the protection of minority shareholders, since in Belgium, unlike in most other countries, the control of companies is largely in the hands of dominant shareholders. Over the past few years, Belgian legislation has gradually restored the exclusive right of general meetings to take decisions that affect shareholders, thereby providing a degree of control over managers that could not be provided by market forces. The authorities intend to move further towards the introduction of a full legal regulatory framework rather than continuing to rely on informal agreements.

The health care sector

The previous *Survey*'s special chapter on the Belgian health care system concluded that although the system delivers good quality services at reasonable costs, it suffers from several structural problems. The combination of solidarity-based insurance, modest co-payments, a largely fee-for-service system, and

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independent medical practice, while very attractive for patients and practitioners, creates a weak or distorted pattern of incentives which is not sufficiently countered by government controls and self-regulation by the medical profession. To curb the rise in expenditure, the authorities have increasingly relied on fixed budgets or *forfaits* for special medical acts and a strict global "growth norm", limiting the annual rate of growth of total health spending to 1.5 per cent in real terms. The S*urvey* expressed the view that, without this "norm" which was introduced as a temporary measure, the trend growth of health expenditure over the coming years would remain strong, as a result of the very rapid diffusion of new expensive medical technology in the Belgian health care system and, to a lesser extent, the impact of population ageing.

The authorities agreed on the need for structural reform but expressed their strong preference for remaining within the existing framework of largely non-market arrangements, relying on *concertation* and *responsabilisation* of all parties, a wider use of *forfaits*, peer pressure, and the introduction of a global medical file (*dossier médical global*) backed up by comprehensive medical data banks. The S*urvey* noted that this approach might have to be complemented by some market-oriented initiatives, such as a reduction of the set of medical services covered by the compulsory public health insurance and a greater role for risk-based additional coverage by the *mutualités* or private insurances, combined with the introduction of capitation payments. The S*urvey* also noted that an efficient complementary health insurance required a level playing field for private for profit insurance companies and the *mutualités*, and that the latter should be allowed to compete on the basis of contribution rates.

The growth of health expenditure has accelerated anew over the past couple of years, resulting in an overshooting to some BF 7.5 billion in 1999, mainly as a result of strong expenditure for pharmaceuticals. The new government has increased the growth norm from 1.5 to 2.5 per cent, starting in 2000. Nonetheless on the basis of partial data, the overshooting seems to have continued in 2000, partly as a result of a flu epidemic at the beginning of the year, but also of continuing strong expenditure for pharmaceuticals and in the hospital sector.

Confronted with this situation, the authorities have continued their efforts to improve the working and efficiency of the budgets norms (*forfaits*) for specific medical acts and sectors, as well as to enhance the network of arrangements related to the *concertation* and *responsabilisation* of all parties. In addition, the global medical file was introduced in May 1999 on a limited basis (for persons over 60 and for specific medical consultations) and its range will be progressively extended. But in the 2001 budget a one-off adjustment had to be made with respect to the compulsory public health insurance to correct for the systematic underestimation of expenditure in previous years. Following this adjustment and the setting of new realistic budget limits for virtually all major areas of the health care system, the new

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2.5 per cent growth norm will be strictly applied. To ensure the respect of specific budget limits the following additional measures have been taken:

- Concerning pharmaceutical expenditure (which represents 25 per cent of total expenditure), 65 per cent of any budget overshooting will be supported by the pharmaceutical industry itself.
- In the case of hospital expenses (which represent 33 per cent of total expenditure) the new financing system – based on actual output data determined by the number of hospitalisations and the related disease – will be used starting in 2001.

Moreover, the authorities expect a strengthening and greater role of first line medical services combined with the generalisation of the global medical file to facilitate the efficient management of the system and an appropriate allocation of resources.

Assessment and scope for further action

To tackle the structural problems that still beset Belgian product and financial markets, and the labour market in particular, the new government has embarked on an ambitious wide-ranging and multi-annual strategy. Although there are a few general structural initiatives, the strategy relies heavily on a large number of relatively small narrowly-focused measures. It is difficult at this early stage to assess this strategy and its multiple measures, especially since not all of them have been fully spelled out, let alone implemented. Some of the recommendations presented below are already reflected in the government programme but have not yet been approved by Parliament. Recent measures and recommendations are summarised in Boxes 2 and 3).

In view of the complexity of the problem, the use of small targeted measures may be appropriate and even necessary but their effectiveness would be significantly enhanced if they were accompanied to a greater extent by more structural, across-the-board initiatives which, to a certain extent, seems to be the approach the government intends to follow, notably with the proposed tax reform.[78] Moreover, given the large number of labour market measures which already existed, this new round of initiatives is leading to a bewildering situation for both employers and employees, which may hinder the effectiveness of the government strategy and requires, as a matter of urgency, a major effort of simplification and consolidation. Another important consideration is the "durability" of these measures, which in certain cases has not been sufficient to enhance their effectiveness: for instance, the recently introduced "First Job Programme" is the seventh programme to help youngsters to find a job introduced in a few years.[79] Finally, while the concern of the government for broader socio-economic issues – such as reorganising and reducing working-time, introducing career-long arrangements, and improving the quality of working life – is understandable, priorities will

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Box 2. Follow-up of previous recommendations for structural reform

The new government, which came to power in July 1999, has announced an ambitious wide-ranging and multi-annual strategy of economic and social reform. Since this strategy relays heavily on a large number of relatively narrowly-focused targeted measures, in this table it will not be possible to mention and describe all of them.

Previous recommendations	Action taken
1. Wage and labour cost flexibility	
– The ultimate goal remaining a phasing-out of the law on employment and competitiveness and government involvement in the wage determination process in general, the authorities should consider ways to progress with respect to the following specific points: encourage greater wage differentiation with respect to skills and local conditions; relax arrangement concerning the administrative extension of sectoral wage agreements and the statutory minimum wage through the use of "opening clauses", sectoral wage scales at the statutory minimum wage level, and exceptions to the minimum wage for various target groups; introduce in-work benefits to preserve equity or social goods.	On most of these specific points there seems to have has been little tangible progress. However, in the 98 interprofessional agreement (*accord interprofessionnel*) the social partners introduced an indicative wage norm fully in line with the law on employment and competitiveness, which thus acquired the status of a safety net (*garde-fou*). The accord interprofessionnel also introduced some further measures increasing the degree of flexibility allowed by the law and the scope for wage differentiation. In the 2000 interprofessional agreement, the social partners again spontaneously adopted an indicative wage norm fully in line with the law on employment and competitiveness. In addition, the agreement stipulated that sectors which have performed "especially well" in the 1999-2000 period can grant a further exceptional and once-for-all increase of 0.4 per cent.
– Fully implement the policy of cuts in non-wage labour costs targeted at the lower end of the labour market or at groups of persons with poor employment prospects as announced in the EC Action Plan for Employment.	The new government has continued this policy (consolidating in these structural cuts in employers' social security contributions the "Maribel" and "*bas salaires*" measures), and has accelerated the policy through the introduction in April 2000 of an additional lump-sum reduction in employers' contributions (BF 32.000, on average, per worker per year). Moreover other reductions in employers' contributions have been targeted at specific groups, such as persons 45 or older, long-term unemployed and low-wage workers.

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Box 2. Follow-up of previous recommendations for structural reform (*cont.*)

Previous recommendations	Action taken
2. Unemployment and related benefit systems	
– Explore ways to move forwards towards: a reduction of both the duration and level of benefit entitlements to increase incentives to work; a tightening of job search controls and benefit sanctions, which requires better co-ordination between the federal body (ONEM) administering benefits and the regional placement services (VDAB, FOREM, and ORBEM).	Rules concerning the application of benefit sanctions have been revised and made more flexible to allow a calibration of the sanctions with respect to specific transgressions. Also, the new government is emphasising co-operation at all levels of government and in all areas, including this one.
3. Working-time flexibility	
– Press for further increases in the age limit for early retirement.	The age limit for early retirement has not been raised but the government has taken or is considering taking a number of measures to encourage people either not to join or postpone joining the early retirement programme and the old-unemployed programme or, if already in these programmes, to return to the active labour market, at least on part-time basis.
– Continue and step up efforts to increase working-time flexibility.	The government will take measures to increase the scope of flexible forms of working and will support a four-day work week by introducing a general system of career breaks equivalent to a one-fifth reduction in working-time. A leave scheme to enable parents to better reconcile their family life with their professional life is also under consideration.
4. Employment security provisions	
– Explore ways to ease further employment protection, for example, by allowing fixed-term contracts to be renewed on an unlimited basis, and shortening notice periods for white-collar workers.	It is still not possible for fixed-term contracts to be renewed on an unlimited basis, and notice periods for white-collar workers have not been shortened.

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Box 2. Follow-up of previous recommendations for structural reform (*cont.*)

Previous recommendations	Action taken
5. Active labour market policies	
– Broaden the *plan d'accompagnement* to include persons aged over 46. To increase the effectiveness of this plan, contact with job seekers should be more frequent and ways should be found to reduce problems arising from the distribution of responsibilities among the federal government, Communities and Regions.	The *plan d'accompagnement* has not been broadened to include persons aged over 46 but it is to be strengthened in terms of counselling, training and reinsertion and it will be enhanced by both better cooperation at all levels of government and the possibility to make it more attuned to specific local conditions. Moreover, to stress the preventive role of its active policies, the government has introduced a plan *premier emploi* which is targeted a youth below 25, and aims at enabling each one of them to enter the active labour market within six months of leaving school. This new programme, too, will be adapted to specific local conditions.
– Continue efforts to evaluate active labour market policies.	Various official bodies, notably the Ministry of Employment and Labour and the *Conseil supérieur de l'emploi* have continued their efforts of assessing active labour market policies and, more generally employment policies.
6. Labour force skills and competences	
– Implement ongoing reforms of the education system of the primary and secondary level, and monitor and assess their results.	It is too early to fully assess recent reforms of the educational system. Each region is setting its priorities in the area of education and training in light of conditions in local labour markets: Flanders is focusing its efforts on those sectors of the labour market where shortages have already appeared while in Wallonia the primary task is to form or retrain the labour force to meet the requirements arising from the need of a technological and industrial restructuring.
– Fully implement the commitment of the social partners to increase expenditure on training of the labour force, as a counterpart of the government policy of cuts in employers' social security contributions.	It seems that the social partners have broadly respected their commitments. The number of people aged 24-64 receiving continuous vocational training more than doubled from 1997 to 1999.

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Box 2. Follow-up of previous recommendations for structural reform (*cont.*)

Previous recommendations	Action taken
7. The creation and diffusion of technological know-how	
– Consider ways to further strengthen the financial infrastructure supporting the commercialisation of private research.	To avoid the risk that, over the longer term, a shortage of private venture capital might hamper the growth of venture capital with negative repercussions on R&D, the government will ensure the full implementation of the Risk Capital Action Plan agreed at the 2000 EU Lisbon Submit.
– Fully implement the announced measures in favour of SMEs, and the creation of an Agency for Administration Simplification to streamline existing legislation.	Support of SMEs, and the reduction of the administrative burden for businesses or individuals are among the priorities of the new government. Hence, a number of measures will specifically aim at encouraging SMEs and self-employed persons.
8. Product market competition	
– Monitor and assess the result of measures to give the Competition Council additional staff and resources, and the revision of the Competition Act to allow more emphasis to be put on protection against the abuse of economic power rather than on concentration.	The Act on the protection of economic competition was amended in July 1999 to: create new positions on the Competition Council; to create a number of reporters in the Competition Service to prepare investigative reports and submit then to the Competition Council; amend the thresholds for notifying mergers, abolishing the market share thresholds; and allow the Council of Minister to authorise a merger refused by the Competition Council.
– Explore ways to move forwards towards the liberalisation of entry conditions in the distribution sector, diminishing the power currently exercises by incumbent shop-owners to limit new entry of outlets.	No significant changes.
– Rules on shop-opening hours should be relaxed further.	No major progress.

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Box 2. Follow-up of previous recommendations for structural reform (*cont.*)

Previous recommendations	Action taken
– Continue with privatisation efforts in general and more particularly explore ways to reduce Electrabel's near monopoly position in both the production and distribution of electricity.	The liberalisation process of former public utilities has continued, but while it is well advanced in the telecommunications sector and the postal sector, it is generally lagging behind in other sectors. The government intends to accelerate the liberalisation of the electricity sector, making a clearer distinction between production, transmission and distribution, with the regulation of the transmission network in the hands of an independent regulatory body.
9. The health care sector	
– Improve concertation and *responsabilisation* of all parties extend and improve the use of *forfaits*, step-up-peer pressure, and introduce a global medical file (*dossier médical global*) backed up by a comprehensive and reliable medical data base.	The Belgian authorities have continued to concentrate their policy efforts in these areas but health expenditure exceeded the 1.5 per cent growth norm (in real terms) by a significant margin in 1999, mainly as a result of expenditure on pharmaceuticals. The new government has increased the norm to 2.5 per cent starting in 2000 but, on the basis of still incomplete figures, it seems to have been exceeded again in 2000. Hence, in the 2001 Budget, the government made a once-for-all adjustment to correct for the systematic under recording of health expenditure in previous years and set new realistic budget limits for virtually all major areas of the health care system, including pharmaceutical and hospital expenditure. The budget for pharmaceutical expenditure also stipulates that 65 per cent of any expenditure overshooting will be supported by the pharmaceutical industry itself.
– Consider complementing the current approach, largely relying on administrative mechanisms, with market-oriented initiatives, such as a reduction of the set of medical services covered by the compulsive public health insurance and a greater role for risk-based additional coverage by the mutualités or private insurance. This should be combined with the introduction of capitation payments, and a level playing field for the private insurance companies and the mutualités, with the latter allowed to compete on the basis of contribution rates.	No major initiatives have been taken in this respect.

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Box 3. Recommendations for further structural reforms

It is too early to provide a firm assessment of the strategy of the new government in the area of structural reform and offer new recommendations, especially since some of the measures have not yet been fully implemented or fully spelled-out. Some of the recommendations listed below are already reflected in the government programme, but have not yet been approved by Parliament.

Labour markets

- Pursue efforts to promote wage moderation through self-discipline of the social partners, entailing a *de facto* phasing out of the law on employment and competitiveness.
- To the extent that fiscal consolidation allows it, the tax reform should include a general in-work benefit scheme, possibly with no phasing-out at higher incomes, as a major structural measure which, by boosting net incomes, would both increase incentives to work and the supply of labour, and make wage moderation more acceptable, thereby enhancing the pursuit of non-inflationary growth.
- To further increase wage flexibility at the microeconomic level, continue to explore ways to encourage the use of "opening clauses" or equivalent arrangements, introduce bottom sectoral wage scales closer to the statutory minimum wage level, and widen exceptions to the minimum wage level for various target groups. Moreover to enhance labour market flexibility in general, further relax restrictions on temporary work.
- Continue the programme of cuts in non-wage labour costs centred at the lower end of the labour market and, if possible, step it up.
- Take advantage of the window of opportunity provided by the strength of the economy to tighten benefit and eligibility conditions of the welfare system in general, and particularly the early retirement programme and the old unemployed programme. If an increase in the age limit is not possible, reduce the benefits, with cuts inversely related to age. The tax burden on labour of persons opting not to join these schemes should also be made wage-related, with the burden decreasing with age.
- Reduce replacement rates, if not by cutting unemployment benefits, at least by continuing to keep the increase in these benefits below that of wages.
- Extend the *plan d'accompagnement des chômeurs* (one of the main active labour market initiatives)to persons older than 46, or introduce a special plan aiming at keeping older persons in the labour force or activating some of those who have prematurely left it.
- Make a major effort to simplify and consolidate the bewildering number of labour-market measures and their implementation. With a view to enhance their effectiveness, these measures should be more "durable".

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Box 3. **Recommendations for further structural reforms** (*cont.*)

Product market competition and regulatory reform

- Liberalise entry conditions in the distribution sector to diminish the power of incumbent shop owners to limit entry of new outlets.
- Fully implement plans to speed up the liberalisation process in a number of former public utilities and especially in the electricity sector, with a clearer distinction between production, transmission and distribution and the creation of an effectively independent regulatory body.
- Enhance the visibility and effectiveness of the Agency for Administrative Simplification by targeting a major problem such as shop opening hours, which could be a stepping stone toward tackling entry conditions in the distribution sector.
- Implement the announced measures in favour of SMEs and self-employed persons.
- Make sure that the Competition Service and the Competition Council have the necessary staff and resources to allow them to perform fully their statutory role in the implementation of the Competition Act.
- Move forwards as fast as possible in all the other identified areas of reform to take advantage of synergies and develop a general climate of dynamism and competition.

The health care sector

- Step up efforts to curb the growth of health care expenditure by: making the existing framework of essentially non-market arrangements (or administrative mechanisms) more effective; closely monitoring the use of the recently introduced *forfaits* in the pharmaceutical sector; and speeding up the introduction of a global medical file (*dossier médical global*) backed up by an extensive and reliable data base.

Over the longer term, unless the country is prepared to devote a growing proportion of its resources to health care expenditure, it might be necessary to consider the introduction of further measures to increase efficiency and restrain expenditure.

have to be established, especially when the envisaged measures require, directly or indirectly, additional public financing. Indeed, in its declaration on federal policy of 17 October 2000, the government announced a number of choices (see Chapter II).

The government has rightly selected increasing the employment rate as one the cornerstones of its economic policy. The target of an employment rate of 70 per cent in 2010 set at the EU Lisbon Summit of May 2000 represents a major

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challenge for Belgium, where the rate is currently 59 per cent. As the projections of the *Conseil supérieur de l'emploi*[80] show, growth alone will not be sufficient to raise the employment rate to this level. It will thus be necessary through additional initiatives to increase further the demand for labour and its supply. The former can be promoted by cutting its cost and avoiding excessive employment security provisions, thereby enhancing labour/capital substitution and making growth more labour intensive. But, given the already high level of labour vacancies, the focus must be on the supply side to increase the labour force participation, quality and mobility, so as to avoid inflationary tensions in the labour market.

On the demand side, the current programme of progressive cuts in non-wage labour costs concentrated at the lower end of the labour market and combined with stepped up retraining efforts by the social partners should be continued and, if possible, accelerated. As regards wage costs, the recent period of wage moderation in the context of a strong economy is encouraging, especially since it has been achieved through self-discipline – *i.e.* through a voluntary wage norm introduced by the social partners – rather than through the direct application of the law on employment and competitiveness. This relegation of the law to a background role should be maintained and accentuated, the aim being its *de facto* progressive phasing out.

Even though the voluntary wage norm allows for a degree of wage differentiation, a properly functioning labour market may require even more wage flexibility to better reflect differences in local conditions. This is especially important in the current context of an economy at or above potential, where bottlenecks are already appearing while important mismatches persist. Hence, in addition to the supply side measures discussed below, ways should be explored to price low-skilled workers back into the active labour force, possibly through the use of "opening clauses" or equivalent arrangements, the introduction of bottom sectoral wage scales closer to the statutory (interprofessional) minimum wage level, and wider exceptions to the statutory minimum wage. Moreover, it might be especially important to relax further legislation concerning temporary work since, along with part-time work, it is through this form of work that other European countries (notably the Netherlands) have increased the flexibility of their labour markets.

To pave the way for a phasing out of the law on employment and competitiveness and reduce the risk of excessive wage increases at a time of buoyant economic conditions, the envisaged tax reform should, within the limits set by fiscal consolidation, use tax relief for households to underpin personal disposable income and make wage moderation more acceptable. The combination of wage moderation and a lower tax burden could lead to improved international competitiveness, high profitability, strong investment and rapid job creation, with feedback effects on household confidence and private consumption. But for this strategy to be effective, the focus of attention of policy, as noted, needs to be

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extended to the supply side. Despite recent measures, incentives to work remain insufficient, and the complement of an appropriate income tax reforms aiming, among other things, at a reduction in unemployment traps is strongly needed. In fact, in addition to the targeted measures already taken or considered by the government, an effective "activation" policy, may require the introduction of a general in-work benefit scheme to boost incentives to work. Admittedly, while this technique reduces unemployment traps, it may also increase or create poverty traps[81] if it is phased out at higher levels of income to minimise its budgetary cost. However, to the extent that an in-work benefit scheme is successful in activating benefit recipients, its net cost will be correspondingly decreased, so that it might be possible to reduce or even fully eliminate its phasing out, without jeopardising fiscal targets.[82]

The strength of the expansion and growing shortages in the labour market provide an ideal window of opportunity for tightening eligibility conditions and benefits in various social security programmes, even though, this would be a cultural change and would be difficult, requiring a careful mix of incentives and penalties. For instance, the age limits for early retirement and for the old unemployed programme, which stand at 58 and 50 respectively, should be progressively raised to reduce the flow of new entrants. If an outright increase in the age limit were not possible, some of the desired results might still be achieved by decreasing the average benefits of these two schemes and making the cuts inversely related to the age of benefit recipients. Moreover, the tax burden on labour income of persons opting not to join these schemes should also be made age-related, with the burden decreasing with age – as has already been done for some of the targeted measures in the government programme. The "stock" aspect of the problem – the activation of persons already in these programmes – is certainly much more difficult to tackle. But here, too, a combination of market forces resulting from the strength of the economy and a general in-work benefit scheme complemented by targeted measures could convince some of these persons to return to the active labour force, at least on a part-time basis.

As for replacement rates, if for socio-political reasons they cannot be reduced by cutting unemployment benefits, over the longer term similar results can be achieved by keeping the increase in these benefits below that of wages. Also, it is to be hoped that the recent revision of benefit sanctions in the unemployment scheme will prove effective and will result in better job-search controls and more job acceptance, thereby contributing to the activation of unemployed persons. But this will also require better co-ordination and co-operation between the federal body (ONEM) administrating benefits and the regional placement services (VDAB, FOREM and ORBEM).

In the area of active labour market policies the "First Job Programme" is a step in the right direction, especially since, in a framework of heightened co-operation

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and co-ordination of all levels of government, it can be adapted to local conditions. However, with a view of keeping older persons in the labour force or activating some of those who have prematurely left it, a similar plan should be introduced for older persons or, at least, the *plan d'accompagnement des chômeurs* should be extended to persons above 46, thereby meeting a request of the social partners to step up reintegration efforts.

As regards the different labour-market situation in the three regions, while it may not be possible or appropriate to introduce differential wage setting and labour-market policies, some recent measures, as noted, have been adapted to specific local conditions. This approach is a step in the right direction, and a wider use should be considered.

In the case of product markets, it remains to be seen how successful the government will be in implementing its very comprehensive programme of reform. The intention of speeding up the process of liberalisation of the electricity and gas sectors is welcome, as well as the commitment to improve the way the rail sector and especially the Belgian National Railways Company operates. An overhaul of public administrative bodies and a reduction of the administrative burden on individuals and business is also welcome. However, especially in view of the difficulties of quantifying cuts in the administrative burden, the credibility and impact of this policy might be strengthened if, in addition to the rather general or hard to measure targets so far identified, a more specific and highly visible problem were selected. For instance, since progress in this area has been limited, shop opening hours could be highlighted as a test case, and hopefully a first step could be made toward tackling the problem of entry conditions in the distribution sector which remain highly restrictive as a result of the excessive power of incumbent shop owners. As regards competition policy, it is to be hoped that recent decisions concerning its legal and institutional aspects will finally allow the Competition Council to carry out fully its statutory role in the implementation of the Competition Act.

In the health care sector, unless the country is willing to spend an ever growing proportion of its resources in this area, further corrective measures will be needed. Within the current framework, these measures should aim primarily at making the use of *forfaits* more effective and closely monitoring their recent extension to the pharmaceutical sector. Over the longer term, however, the authorities face the challenge of implementing fundamental structural reforms to increase efficiency and restrain expenditure without undermining the quality of care and preserving as much as possible the other cherished characteristics of the Belgian health care system, *i.e.* the principles of solidarity and freedom of choice.

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IV. Encouraging environmentally sustainable growth

This chapter examines the actual or potential appropriateness of economic instruments to reach environmental targets. The coverage of this approach has to be selective and the case studies presented are intended to illustrate the main issues and provide foundations for the recommendations. This chapter is, therefore, far away from the broad-based approach, which has been applied for the Sustainable Development Reports and the draft Plan recently discussed in Belgium. It is also not intended to offer an environmental performance evaluation, which is done by the Secretariat's Environmental Performance Reviews.[83]

Belgium's small size and high population density, its history of industrialisation and intensive agriculture, and its location along important transport routes strongly influence the kind of environmental problems it faces. However, these problems are far from uniform: nitrates in surface water are a particular problem in intensive livestock-rearing areas of Flanders, less so in Wallonia, though Walloon rivers frequently fail to meet the water quality standards that would be required for their popular recreational uses, because of insufficient wastewater treatment facilities; a concentration of chemical and petrochemical industries near the border of Flanders with the Netherlands gives rise to trans-boundary issues, as does the flow into shared estuarial and coastal waters of the two major Belgian river systems; urban traffic problems are particularly acute and growing in Brussels. These problems are generally regional or local responsibilities, while the Göteborg and Kyoto Protocols give rise to national targets for emission reductions.

Over the last two decades, particularly compared with some northern European countries, environmental policy has generally been less of a focus of attention in Belgium than in many other OECD countries. This may be partly due to the high priority attached to fundamental constitutional issues[84] in the 1970s and 1980s, when in many other countries environmental legislation was developing rapidly.[85] Since then a considerable amount of work has be carried out in creating coherent environmental management frameworks and for governments to take steps towards eliminating the backlog in measures to reduce the pollution burden. With the completion of constitutional reforms, environmental responsibilities

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have been much more clearly defined, albeit within the context of institutional arrangements that are necessarily more complex and cumbersome than in most other countries.[86] However, during most of the 1990s Belgian authorities were also heavily occupied with meeting the Maastricht criteria for participating in the European monetary union. It is, therefore, not surprising that in those areas where policy initiatives have been targeted on increasing the environmental sustainability of the economy, the main concern of the Belgian authorities appears to have been the implementation of the legislative requirements of EC directives. In this respect, little original assessment of the environmental effectiveness of these measures or of their economic cost seems to have been undertaken. More recently however the situation has changed somewhat: all regions have developed plans which set objectives for future action, make some provision for assessing progress and, in some cases, mandate assessments of costs and benefits.

The next section outlines the institutional structure in which environmentally relevant policy evolves and the following sections look at aspects of particular environmental issues – water quality and water supply, transport, emissions of greenhouse gases and acid rain precursors – in the three regions and at federal level;[87] subsequent sections discuss the "ecotaxes" and the role of the sustainable development plan. This selection is certainly not comprehensive and does not cover the full complexity of sustainability issues in Belgium.

Institutions

As discussed in Box 1 (Chapter II), Belgium is a federal state comprised of three communities (Flemish, French and German-speaking) and three regions (Flanders, Wallonia and Brussels-Capital).[88] In contrast to other federations, there is no hierarchy among the federated entities: each, including the federal government, is equal in law. The Federal Government is responsible for all matters that, for technical and economic reasons, require uniform national treatment; for example, control of air pollution from mobile sources. Other federal responsibilities with respect to environmental policy include product policy (standards, taxes, labelling, environmental advertising), protection from ionising radiation, management of radioactive waste, transit of waste and marine environment protection. The regions retain most responsibilities in environmental policy. These include environmental planning, protection of the environment (water, air, soil, noise – with the exception of ionising radiation), waste management (with the exception of interstate transit), control of legislation on of dangerous, unhealthy or nuisance installations, drinking water supply, nature conservation and certain aspects of scientific research. The regions determine objectives and appropriate policy instruments and carry out enforcement.

In accordance with their tax-levying powers, the regions are authorised to introduce green taxes insofar as no such tax already exists at the federal level.

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Taxes on effluent discharge and waste disposal are reserved for the regions. Even where an issue is a matter of federal competence, the regions can take measures as long as those are identical in each of the three regions, so as to avoid tax competition among the regions. Of the sectoral policy areas with most relevance to environment policy, transport is a federal responsibility concerning railways and air transport, while energy (except taxation), mobility, environmental planning and (from 1 January 2001) agriculture[89] are mainly regional responsibilities and land use is mainly a local government (city administrations) responsibility. This allocation of responsibilities facilitates integration of local environment concerns in agricultural policy, and provides room for considering supra-regional environmental concerns while formulating an appropriate transport policy, the field in which much remains to be done to de-couple growth in emissions from economic growth.

The counterpart to the juridical autonomy of the federated entities is extensive policy co-ordination arrangements.[90] Principal among these is the Interministerial Conference on the Environment (CIE). It comprises representatives from the Federal Government and each of the regional environmental authorities and examines issues where inter-government co-operation is necessary or would be helpful, to implement environment policy. In some cases, such as product rules, rules dealing with industrial accident risk and regulations on the transport of waste across boundaries, consultation is compulsory. An important working group of the CIE is the Co-ordination Committee for International Environmental Policy (CCPIE). It is the main body for international environment policy co-ordination, except in respect of EU environmental policy. Despite not being responsible for policy co-ordination in respect of EU environmental policy, the CCPIE can co-ordinate *ad hoc* technical matters in this field, including the technical aspects of implementing of EC directives (Tombeur 1998, p. 28). The European Affairs Division of the Federal Ministry of Foreign Affairs is responsible for policy co-ordination in respect of European environmental policy.

Both the CIE and the CCPIE work on the basis of consensus. In the event that no consensus is reached, no action can be taken: unilateral action would be likely to result in a legal challenge that would reverse the action. In disputed cases Belgium could abstain from the relevant decisions taken at the international level but of course remains subject to them. Another important co-ordination mechanism is the Inter-regional Cell for the Environment (IRCEL/CELINE), which concerns co-operation between the regions alone. Inter-regional agreements concerning information exchange and waste packaging have been concluded in this forum in recent years. A recent protocol between the three regional ministers of environment establishes a basis for consultation and co-operation on other matters to be mutually agreed each year. Federal and regional governments also consult with each other through Interministerial Conferences on the economy and energy, traffic and infrastructure, and agriculture. Where the federated authorities fail to act in accordance with

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the judgement of an international or supra-national court, the federal government can act unilaterally to ensure that the judgement is respected.

The regions are obliged to consult the social partners and environment groups on all proposed environment measures. This is done through the environment councils. They analyse the measures and advise their government as to their opinion on the adequacy and economic effects of proposed instruments. At the federal level, a Federal Council for Sustainable Development was created in 1993. This Council has to be consulted on the draft Plan on sustainable development, and advises the government on sustainable-development-related actions and legislation.

Natural or legal persons with a personal, direct, positive and lawful interest can appeal against administrative acts or government action/non-action in the field of environmental policy. Interested parties can include environment protection groups. It is also possible to make a complaint to the concerned European institutions in relation to the non-enforcement of environmental legislation. Natural or legal persons can also sue enterprises or other citizens that pose a threat to the environment. To do so, the natural or legal person bringing the action must demonstrate that they have suffered a loss caused by the other party's negligence (they violated the general duty of care or breached a statutory duty).[91] However, it is not possible for a natural or legal person to bring such an action against a government that has not breached a statutory duty. For example, there have been no grounds for natural or legal persons to sue the Brussels-Capital government for continuing to discharge Brussels' raw sewage into the river Senne. Only the Flanders government, representing the region directly harmed by this pollution, could have brought such an action.[92] In view of the serious political consequences that such an action would have had, the Flemish authorities have preferred to resolve the problem through other means. This is discussed further below.

These institutional arrangements, and the fact that the shape of environment policy is dictated to a significant extent by the need to implement EC directives, can limit governments' choice of policy instruments to address their environmental responsibilities. For example, a regional government cannot independently levy an environmental tax on certain products (such as cadmium batteries) to limit the generation of waste but rather must co-ordinate such a tax at the national level. This is clearly a more cumbersome and time-consuming procedure than using an instrument, such as waste disposal charges, that can be imposed independently. Similarly, governments cannot use economically efficient instruments (environmental taxes or tradable emission permit) alone to ensure that certain EC directives concerning minimum standards are met in all locations. For example, using economic instruments to reduce nitrate emissions from agricultural sources could result in emissions per hectare still exceeding the EU limit in certain areas, even though the overall reduction may be in line or greater than implied by the directive. These institutional constraints must be taken into

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account when considering what might constitute an economically efficient set of environmental policy instruments in Belgium.

Water: quality and supply

There is quite a variety of approaches to different aspects of the problems of water supply, quality and treatment in Belgium. As far as quality is concerned, three examples illustrate the wide variety of issues at stake. Surface water is of poor quality in many areas yet the city of Brussels, until August 2000, had no water treatment works. In Flanders, and to a much lesser extent in parts of Wallonia bordering Flanders, intensive livestock farming (mainly cattle but also pigs and poultry) is a source of pollution through production of large quantities of nitrogen-rich manure. Some reductions in the net nitrogen surplus (manure, fertiliser, atmospheric deposition minus nitrogen uptake by crops and pasture) have been achieved over the past 10 years despite further manure production increases.[93] The norms of the EC directive on nitrogen from manure (itself a response to non-implementation of a 1975 directive on surface water quality) have yet to be respected. In Wallonia, tension between economic and environmental pressures has often led to a selective approach with respect to river water quality deferring to revealed consumption choices (bathing in polluted rivers) of the local population. The following sections discuss these examples in turn, and a further section looks at water supply and charging.

Water quality – Brussels

Sewage from Brussels flows entirely untreated into the river Senne, a tributary of the Scheldt. As the OECD Environmental Performance Review for Belgium points out, water quality in the Senne downstream from Brussels is comparable to that of sewage (OECD, 1998*b*).[94] This relative backwardness in treatment of household wastewater is not confined to Brussels – in the late 1990s, only 28 per cent of the population of the country as a whole was connected to a water treatment works. Construction of one sewage works for Brussels, with a capacity to treat sewage from less than 30 per cent of the inhabitants, was begun in 1994 and it came into operation in August 2000. Administrative action to deal with the problem was initiated in 1989; progress was slow and gained momentum with pressure from the EU, which in late 1999 began legal action against Brussels and the other regions, all in violation of a 1991 EC directive.[95] The construction of a second sewage treatment plant in Brussels, which would bring total capacity up to the level required to treat all Brussels' wastewater, and some from Flanders upstream of Brussels, is now planned for entry into operation in 2005.

With such poor water quality downstream[96] from Brussels, it might have been expected that pressure from citizens in that area would have forced action much earlier. Residents in affected areas receive no compensation. In fact, pressures

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from affected constituencies appear to have played at most a very minor role. This is partly because much of the downstream area is in the region of Flanders, so that electoral pressure would be only indirect; other kinds of pressure could perhaps have been exerted through the courts, but this does not seem to have happened. In principle, Belgian citizens have the right to take polluters to court, but do obviously not have the right to take a government to court for not preventing pollution. Nor is there any tradition of legal action by third parties, through which environmental action groups might have put pressure on governments.

The Flemish authorities were not inactive and have been pushing for action by Brussels-Capital for some time. However, they have felt it inappropriate to take legal action. There tend at any one time to be a number of issues of conflict between regional governments, and the emphasis is on finding mutually acceptable compromises, with the result that the outcome on any one issue taken alone may not appear optimal. In this case, part of the solution was a form of cost sharing between the two governments. The Flemish region is financing 12 per cent of the costs of the two water treatment works, according to a formula based on the shares of *i*) population, and *ii*) the land surface drained in the relevant parts of the river basin.[97]

Water quality – livestock in Flanders

One of the most important contributors to pollution of surface water in Flanders is intensive livestock rearing.[98] Intensive livestock rearing produces large quantities of manure, from which pollutants, particularly nitrates but also phosphates, leak into surface and ground water unless absorbed by plant growth or removed. This problem also occurs in large parts of neighbouring Netherlands, and in a small part of Wallonia. In these areas, the traditional small scale family farms could only respond to competitive pressures by increasing the scale of their operations, which destroyed the balance between livestock and agricultural land, which could absorb the produced manure. The concentration of livestock – notably cattle, pigs, but also poultry – is not an outcome of a particular comparative advantage of the land. The (EU-wide) agricultural policy does not favour this sector in particularly this location, but of course provides a favourable framework especially for dairy farming. In addition, the proximity of demand provided by the most densely populated area in Europe may also have played a role, and it may also be linked with the proximity of major ports through which animal feed can be imported cheaply.

The consequences of such pollution – potentially harmful concentrations of nitrates in public drinking water, if this is supplied from surface water and eutrophication both of inland waters and the estuarial and coastal waters nearby – can in part be valued. Nitrates can be removed from water intended for the public water supply at a cost (though much of Belgium's public water supply is taken from groundwater, less affected in the short run by nitrates but already contaminated in

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some areas and likely to suffer more in the longer term), so it might be possible to link a tax on nutrient discharges to the cost of making good the resulting damage. The costs of eutrophication are both harder to evaluate and are not felt at the source, but downstream in shared or international waters.

An obvious way to tackle this problem would be to tax nutrient discharge to reduce its volume to a certain level. Indeed, taxes on non-agricultural waster water exist in Flanders, giving enterprises an incentive to invest in wastewater treatment, and have had a significant effect in reducing discharges from these sources. In agriculture the emphasis has been on setting rules for the manner in which manure is handled and imposing fines where manure is not disposed of as the law requires, which essentially means either transporting it to areas where less manure is produced or treating it.[99] In 1998 61 fines worth ECU 1 million, a rather small amount in relation to the total livestock in Belgium, were imposed.[100] The expected penalty does not seem to have given sufficient incentive to reduce discharges.

From 2001 additional penalties have been introduced, in the form of a "super tax" on nutrient content, when manure production exceeds levels corresponding to the requirements of a 1991 EC directive (676/91). The introduction of the super tax is progressive, and by 2003, at BF 40 per kilogramme of nitrogen or phosphate, will exceed the corresponding profit on raising livestock. However, taxes on nutrient use – including on the nutrient content of mineral fertiliser – when manure production is below the thresholds will be only a fraction of these levels (under BF 1 per kilo). This gives practically no incentive to reduce nutrient discharges once manure production dips below the threshold. This is unlikely to give least-cost reductions in discharge; it might be reasonalbe to have the tax rate a function of local levels of surface water pollution, but this does not vary by a factor of more than 40 with moderate variations in discharge.

Applying the full rate to all discharges would be very burdensome to farmers, hence their opposition to it in the past.[101] An alternative solution could involve a cap-and-trade scheme for discharge permits or a uniform tax rate, with "grandfathered" permit allocations or tax credits.[102] A tax structured in such a manner could probably be set considerably lower than the "super tax" rates.

Water quality – bathing water in Wallonia

Environmental "capital endowments" – the two most important being the rivers and the forests – support a substantial volume of leisure activities in Wallonia. The quality required of bathing water is regulated by an EC directive from 1975 (76/160), implemented in Belgium in 1984,[103] establishing reference values for particular pollutants. Compliance with the legislation requires (along with other conditions concerning location, frequency and manner of sampling) that pollutant concentrations should not exceed the thresholds too often, generally not more than one in five samples. In the years 1989-93, the proportion of bathing zones

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failing to meet this standard rose to around 70 per cent[104] and was still above 50 per cent in 1996. This degree of pollution may not be surprising: in the early 1990s, less than one quarter of the population was connected to a public water treatment system, about 20 per cent were not connected to any public sewage system at all, and the remainder were connected to sewers discharging untreated water into the watercourses. The proportion connected to water treatment installations is increasing steadily, however, reaching about 28 per cent in 1997. In certain areas water is naturally acidic and contains sulphur, and in many isolated areas cess pits provide adequate natural water purification. Nevertheless, in 1996, households accounted for some two-thirds of water pollution from non-point sources, though only for about 4 per cent of total water consumption.

Monitoring of water quality is mainly restricted to organised bathing areas and when water quality does not meet the requirements of the EU directive the areas are normally closed for bathing. This occurs much less often in the numerous bathing areas which do not come under the heading of "organised" areas. Hence, standards set for public health reasons are often violated; furthermore it seems that although the authorities initially took samples from a wider range of areas than strictly necessary under the directive, samples in these areas – where pollutant levels were generally above the permitted levels, are no longer taken. This state of affairs may be due to a mismatch between the authority responsible for monitoring quality and that responsible for regulating access. While the Walloon water administration is responsible for monitoring, restricting access is a matter of public health, where the prerogative lies with local mayors (*Bourgmestres*); the region notifies them routinely of the results of the sampling, and has also sent a circular letter warning of the health risks associated with bathing in polluted waters. It seems that the reluctance of local mayors to restrict access to bathing waters, even when they violate the quality standards, is due to fear of the direct consequences on local incomes from tourism and leisure, as well as the indirect consequences that might follow from a poor image.

In practice, it is hard to judge the seriousness of any public health problem arising in such cases, which probably arise frequently in many countries. It may be that the bathing water quality standards appear in fact too tight from the point of view of the local population in Wallonia. As mentioned earlier, the Belgian regions have generally been late in developing environmental protection policies, and frequently feel that incorporating EC directives into domestic legislation is an end in itself, reasoning that the EU Council would not set standards unless it had established that the benefits of meeting them exceeded the costs. This might result in standards being set that are not fully justified or are not sufficiently understood in a particular local context. There is not enough information to say that this is the case here since on the one hand bathers may not have sufficient information to make an informed choice – when informed of a water quality problem the local administrations do not typically advertise the fact – and on the other

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hand local government has no direct say in sewage treatment policy, which is a regional responsibility. However, it could also be that the local population is aware of the water pollution and therefore uses these waters for bathing with great care, for instance avoiding to drink it, while the EU standards have to assume an "uninformed" person, who does not distinguish between bathing and drinking water. Some explicit assessment of the costs and benefits of trying to apply the directive more widely is perhaps called for.

Whether or not the standards set in the EC directive are appropriate in this case, there does seem to be a lacuna in the combination of EU environmental targets and local health policy, revealed in a recent case in the European Court. The European Commission recently won its case on two out of three points of law, with the European Court condemning the Belgian government for non-enforcement of the bathing water directive.[105] However, on the third point, the court ruled that the directive imposed no obligation on member states to close bathing waters when the norms of the directive are violated, which is strange unless the bathing water standards were set with something other than public health in mind. Settling this inconsistency is likely to require some realigning of responsibilities; a closer look at the actual health risks being run would also seem in order, particularly since the investment in sewage treatment facilities required to meet the bathing water standards is quite large. Indeed there is no guarantee that satisfying the demands of the 1991 Water Treatment directive will result in water that meets the requirements of the bathing water directive.[106]

Water supply charging in Flanders

Finding an appropriate charging structure for public water supply is quite difficult. It needs to take into account high fixed costs, very low marginal costs until capacity is reached, and varying cost of treatment; moreover, consumers in countries with climates such as Belgium's may find it hard to think of water as something that has a significant marginal cost, and may object to water being treated as a marketable good at all, rather than as something to which everyone has a right. In fact, extraction of groundwater in Belgium is quite intensive and in some areas exceeds what is sustainable without major changes in the water table.

Trying to integrate these different considerations into a pricing system, while also ensuring that water companies are able to cover their costs, Flanders introduced a simple but innovative two-tier pricing structure in 1997. All domestic consumers receive the first 15 m^3 per capita free (apart from a connection fee and/or meter rental), with a fixed volumetric price above that amount.[107] The result has been high marginal water prices, but data are not yet available to assess the size of the resulting impact on water consumption. Overall water bills for most households increased too, despite the free 15 m^3: water charges are paid into the MINA fund, which finances increasing expenditure on measures to protect water sources,

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cleanup of brown-field sites, and construction of water treatment facilities. It would be advisable to evaluate the effectiveness of earmarking water charges in this way regularly.

In principle this pricing formula is supposed to take account of a basic right to clean water. However, a closer analysis reveals that such a pricing structure may have disadvantages. Some calculations show that it is regressive. Since there are economies of household scale in water use, the per capita requirements of larger households are much lower than those of small households, so that the excess of actual per capita consumption over the free consumption may decline with household size. With household size itself positively correlated with income, the result is payments for water declining, on average, as incomes rise (Van Humbeck, 1998). Apart from regressivity, which will tend to arise whenever one moves from a system with implicit cross-subsidisation of a "necessity" to one where prices reflect costs (and which can be dealt with, if thought necessary, through general redistribution policies) relatively high administration costs may be a drawback with this system: appropriate records of household size, and a monitoring system to avoid fraud, must be maintained.

Air pollution

Belgium's targets on air pollution are largely determined by international agreements on acid rain and ozone precursors, as well as the Kyoto Protocol on greenhouse gases when ratified.[108] Emissions of greenhouse gases arise particularly from the steel and chemicals industries, from agriculture[109] and from transport. During the 1990s, emissions have generally fallen, though by less than in other countries (Figure 21), although CO_2 emissions have increased steadily, making the Kyoto target increasingly hard to hit.[110] Generally speaking, policy has so far focused on emission control technology, with regulations (which are the responsibility of the regions) following the Best Available Technique (BAT) approach.[111] Economic instruments are rarely employed – very little use is made of taxation, except in road transport, and none of tradable permits.

Belgium does have an energy tax, but it is predominantly intended to raise revenues. For an environmental measure it would be poorly targeted: fuel used by industry and for electricity generation is not subject to the tax; coal is not taxed at all (other than at a reduced VAT rate), in part to keep coal prices low for low-income households as part of a poverty reduction programme; and there is only a one-step differentiation according to, for example, the sulphur content of oil.[112] The differentiation could be extended to all fossil fuels. Generally speaking, Belgium applies some of the lowest[113] or about average[114] taxes on energy within the European Union, so it may not be surprising that energy and CO_2 intensity are tending to deteriorate relative to OECD countries overall, although they are currently around average levels (Figure 22).

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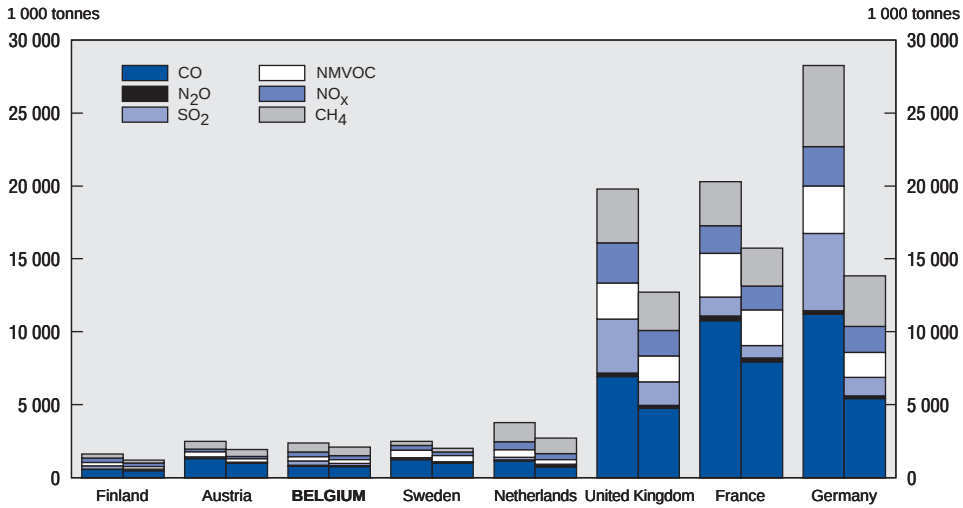
Figure 21. **Emissions of air pollutants**



Note: The first column of each part refers to 1990 and the second to 1998.
Source: United Nations Framework Convention on Climate Change (UNFCCC).

Since just over 40 per cent of Belgian energy consumption is already supplied from nuclear generated electricity or from natural gas, neither of which contribute very much to air pollution, the adjustment necessary to meet the reduction targets of the Göteborg and Kyoto protocols will be relatively costly. Therefore, potential gains from using economic instruments to enforce a cost effective emission reduction would be significant. With obvious, cheap measures unavailable, further reductions of greenhouse gas emissions will require careful investigations done by those that either benefit from reductions or suffer from increased emissions. In other words, the more difficult the emission reductions are, the more individual compliance will be necessary and the less applicable administrative solutions will be. The Energy Ministry projects that emissions of energy-related greenhouse gases will exceed the target level by over 25 per cent in 2010. In late 2000 it estimated that a CO_2 tax of BF 820 (about EURO 20), in 1990 prices, per tonne would be necessary to achieve the target.[115]

Up to now, concern over competitiveness has been used to justify the exemptions in the energy tax and Belgium argues, as do most EU members, that action is needed at the level of the EU before significant national measures can be taken (Box 4). The examples of Denmark – which has a sulphur tax, a general energy tax and a CO_2 tax (albeit with significant exemptions or reductions for industry in the latter two cases[116]) – and Sweden's NO_x emission charge show, however, that the constraints facing small EU member countries do not prevent

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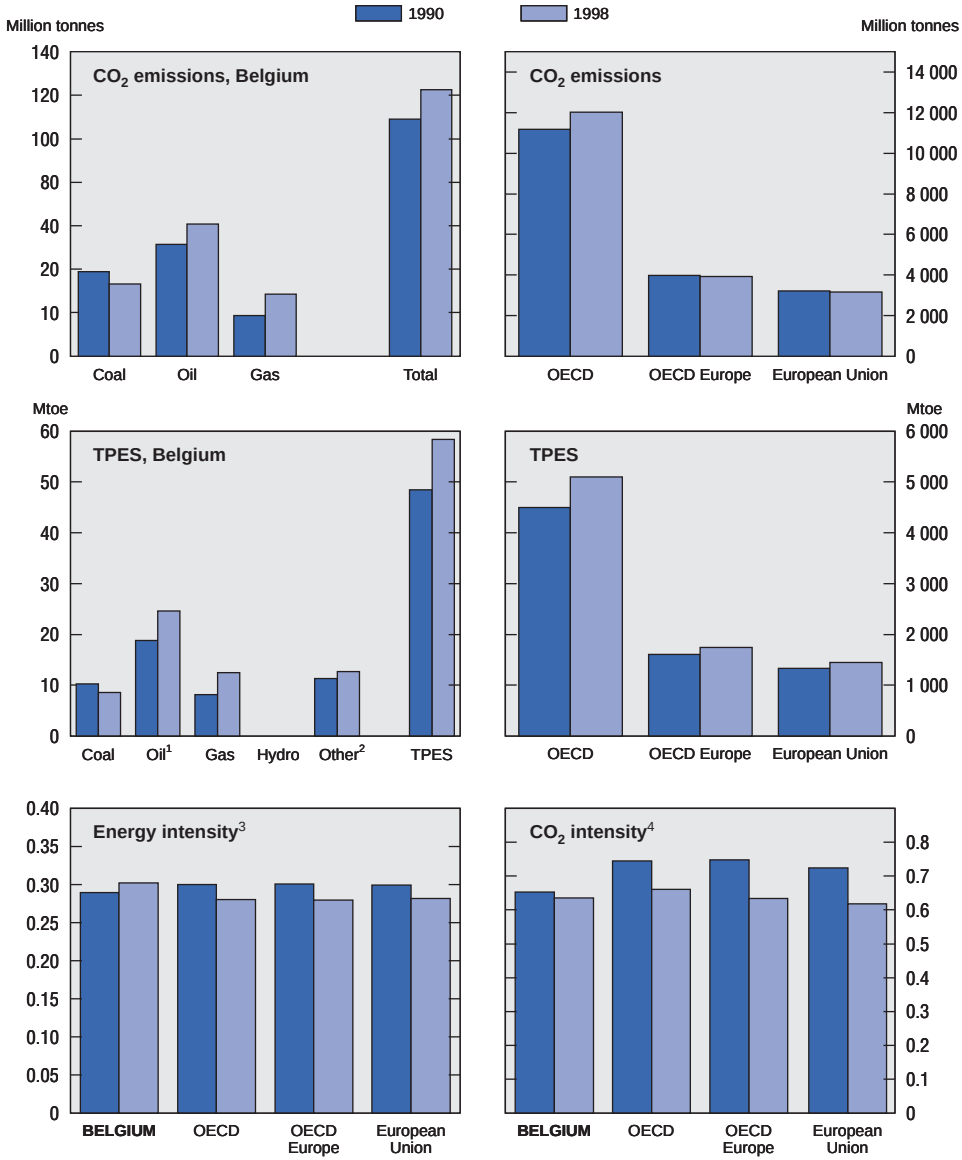
Figure 22. **CO_2 emissions and primary energy supply**



1. Crude oil + NLG + refinery feedstocks + petroleum products.
2. Combustible renewable,waste,electricity and nuclear.
3. TPES divided by GDP (1990 prices using 1990 US$ PPPs).
4. CO_2 emissions divided by GDP (1990 prices using 1990 US$ PPPs).

Source: IEA, *Energy Balances of OECD Countries and CO_2 Emissions from Fuel Combustion.*

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Box 4. Competitiveness: a valid reason for avoiding a CO_2 tax?

Competitiveness concerns have influenced the design of a CO_2 tax wherever it has been introduced (*e.g.* the Nordic countries and Germany). Energy-intensive industries have generally been either exempted or subject to reduced rates (in the Danish system there are four different tax rates, see OECD, 2000 *f*). The main reason is that energy intensive industry is frequently particularly exposed to international competition so that substantial increases in costs could result in the relocation of export, or import competing, industries; furthermore, there may be resulting increases in CO_2 emissions abroad ("leakage") offsetting the domestic reduction.

However, the policy target in this area is largely defined by the Kyoto Protocol (and the subsequent burden sharing agreement within the European Union), which provides for a reduction of 7.5 per cent in Belgian emissions of greenhouse gases by 2008-12, compared with 1990. Even if emissions "leak" abroad (and in a narrow sense this would not matter, since it is still a way for Belgium to meet its target), few of them would be likely to leak further than neighbouring EU countries and in practice very little such movement would occur since all of them are also subject to Kyoto limits and so will sooner or later have to take domestic action themselves. Action taken to cushion carbon intensive industry from adjustment increases the burden on other sectors and, for any given reduction in Belgian emissions, will in fact result in higher overall output and employment losses. This is not to deny that there will be employment losses (whose duration will depend on the flexibility of labour markets), as well as some permanent output losses; however, these effects (and their regional aspects) should be dealt with in the same manner as with other structural changes in the economy.

For Belgium, as a small and open* country with a large share of heavy emitters acting under uncertainty as to what its neighbours will do, there are nevertheless real concerns that some enterprises, if hit with a full CO_2 tax could be bankrupted or move abroad unnecessarily, in the sense that once other countries have acted the enterprise would be viable. It is therefore necessary to address the tension between the legitimate interests of workers and investors in emitting companies and the need to provide incentives reducing emissions for all actors. The best way to deal with this problem is to ensure that all activities face the same marginal incentive to abate, taking temporary measures to compensate for the potential impact on profits and international competitiveness. Such measures could be in the form of tax credits related to past emissions in the case of a CO_2 tax or in the form of grandfathering of emission permits in a cap-and-trade system. The latter approach was used, for example, in the US sulphur trading scheme (OECD, 2000*g*) and the former forms part of the recently proposed extension of the "*taxe générale sur les activités polluantes*" in France to the carbon content of intermediate energy consumption.

Two advantages of introducing a domestic trading scheme are: *i*) that it matches more closely the nature of the quantitative target, allowing the price of carbon to be determined endogenously, and *ii*) that it prepares the ground for a direct link with the international trading scheme that should emerge if the provisions of the Kyoto Protocol are implemented successfully. Whether a tax or a cap-and-trade approach is adopted for CO_2 in Belgium, measures to reduce methane emissions,

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Box 4. **Competitiveness: a valid reason for avoiding a CO_2 tax?** (*cont.*)

which arise largely from agriculture, and for which it is not immediately clear how to adopt either of these economic instruments, should reduce the required reduction in CO_2 and, therefore, the overall cost of meeting the target (see J.-M. Burniaux (2000), "A multi-gas assessment of the Kyoto Protocol", ECO/CPE/WP1(2000)17).

* The degree of openness of the Belgian economy is for instance twice as large as for Denmark if measured by the ratio of foreign trade (average of exports and imports) over GDP.

action. For the moment, although the Belgian authorities accept the targets of the Göteborg and Kyoto protocols,[117] few concrete measures to pursue them have yet been implemented, though the government is considering a number of measures including a CO_2 tax (see the discussion of the Federal Plan for Sustainable Development below). Specifically, some expansion of renewable electricity is planned (Box 5). Belgium is, thus, almost certain to be a net purchaser of GHG emissions "permits" in the first commitment period (2008-12) of the Kyoto Protocol and will need to consider whether to finance these purchases through general taxation or, more efficiently, through a carbon tax or by linking a domestic cap-and-trade system to the international market expected to develop. If nuclear power stations are phased out as planned, Belgium's target will be even more difficult to meet in subsequent commitment periods, and the importance of implementing the most economically efficient policies will become correspondingly greater.[118]

The importance of taking definite action soon is underlined by the way in which the earlier target for the year 2000 failed. The 1994 National Programme for Reducing CO_2 emissions (NPRE) entailed a number of measures estimated to reduce CO_2 emission in 2000 by an amount equivalent to about 12 per cent of the 1990 level of CO_2 emission. Combined with underlying growth in CO_2 emissions the programme was expected to result in about half of the target reduction in CO_2 emissions. In fact, as mentioned earlier, emissions have risen. Although the authorities are reluctant to impose taxes for fear of damaging competitiveness, other methods are not always any more popular: under the NPRE, new building codes were introduced to enhance thermal efficiency in space heating, but 80 per cent of all new buildings fail to comply with the new regulation.[119] It seems likely that the Belgian authorities have feared to overburden the population and taxpayers with the enforcement of too many objectives at the same time when budget consolidation and achievement of the Maastricht criteria was the dominant objective.

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Box 5. Renewable energy in Belgium

Renewable energy (generated from a non-depleting source) accounts for only 1 per cent of total energy supply in Belgium as compared with 6 per cent for the OECD area. Belgian renewable energy supply is predominately generated by Combined Heating and Power (CHP) plants within the industry sector using biomass or waste as energy sources. The policy developments in this area are primarily the planned construction of federally owned offshore wind-turbine parks to take advantage of the good wind conditions in coastal waters and the introduction of a 3 per cent target for the share of renewable energy in the electricity supply by 2004. The target is envisaged to be enforced by introducing a system of "green" certificates, to be issued by the generators using renewable energy and to be purchased by distributors along with the electricity generated by renewable energy. Distributors who do not possess enough certificates in proportion to the electricity they supply will face fines. To further stimulate the use of renewable energy, investment projects in this area enjoy a special 10 per cent tax deduction and a production subsidy of BF 1 per kWh as well as support through programmes at regional level for promoting renewable energy. Moreover, the impending reform of the electricity market will grant privileged grid access and guaranteed minimum prices to CHPs. Although the 3 per cent target is itself somewhat arbitrary, using a system of green certificates is an effective way to implement it especially if a secondary market is permitted. A similar system has already been introduced in Denmark,* though with a higher target in line with its greater wind-power potential.

* OECD (2000f), *Economic Survey of Denmark*.

One area where constraints on small countries may be particularly strong is in the taxation of motor fuel. The Belgian authorities believe that fuel prices in Belgium cannot exceed those in neighbouring countries by more than very small amounts – the short distance to a neighbouring country could lead to "gasoline" tourism – that is, Belgians travelling abroad to purchase cheaper fuels.[120] This is a particular concern for diesel fuels as modern long-distance haulage trucks have very long no-refuelling travelling capacity, thus enabling them to take advantage of price discrepancies along their international routes. In the first half of 2000, duties and prices of both petrol and diesel fuel were actually somewhat lower in Belgium than in Belgium's major neighbours (Figure 23). Luxembourg is an exception – with very low fuel taxes – there are practically no petrol stations for some considerable distance outside Luxembourg's borders.

In setting taxes with the aim of reducing emissions, it should be noted that both driving conditions and the type of vehicle being driven affect emissions (Figure 24). The increase in the cost of emissions per litre in congested urban

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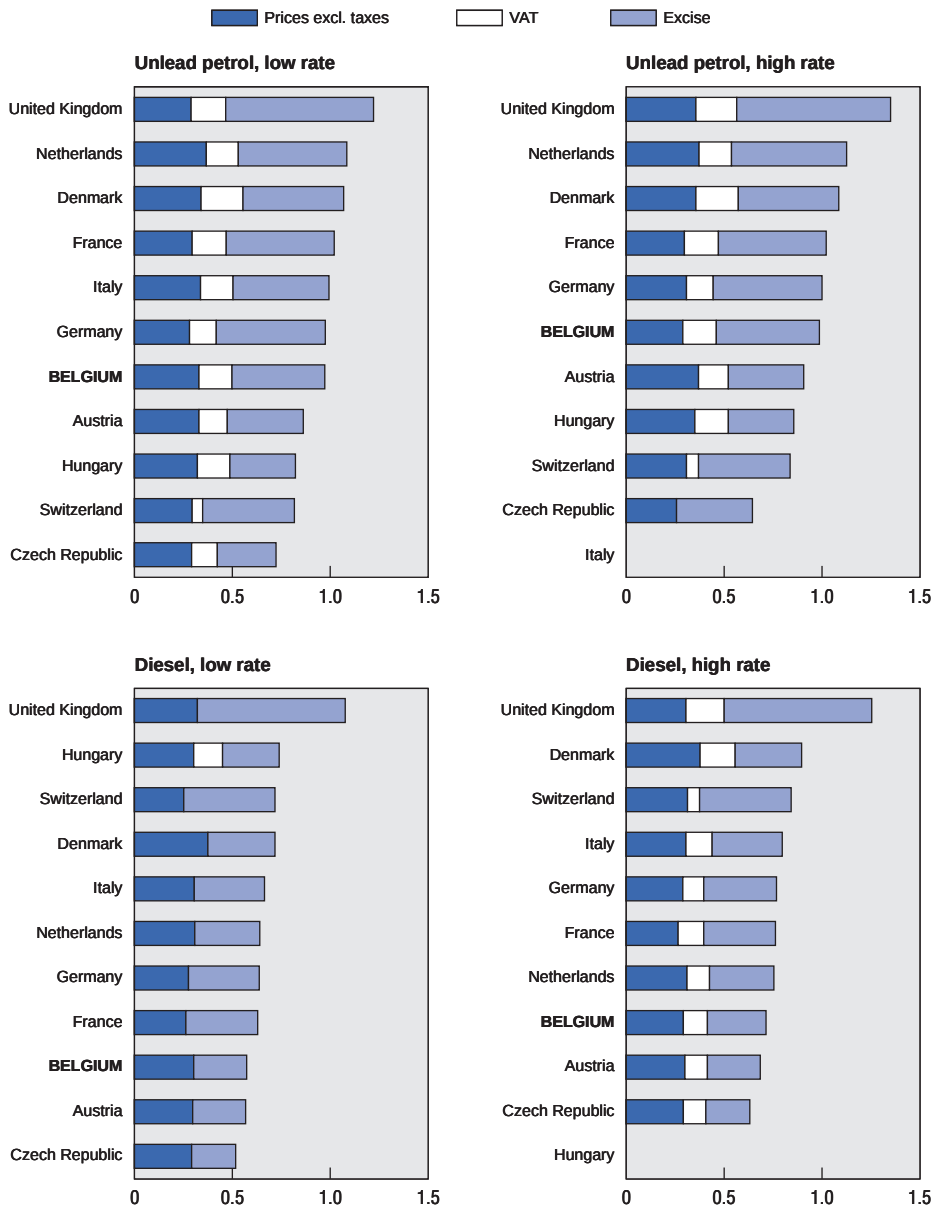
Figure 23. **Prices and taxes on transportation fuels**

Q2 2000 or latest available, US$



Source: IEA, *Energy Prices and Taxes*.

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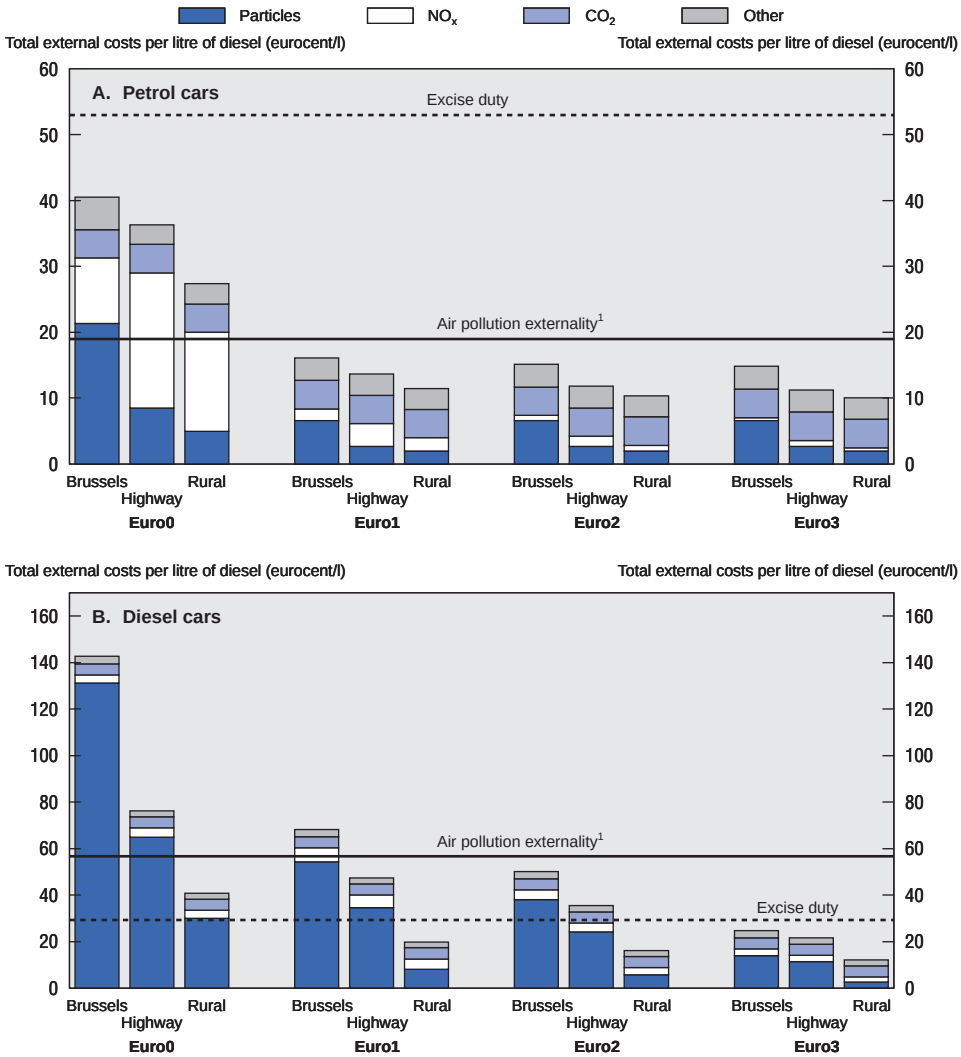
Figure 24. **Externalities due to motor cars**



1. Weighted average of total externality for all vehicle and traffic types.

Note: The figures are based on estimates of emissions under certain typical driving conditions (Brussels: urban centre of a large city; Highway: highway in a rural location; Rural: a Flemish village) and certain types of car, corresponding to successive European emission standards: Euro0-pre-1991, Euro1-1991 (directive 91/441/EEC), Euro2-1994 (94/12/EC), Euro3-1998 (98/69/EC).

Source: Leo De Nocker, Luc Int Panis, Rudi Torfs: "Environmental damages from Transport in Belgium: trends and comparaison with excises on petrol and diesel." Contribution of the Flemish Institute for Technological Research (VITO) to EU report, DGXII (2000) "External costs of Transport, Final Report", Office for Official Publications of the European Communities, Luxembourg.

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driving,[121] especially for diesel, also justifies concentration on reducing this kind of vehicle use more than inter-urban and rural traffic in general. It is therefore clear that the differential between tax on diesel fuel and on petrol is not justified in environmental terms – if anything, the tax on diesel should be higher than that on petrol.[122]

It is also clear that the change in emission standards on new vehicles since the late 1980s has dramatically reduced the levels of pollution, per volume of fuel consumed, from new cars in Europe, following a similar improvement in the United States, where catalytic converters were made compulsory earlier. This was of course almost entirely attributable to "command and control" policies at the European level and it seems likely that the benefits substantially exceeded the costs, though the Secretariat is not aware of a published study.

Although taxes on fuel for transport are not particularly high in European terms, a number of exemptions and special tax allowances are in place, leading to a tax system that favours polluting fuels in the transport sector. Commuting expenses can be deducted at a rate of BF 6 per kilometre. This is a generous deduction: note that the excise tax on fuel amounts roughly to between BF 1 and BF 2 per kilometre for cars consuming between 5 and 10 litres per 100 kilometres, so some taxpayers, depending on their marginal rate of income tax, may have a refund that exceeds the excise tax. This certainly weakens incentives for using environmentally friendly transport modes. The latter is to a small degree offset by the tax exemption of employer financed commuting with public transportation. Furthermore, personal income taxes are incurred on company cars by imputing at least 5 000 km per year to private use. The income equivalent per kilometre is dependent on the engine power of the car, which could not only be seen as an implicit progressivity, but also satisfying some environmental differentiation.

Public transport is to a large extent exempted from taxes on energy,[123] reducing incentives for environmentally friendly optimisation of public transport. Public rail transport operated by the central government pay no taxes on energy, while public bus transport operated by regional governments is subjected to excise duty, but is reimbursed BF 2 per litre of diesel. In both cases, the environmental costs of operating public transportation are at most only partially reflected in the private costs facing the operators. This is of a particular concern on low-density routes and outside rush hours as public transportation only emits less CO_2 per passenger at relative high occupancy rates.[124] An affirmative action program for public transport (as described in the following paragraphs) does not exclude an enforcement of choices in transport modes that minimise the emissions given a certain volume of transport services.

Congestion in Brussels

Brussels City suffers particularly from urban congestion and pollution and faces difficulties in dealing with them, difficulties that may be accentuated by the

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structure of government. A lot of traffic in Brussels city is due to the increasing number of commuters travelling in from the surrounding areas (mostly in Flanders), many of whom have migrated outwards from more central locations in search of (among other things) a cleaner and quieter environment. The Brussels-capital authorities have developed a "mobility plan" which incorporates a wide range of aims and projects for achieving them (Flanders and Wallonia also have mobility plans, but there is no national one, although it is intended to introduce one in 2002). One strategy incorporated in the plan to encourage a move towards mass transit for commuters is to improve the railway system. The intention is to develop a regional express commuting network,[125] largely by improving existing lines. Another possibility, under consideration but not included in the plan, is to use road pricing.

As far as the railway system is concerned, even if there are overall gains from improvements, which will probably require both investment and operating subsidies,[126] the structure of government may make it difficult for those who have to pay the subsidies to capture the benefits, even indirectly; furthermore, significant success in improving access to Brussels by train may further encourage the movement of population out of Brussels, accentuating the problem. Urban planning policy could also contribute, encouraging new building in the Brussels hinterland to be directed towards areas that already have good rail access, so as to reduce the proportion of people commuting by car. Such policies can at best act very slowly, and thus need to be maintained consistently over a long period of time. Removing the ability of commuters to deduct BF 6 per kilometre travelled to work against their income tax would also remove an incentive to commute longer distances and might also reduce prices of more remote land reflecting its deteriorated location after increased commuting costs are taken into account.

Important parts of the Brussels hinterland are not simply outside the city, but are in Flanders, outside the Brussels-capital region. Transfers of local taxation between two different regions would be difficult to agree and implement, and co-ordination of planning policy (which is a regional not a national competence) might also be difficult.

Such governance problems should not prejudice the utilisation of road pricing in Brussels, which might be a means of limiting commuting from outside Brussels. An idea currently under consideration is limiting access to the area inside the ring-road, which can be conveniently restricted because of the limited number of access points. Very few such schemes operate in OECD countries; Oslo and Bergen in Norway are examples (OECD 1999*b*, p. 112), which seem to be more used for raising funds for infrastructure than for reducing congestion or pollution. Advances in technology should mean that more ambitious models such as charging for road use directly rather than just for access could be implemented in the near future. One of the reasons delaying a decision on what kind of scheme to implement

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appears to be that technology is advancing so rapidly that there is a fear of choosing a system that will become obsolete very quickly.

A scheme to reduce road access to Brussels, or to charge for road use within Brussels, would certainly face opposition from existing commuters and residents.[127] Reducing road use by limiting inside-ring-road access for commuters would probably be easier to implement than more precise road pricing, both politically and technologically; but congestion and air pollution might not diminish by as much as expected – road use by residents would increase to fill some of the gap left by excluded "outsiders". For a restricted access scheme, the level of charges might ideally be equal to the estimated cost of the expected amount of pollution and congestion that would be generated by the marginal car journey, and could thus be a function of the time of travel, for example (as it is in Oslo and Bergen in Norway). However, it could be argued that some of these costs are already accounted for in fuel taxation – there would be no clear-cut "correct" level for such a charge. Traffic modelling[128] and careful cost-benefit analysis – probably including an assessment of who benefits and who incurs the costs – will be necessary in designing any system.[129]

Environmental taxes – "ecotaxes"

Belgium is cautiously adopting a shift from a regulatory administrative bias of environmental instruments towards more application or at least discussion of economic instruments, particularly taxes on environmentally damaging consumption or production activities. A more comprehensive description of environmental policy instruments in Belgium in general and Flanders in particular has been provided by Deketelaere (1999). The following paragraphs describe the use of "ecotaxes" together with some selective features of the state of application of more direct economic instruments in Belgium.

Belgium has taxes on a small number of specific products – batteries, disposable containers, disposable razors (introduced but subsequently withdrawn), disposable cameras – that were imposed with environmental goals in mind. They were part of the 1993 "ecotax" legislation. Since this legislation was part of a package of measures agreed upon in order to secure consent to major constitutional changes by a number of political parties, they were not well designed, suffering from a number of defects, most of which are recognised by the federal authorities. A commission was established almost immediately to redesign the taxes, some but not all of which have subsequently been implemented.[130]

A striking aspect of two of the ecotaxes – those on batteries and on disposable cameras – is that they resemble command and control as much as an economic instrument approach. Rather than assessing the external cost imposed by the use (and disposal) of, say, a battery, and imposing a tax related to that cost, the taxes were set at levels thought sufficient to induce very big changes in behaviour. In

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parallel, arrangements were introduced whereby producers or distributors are exempted from the tax, provided they provide facilities for collecting and recycling the product.

These high tax rates[131] have had beneficial effects for the environment, with use of the taxed goods declining substantially. The tax on disposable razors was so "successful" that sales fell to zero, which is certainly not justified in terms of avoided environmental damage. While certain products are being taxed as if they are highly dangerous, many other products are not taxed at all. The pesticide tax, another tax introduced under the ecotax legislation, has a more rational structure, with different kinds of pesticide being taxed according to the "active ingredient" content; by contrast, the exemption of the major user of pesticides, agriculture, seems irrational from an environmental point of view.[132] The taxes on paper and packaging, which are by weight or by volume, with few exemptions, make more sense although, as with the other ecotaxes, it is not clear whether there is a relation between the environment cost and the tax rate.

This approach departs from the theoretical ideal – in which all activities and sectors face the same incentives to reduce particular types of pollution, with that incentive equal to the marginal social cost of the pollution in question. With such a departure, high abatement costs are incurred in some areas and none in others, so that it is possible for overall welfare to be reduced, despite environmental gains.[133] In practice, keeping close to the ideal is difficult, for lack of information as well as for practical reasons such as the lack of a suitable tax base, or the difficulty of enforcing ecotaxes also on imported goods, whose technical specification and environmental sensitivity could not be monitored in the same way as for domestically produced goods.

Revenues from the ecotaxes are low – in fact they are thought to be lower than the costs of collecting them (net revenue from ecotaxes are to be passed to the regional governments, even though they are federal taxes).[134] This is not in itself evidence that they are particularly inefficient – since their purpose is to induce reuse or recycling which attracts exemptions from the taxes. The taxes should be evaluated according to whether the resulting environmental benefits justify the costs incurred in setting up and running the schemes and any losses in consumer surplus from induced changes in consumption patterns. While tax collection costs are part of this, their size in relation to tax revenues are irrelevant concerning the intentions of an eco-tax, unlike in the case of taxes whose main purpose is to raise revenue. A revision of the ecotaxes, possibly including an extension of their scope, is intended for 2001.

Policy formation: plans for sustainable development

As mentioned earlier, all three regions and the federal government have plans for promoting the environment and sustainable development. The federal

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Box 6. The Federal Plan for Sustainable Development

Following public consultations on a draft issued in the Spring, the federal government's Plan for 2000-04 was approved by the Council of Ministers in late July (and published in October 2000). For the most part it is an announcement of intentions and objectives – although more than 600 specific actions are suggested – in a variety of areas.* Some of them require consultation and co-ordination with the regional governments.

The Plan presents a wide-ranging and often ambitious set of targets, placing much emphasis on programmes to raise public awareness of all the problems covered. This should indeed help to develop the public support necessary to succeed in agreeing and implementing effective policies.

The Plan argues for the need to internalise the environmental costs of polluting activities, particularly in the context of transport, but does not make a specific commitment to extend the use of taxation, or the use of tradable emission permits, with the exception of the intention to introduce an energy and CO_2 tax, preferably under a European-wide policy, which is intended to be launched under the Belgian presidency of the EU in the second half of 2001; but in the absence of agreement on a European tax, the possibilities for unilateral action will be investigated. The possibility of exceptions or exemptions for heavy energy users and the protection of vulnerable social groups are strongly emphasised.

The importance of economic incentives is nevertheless clearly recognised in the Plan, and in many areas policy appears likely to proceed through subsidising cleaner modes of production, rather than taxing polluting activities. Thus, a target for production of renewable energy** is likely to be promoted by subsidy and by imposition of quotas, though the possibility of using a system of tradable green certificates seems to be foreseen in parallel. Action to use economic instruments in another area covered in this *Survey*, the problem of water pollution by agriculture, particularly intensive animal husbandry, is not mentioned in the federal plan, since it is a regional competency.

* The list of main chapter headings covering the objectives of the Plan is as follows: *Actions modes de consommation – production* (changing consumption and production patters); *actions pauvreté et exclusion sociale – surendettement – santé environnementale* (action on poverty and social exclusion – over-indebtedness – environmental health); *actions agriculture – milieu marin – diversité biologique* (agriculture – the marine environment – biodiversity); *actions énergie – transports – ozone et changements climatiques* (action on energy – transport – ozone and climate change).

** It is intended to reach agreement with the Regions, by the end of 2001, on promoting a target that 2 per cent of total energy consumption be from renewable sources by 2010; by 2004, 3 per cent of electricity should be from such sources.

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plan, which follows the regional ones, has developed in an interesting way. A first plan was approved in July 2000, following a first federal report on existing sustainable development policies published in 1999. Subsequently, the government is required to report on progress in meeting the targets every year; a revised plan is to be produced every four years. The plan (Box 6) itself will have the status of a government programme rather than a law, *i.e.* a new government will not be required to follow the plan of the previous one; however, it will be required, unless the 1997 law is modified, to formulate and follow its own sustainable development plan in the same fashion.

A draft plan[135] was drawn up by the federal planning office and published in early 2000 for public consultation and comment, after which it was revised in the light of the comments and interministerial discussions and agreed by the cabinet in July. Also instituted by the 1997 law was a Council for Sustainable Development, consisting of representatives from the social partners and academia, and an Interdepartmental Commission for Sustainable Development. While the former is to function as a watchdog on policy development and implementation, the latter defines the policy areas which the sustainable development plan should cover and was responsible for the final version of the draft plan.

The published plan,[136] drawing its inspiration from the Brundtland Report and the Agenda 21 Report from the 1992 Rio de Janeiro conference, has a very broad coverage, from poverty and social exclusion (both domestically and abroad) to the environment. But, as far as the environment is concerned, its coverage is only partial, reflecting the fact that many areas of environmental policy are the responsibility of the regions, not the federal government. It thus deals with air pollution and energy, for example, but not water pollution or waste disposal. Furthermore, it is mainly devoted to general concepts and arguments, and discussing aims in qualitative terms, rather than making quantitative assessments of priorities and targets. In some cases, specific quantitative targets are given, for example for reductions in overall energy use; although this might be the eventual outcome of policies to reduce GHG and other emissions, it would be a mistake to make it the central plank of policy, which should be focused on the relevant emissions themselves not on energy use – thus, an efficient instrument for reducing energy use would be an undifferentiated energy tax, whereas what is needed is a set of taxes whose effect is precisely to tax different kinds of energy at *different* rates reflecting their contribution to pollution – an undifferentiated tax, led by an inappropriately expressed target, would be a costly way to meet the targets of the protocols.[137]

The short-run usefulness of the sustainable development plan, as far as environmental issues taken on their own are concerned, can be questioned. Although co-ordination is important in principle to ensure that different sectoral policies, for instance, do not give contradictory incentives, many environmental policies in Belgium at the moment are motivated by implementing European

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directives where such co-ordination may be largely irrelevant. Of greater value may be the institutionalisation of a process whereby plans and intentions are regularly confronted with outcomes: one suggestion is that, following the production of the yearly reports on progress, ministers should each be required to issue a statement justifying any shortfall in outcomes compared with targets. Depending on the format of such a statement, it might be a way of aligning ministerial incentives better with environmental aims.

Another way of giving incentives to make progress in environmental policy might be a greater use of cost-benefit analysis. Although sometimes perceived as a way of avoiding action on environmental issues, valuing the benefits and costs of action could help to align incentives better. One problem is the difficulty of valuing many of the targets of environmental policy, notably concerning "existence" and "option" values of certain resources, and the value of human lives. However, there is a rapidly growing literature, with sign of convergence of views on appropriate procedures in many areas. Of course, disagreements and uncertainties will persist, especially in a subject in which a lot depends in quantifying subjective valuations. Nevertheless, the example mentioned earlier on petrol versus diesel emissions in motor cars (where the value of lives lost or damaged through pollution or accidents is a major part of the cost-benefit analysis) shows that, even where there is uncertainty on valuation it is pretty clear that the tax on diesel is out of line with that on petrol as far as environmental consequences are concerned. This remains true even if there is room for argument about at what level the taxes should actually be.[138] Similarly, even if it may be difficult to agree on the value of a human life, assessing the cost per life saved under different legislation (*e.g.* health and safety, air pollution) can throw interesting light on the balance of resource use.[139]

Although it has yet to be employed systematically in any of the Belgian ministries of environment, an increasing amount of environmental cost-benefit analysis is carried out in Belgium, much of which is associated with an EU programme. The analysis of transport externalities discussed above is based on data developed under this programme. Reports of the Social-Economic Council of Flanders increasingly make use of cost-benefit analysis, more than in other regions.

Conclusions and recommendations

Two of the most important goals of Belgian environmental policy are inevitably to catch up with EC directives, particularly in the area of water treatment, and fulfilling the international commitments concerning the reduction of greenhouse gas emissions. In both cases, incentives for environmentally compatible behaviour of consumers and producers have to be enforced, preferably through economic instruments. Current environmental problems are related to economic activities, which do not take sufficient account of negative externalities. Changing this will inevitably demand a different behavioural pattern of households and

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firms, which will also necessarily demand either higher costs or increased productivity, but should be rewarded by additional welfare. This should become clear from the examples described in this chapter and summarised below.

As concerns Brussels sewage, domestic processes produced slow progress and prompted EU pressure, which culminated in recent European Court judgements against the Belgian authorities. Downstream residents have been suffering uncompensated for many years, with no effective legal recourse. The bathing water in Wallonia raises issues of a similar character. Either bathing in the water is a genuine health risk. In this case it would seem that the *bourgmestres* are systematically failing in their duty, and they ought to be open to legal action so that they in turn have an incentive either to build the treatment plants or take action against polluters. Or the water standards are too strict in the sense that (local) bathers are willing to run much larger risks than the (EC Directive) standards assume. In this case one should consider providing the local population, administration and policy makers with better information about the motivation of these particular standards. Development of processes for using the legal system to sue for damages, and for non-interested parties to take public authorities to court for failing in their duties, might help under such circumstances to establish where the truth lies in both of these cases. Careful provision for ruling out capricious use of the courts might need to be included. Some changes in the legal system have been made: a change in the liability regime in Flanders provides for strict liability in the case of soil contamination, replacing the no-fault approach in federal law; a 1993 federal law allows non-governmental organisations to take action against government for non-enforcement of regulations. Without increasing pressure from this direction, it is likely that Belgium will always lag in implementation of EU regulations.

In the case of water supply, the Flemish approach to pricing appears quite efficient. It combines a high marginal price, giving an incentive to economise, with a very low or zero price for initial quantities thus satisfying the notion of a "right" to a minimum quantity of water, and may be one that could usefully be adopted by other countries where opposition to the idea of paying for basic water rights is strong. Although its distributional properties may not be entirely fair, it seems better than many alternatives, provided that administrative costs of preventing fraud can be kept low. Wallonia is planning a similar approach, while Brussels has opted for a uniform volumetric charge with a social fund for those having difficulty paying their water bills.

As far as traffic problems are concerned, it may be that the room for manoeuvre is not too large for fuel tax as far as congestion and pollution is concerned. However, it is clear that environmental considerations alone strongly imply that a re-balancing of the tax on petrol versus that on diesel is needed, and with taxes in Belgium if anything somewhat lower than in neighbouring countries (other than Luxembourg) there is in fact room for some increase, if environmental

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considerations require it. Not much is likely to happen on road use unless the cost goes up: for example, the development of the regional rail (RER) system for Brussels – a carrot to induce people to use mass transit – will be less effective in reducing road congestion unless a stick – such as road or access pricing combined with taxation of inner city parking – is also provided. And this would need to be linked to other long-term policies such as development planning.

Kyoto and Göteborg represent two important international commitments for which little in the way of concrete planning seems to have been done. While not having a plan may be no worse than implementing a bad plan, measures at some point will have to be taken. The federal structure is a potential problem – will the national reduction targets all apply directly to each region, or will there be an internal burden sharing agreement? The regions deny that there will be a conflict, but this may change when concrete measures are developed; the best approach, certainly for CO_2, NO_x and SO_x, would be for national taxation or cap-and-trade systems to be developed quickly. Regional differences in abatement may then emerge endogenously – and possibly compensation schemes be set up in response – without having arguments about them in advance slowing Belgian response and risking that it lags behind in implementation.

In so far as competitiveness problems make implementation politically difficult, Belgium could consider implementing a temporarily differentiated CO_2 tax, similar to the Danish CO_2 tax, where low polluting (and typically domestically-orientated) sectors are faced with a higher CO_2 tax rate than high polluting (and more export-orientated) sectors. Such a design is not optimal, but introduces a moderately coherent incentive system which can be corrected and adjusted gradually in line with tax developments in the EU to eventually impose one uniform CO_2 tax rate across the economy, thereby moving towards equalising abatement costs across different types of economic activities. The theoretically more appealing approach with infra-marginal tax rebates or trading permissions and high allocations for high polluters, demands a large degree of "give and take" actions, which may put the typically consensual Belgian administration under too much stress. Keeping in mind the additional complication concerning co-ordination across regions and social partners, such a "third-best-policy" measure might be advisable, if more efficient measures are simply not achievable.

The sustainable development plans, both regional and federal, have absorbed considerable intellectual resources and generated much public discussion. A successful outcome of this long process and the voluminous documentation generated by it would be the development of better focused targets and policies, a clearer view of costs and benefits (taking advantage of work being done in various Belgian institutions at the moment), and of the links and trade-offs between action in different areas, and mechanisms for systematic comparison of results with plans. As far as the federal plan is concerned it is too early to judge, but the draft

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plan is stronger on concepts and general arguments than on specific policies or targets, and some of the specific targets it does contain do not seem based on complete analysis. The role of public consultation and comment is in part to correct this.

The Environmental Performance Review for Belgium referred (in the case of chemicals) to "the burdensome procedure for consultation among various competent ministries and authorities, which strains Belgium's administrative framework". (OECD 1998*b*, p. 177). Delays in complying with EU water directives may also be linked to such blockages accentuated by the delicate balances of the federal structure. The authorities believe that these were largely symptoms of a period, during the 1990s, of adjustment to the new and unfamiliar constitutional arrangements. It is hard to see any structure other than the current set of inter-regional and inter-ministerial committees giving any better co-ordination between the regions and federal government; some slowness in decision-making (particularly when involving more than one ministry, often the case in environmental issues), relative to a unitary state is inevitable. All the more reason, therefore, to ensure that internal regional procedures are as streamlined as possible. However, some inter-regional problems could actually be improved if market solutions to these problems were adopted within an appropriate institutional framework. Economic instruments to achieve environmental goals are no substitute for administrative framework regulations, but in general improve their enforcement and implementation. Although economic instruments may seem to be associated with higher visible and perceived costs, the long run gain in welfare should outweigh the structural adjustment burden occurring in the short run. The outlook for a competitive and strong Belgian economy to become environmentally more sustainable will improve, if the envisaged economic instruments are also implemented and enforced in the near future.

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Notes

1. However, given their strong import content, the impact on real GDP of a change in exports and in stocks is partly offset by the related change in imports.
2. The sharp variations in this item are largely explained by the cycle in investment of local governments which tends to coincide with the six-year electoral cycle.
3. Year-on-year.
4. In fact, the upward trend started already in the middle of 1994.
5. These percentages refer to the situation on 30 June 1998, the latest date for which the administrative series on employment of the Federal Ministry of Employment and Labour are available.
6. National Bank of Belgium, *Report* 1999, p. 50.
7. "Team work" ("*travail en équipes*") is defined by the *Ministère fédéral de l'Emploi et du Travail* as working in two or more teams. *Ministère fédéral de l'Emploi et du Travail*, *La politique fédérale de l'emploi*, 1999, p. 190.
8. The corresponding labour force is the normal labour force plus "other benefit recipients not seeking a job".
9. The sizeable number of "other benefit recipient not seeking a job" largely explain that Belgium's unemployment rate is in line with the EU average while its employment rate is well below that of the other EU countries on average (see Table 1).
10. Hence, on the basis of this indicator, the international competitive position of Belgium has deteriorated somewhat, although *vis-à-vis* countries outside the euro area, this change in relative prices has been largely offset by the depreciation of the euro. Moreover, as discussed below, the price performance of Belgium is projected to improve in 2001 and 2002.
11. The expansion (or a business cycle upswing) is defined as a period (in years) of real GDP growth above potential growth (as estimated by the OECD Secretariat).
12. These projections are the same as those presented in the OECD *Economic Outlook*, *No*. 68, December 2000. They were finalised in early November 2000.
13. The trade balance surplus is projected to rise to US$11 billion, and the current account surplus may reach 6 per cent of GDP in 2002.
14. National Bank of Belgium, *op cit*., p. 118.
15. The Belgian and EU definition of "primary surplus" is slightly different form the one used by the OECD Secretariat in that, while it does exclude interest paid, it does not exclude interest and other revenues received, with the result that the primary surplus thus calculated is normally bigger than when calculated by the OECD Secretariat.
16. On the basis of national data and definitions.

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17. The proceeds were used, with the consent of the European Monetary Institute to reduce foreign currency denominated government debt.
18. Ministère fédéral de l'Emploi et du Travail, "La population active en Belgique, 1. le pays : situation au 30 juin 1998", Table R.2.1, p. 78.
19. OECD (1998*a*), "*Harmful Tax Competition: An Emerging Global Issue*". This report was approved by the OECD Council, with abstentions from Luxembourg and Switzerland on 9 April 1998. See also OECD (2000*a*), "*Towards Global Tax co-operation: Progress in Identifying and Eliminating Harmful Tax Practices*". This report was approved by the OECD Council on 16 June 2000.
20. OECD (2000*b*), *Financial Market Trend*, No. 77, October 2000, p. 62.
21. OECD (2000*b*), *op. cit.*, p. 63.
22. This norm had already been formally adopted by the Belgian authorities in early 1998.
23. Reflecting more favourable macroeconomic conditions than assumed in the 1998 Budget, the general government deficit fell to 1 per cent of GDP in 1998 – the target set by the stability programme for 2000. The primary surplus (national definition) reached 6.6 per cent of GDP boosted by higher than expected revenues from taxes and social security contribution as well as by better than expect results for the communities and regions. The change over to ESA 95 (the new methodology for the national accounts) entailed several significant changes for the general government account, but the net impact in 1998 was only slightly negative. However, since the first stability programme was based on ESA 79, the results of the 1998 Budget (based on ESA 95) are not strictly comparable with the targets set out in the first stability programme.
24. The dioxin crisis is now estimated to have reduced economic growth by ¼ of a per cent and to have directly affected the budget through an increase in public expenditure estimated at 0.2 per cent of GDP.
25. One reason for this is to offset the negative impact on the public debt of operations which are not included in the budget and hence to stabilise the public debt in nominal terms.
26. This negative mechanical impact was slightly accentuated by a discretionary measure taken by the government to cushion the impact of higher oil prices on expenditures for heating oil of low-income persons. This measure, which was introduced on 25 September 2000, concerns deliveries of fuel from 1 July to 31 December 2000. Its cost is estimated at BF 2 billion (*i.e.* around 0.02 per cent of GDP), but the government expects oil companies to contribute BF 1 billion to this cost.
27. This document included the 2001 Budget and the third stability programme to be submitted to the European Commission by the end of the year.
28. After 2001, the government will decide every year on the amount to be deposited in this Fund.
29. Moreover, inflation is assumed to be 1.6 per cent in 2001 and 1.5 per cent in the following years. Interest rates are assumed to increase moderately as currently indicated by forward rates – with short-term rates rising from 5.3 per cent at end-2000 to 5.9 per cent at end-2005, and long-term rates rising from 5.7 to 6.2 per cent. Primary expenditure of Entity I is assumed to increase by 1.5 per cent a year in real terms (using the GDP deflator), which entails a reduction in public-sector employment. This "prudent scenario" is based on unchanged policies, but the effects of all multi-annual measures already decided by the government before the 2001 Budget have been included, notably the effects of the re-indexation of tax brackets and the progressive phasing-out of the 3 per cent tax surcharge.

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30. The expected improvement of public finance over the next few years reflects essentially two factors: first, the progressive decline in the debt-to-GDP ratio entails an increasingly faster reduction of interest charges as a proportion of GDP, the so-called "inverse snowball effect"; and second, with unchanged policies, while receipts tend to increase in line with economic activity, expenditures normally grow at a slower pace, resulting in a widening primary surplus.
31. Since these measures will continue to affect the budget in coming years, the future margins will be somewhat smaller than those projected in Table 7 on the basis of unchanged policies in 2001.
32. Within the Entity I, the federal government is expected to show a deficit of 0.4 per cent of GDP and the social security a surplus of 0.2 per cent of GDP. Within the Entity II, regions and communities show a surplus of 0.3 per cent of GDP, and local governments a surplus of 0.2 per cent of GDP.
33. These taxes include: *taxe de mise en circulation*, E*urovignette*, and mortgage fees.
34. "Opening clauses", allow firms, under certain circumstances, to negotiate with their workforce to pay below the minimum sectoral wage.
35. The employment rate is the number of employed persons as a share of the working age population (persons 16 to 64).
36. If the employment rate is expressed in full-time equivalents, rather than in persons, Belgium's ranking remains one of the lowest in the European Union.
37. However, according to the C*onseil supérieur de l'emploi*, most Flemish provinces have a relatively low unemployment rate, while most Walloon provinces have a very high unemployment rate – C*onseil supérieur de l'emploi*, R*apport* 2000, pp. I-41.
38. Unemploymed persons seeking a job as a percentage of the labour foce (*demandeurs d'emploi inoccupés par rapport à la population active*).
39. C*onseil supérieur de l'emploi*, *op. cit.*, pp. I-40.
40. The average annual decline in employment in the industrial sector between 1981 to 1998 was 1.2 per cent in Flanders compared with 2.7 and 3.6 per cent in Wallonia and Brussels, respectively. Over the same period, the average annual rate of increase in employment in the services sector was 1.6 per cent compared with 0.8 and 0.2, respectively C*onseil supérieur de l'emploi*, *op. cit.*, pp. I.17.
41. B*ureau fédéral du plan*, written communication to the OECD Secretariat.
42. Married couples with two children.
43. Including employers' contributions.
44. It must be noted, however, that Figures 16 and 17 are based on the income level of the average production worker. Hence they do not reflect either the case of low-wage workers, or the impact of recent measures aimed at reducing the unemployment traps for these workers.
45. Unemployment traps are circumstances in which people are discouraged from exchanging social security benefits for work because the net financial gain is small or negative.
46. See, C*onseil supérieur de l'emploi*, A*vis n°* 4 *concernant les pièges à l'emploi*, 17 December 1998. According to this publication, single-parent families are the most affected by unemployment traps. In 1998, the transition from a status of full-time unemployed benefit recipient to a full-time job with a salary at the statutory minimum level presented little or no financial incentive for a single-parent family. To provide a financial incentive of the order of 10 to 15 per cent, most such cases required a salary of at least 130 per cent of the statu-

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tory minimum wage. Also, the transition from a status of long-term unemployed to a part-time job offered little financial incentives, except perhaps for single persons. Finally, persons on social assistance ("*minimexés*") and working a few hours had no financial incentive to increase their work-time, unless they worked nearly full time.

47. That is, employment plus benefit recipients not in employment (or "broad labour force").
48. This structural measure has replaced (or absorbed) the "Maribel" and "*bas salaires*" measures. The Maribel measure was targeted at industries exposed to international competition, and had to be abolished because it was incompatible with EC rules on competition.
49. According to calculations and estimates of the Ministry of Employment and Labour, employers' social security contributions represented 18.7 per cent of labour cost in 1997 and 18.6 in 1998, compared with 17.2 and 17.7, respectively in the three reference countries on average (written communication to the OECD Secretariat).
50. Written communication to the OECD Secretariat.
51. More precisely, these are the *salaires minimums* used in the *commissions paritaires*.
52. Some new entrants into the labour market who are less than 30 years old are allowed to start working at 90 per cent of the "normal wage" – for instance in the case of *le stage des jeunes*, *le contrat de première expérience professionnelle* and *l'emploi tremplin*. Also minimum wages are differentiated by age, *i.e.* are lower for those under 21.
53. *Commissions et sous-commissions paritaires.*
54. "*Sous-secteurs informels*"
55. The average macroeconomic impact on labour costs of solidarity measures included in the 2000 interprofessional agreement is estimated by the social partners at around 0.2 per cent.
56. According to the law, indexation and the wage drift have "priority", at least in the short-term – *i.e.* they are fully permitted even if they lead to an increase in labour costs above the limit set by the law. Any overshoot will correspondingly reduce the maximum increase in labour cost in the following years. (The indexation is on the basis of the "health index" which, as noted, excludes the price of tobacco, alcohol and most energy products.)
57. *Conseil supérieur de l'emploi*, *op .cit.*, and *Ministère fédéral de l'Emploi et du Travail*, *op. cit.*, p. 2.
58. For instance, contracts of at least three months can be renewed three times over a maximum period of two years.
59. National Bank of Belgium, *op. cit.*, p. 51.
60. "Team work" ("*travail en équipe*") is defined as working in two or more teams. *Ministère fédéral de l'Emploi et du Travail*, *op. cit.*, 1999, p. 190.
61. *Ministère fédéral de l'Emploi et du Travail*, *op. cit.*, p. 196.
62. At the beginning of 2000, employees' social security contributions were cut for the lowest salaries and, at the beginning of April, an additional cut was introduced, bringing the maximum reduction to BF 3 300 for a gross salary of BF 24 000 to BF 44 500 (which broadly corresponds to the minimum interprofessional salary). The amount of the reduction is progressively decreased for salaries ranging from BF 44 500 to BF 53 000. More than 500 000 workers are effected by this measure.
63. This programme is sometimes referred to as the "Rosetta" programme.
64. End-June figure.

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65. A government commission has been appointed to co-ordinate the administrative simplification.
66. OECD (2000*c*), "Annual Report on Competition Developments in Belgium – 1999", DAFFE/CLP(2000)6/03.
67. As regards the Competition Council, at the end of the first six-year terms of office of Council members in mid-1999, it was not possible to appoint a new Council. However, the "former" Council continued its activities, albeit on a reduced basis, handing down decisions on only two complaints and seven requests for provisional measures. A new Council was appointed in December 1999 and started its work in January 2000.
68. Shops in Belgium are legally required to be closed before 5:00 am and after 8:00 pm or 9:00 pm on Friday and working days preceding a legal public holiday. In addition there is also a mandatory weekly day of closure, which in principle is Sunday, although many exception exists. "E*conomic Reform of the Products, Services and Capital-Markets*", Belgian report for the European Union, December 1999, p. 14.
69. Despite the relatively restrictive entry conditions in the distribution sector, according to the Belgian authorities, the level of consumer prices is generally lower in Belgium than in neighbouring countries, with the exception of the price of clothes (which, however, are not a key product for major outlets). See "Economic Reform of the Products, Services and Capital Markets", Belgian report for the European Union, November 2000, p. 2.
70. The Belgian telecommunication sector includes: 3 mobile phone operators; 23 operators with a voice telephone licence; 25 operators with a licence to establish and operate a public telecommunications network.
71. For instance the German producers RWE (the fifth largest electricity producer in Europe) is already supplying nearly 3 per cent of the total Belgian consumption of electricity. This foreign penetration is currently limited by bottlenecks in the international transmission grid.
72. The EC directive on the gas market was also transposed into Belgian law in April 1999. But various measures still need to be adopted to spell out the practical details. These measures in many respects are expected to be similar to those related to the electricity market.
73. Written communication to the OECD Secretariat.
74. OECD (forthcoming), STI Working Paper DSTI/DOC(2000)7, Baygan and Frendenberg, "Venture Capital and Entrepreneurship: National and International Dimensions".
75. B*ureau fédéral du plan*, written communication to the OECD Secretariat.
76. OECD (2000*d*), STI O*utlook*.
77. Workers are taxed when they are allocated options, but there are no taxes on any gains resulting from the options. Hence, Belgium has become one of the few countries that taxes stock options when they are granted rather than when they are exercised.
78. Also, targeted measures necessarily entail a number of conditions and specifications which make their implementation significantly more complicated than across-the board measures.
79. C*onseil supérieur de l'emploi, op .cit.*, p. III.14.
80. C*onseil supérieur de l'emploi, op. cit.*, and written communication to the Secretariat.
81. Circumstances on which people are discouraged from seeking better paying jobs because the net financial gain is small or negative.
82. The introduction of a general in-work benefit scheme without a phasing-out range is one of the key features of the recent income tax reform in the Netherlands.

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83. See OECD (1998*b*).
84. Tombeur (1998), p. 34 interviewed federal and regional policymakers and reports that they are "convinced that the political investments in the institutional transformation were at the expense of new political objectives, one of them being environmental recovery, management and protection". In their view, "it took at least a decade to reach an institutionally stable organisation". OECD (1998*b*), p. 19 also reflects this view.
85. Deketelaere (1999) makes the point that a new wave of environmental awareness coincided with the completion of the constitutional reforms in 1993.
86. See OECD (1998*b*), p. 19.
87. Since policies frequently differ between regions, a complete analysis under each heading would often require discussion of three, sometimes four, sets of legislation and experience. This would be impractical in the space available, so in some cases discussion is not "balanced" but concentrates on developments in a particular region or regions. According to Deketelaere (1999) policy and policy enforcement varies between the regions.
88. A detailed description of the State structure, Division of powers and Fiscal competencies in Belgium is found in Deketelaere (1997).
89. The international aspects of agriculture policy remain a federal responsibility.
90. This issue is especially mentioned in Braden-Proost (1997), p. 1. The authors finally come to the conclusion that a federation can actually handle environmental problems better, if it is able to carry out the co-ordination and co-operation tasks among the local governments more efficiently than a sequence of bilateral negotiations (*ibid.*, p. 12). Solving environmental problems could, therefore. be considered as one of the benefits of a federation.
91. There is legal precedent for the duty of care being breached by the failure to use Best Available Technology (BAT) not entailing excessive economic costs even where the defendant complies fully with all environmental laws and regulations.
92. The Netherlands, which is also harmed by this pollution, has no grounds to sue the Brussels-Capital government as the polluted water it receives first passes through Flanders. Were the Dutch government to sue for the environmental damage caused by Brussels' raw sewage discharges, it would be obliged to bring its action against Flanders, from where the polluted water directly comes.
93. More information on this is available in two forthcoming OECD "Studies on National Soil Surface Nitrogen Balances: Preliminary Estimates 1985-1997" and "Environmental Indicators for Agriculture Volume 3: Methods and Results".
94. OECD (1998*b*) notes that the Senne in Brussels had to be entirely covered already in the early part of the 20th century.
95. Directive 271 from 1991, requiring a certain type of sewage treatment works for all towns with population over 10 000 in sensitive areas (*i.e.* areas with particularly poor surface water quality). This requirement was to be met by the end of 1998. Brussels is not the only region in violation of this directive, both Flanders and Wallonia have large numbers of such towns without suitable water treatment.
96. The river Senne is also somewhat polluted, from Flanders region, before it enters Brussels.
97. Under the formula, $^5/_6$ of the cost is shared on the basis of population and $^1/_6$ on the basis of land surface looks. Cost-sharing using these two parameters is the basis for a

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number of international agreements affecting, for example, the waters of the river Meuse (between the governments of the Netherlands, Flanders, Wallonia and France).

98. This is also reflected in a similarly unfavourable agricultural nitrogen balance in Belgium and the Netherlands. See OECD (2000*e*), p. 134.

99. Many other regulations affect livestock farming, including some that can affect the quantity of nutrient discharges for any given quantity of manure, for example those relating to the manner in which manure is stored.

100. Since the fine is set at EURO 1 per kilogram of nutrient, and the average annual production of manure per pig (sow) contains some 50 kg of nutrient, this represents fines on the equivalent of 20 000 animals, about one-third of 1 per cent of the total Belgian pig population.

101. The implementation of the new action plan to limit the output of manure from cows also had to be postponed by one year until beginning of 201 because of delayed legislation and publication of individual quotas. Farmers protested, because immediate implementation of quotas would have forced them the slaughter parts of their livestock.

102. A few examples for trading nutrient pollution rights are described in Kraemer-Banholzer (1999), p. 94. See Hansen (1999) for a discussion of how an efficient nutrient tax could be applied.

103. The directive specifies frequencies with which concentrations of specific pollutants in water samples may exceed certain levels. The directive was supposed to be incorporated into national law by the end of 1977.

104. See Centre d'études et de formation en écologie (1998), pp. 47-48.

105. A similar result emerged in respect of Brussels sewage treatment.

106. The 1991 directive requires primary treatment of sewage from all settlements of 2000 or more inhabitants. First, many settlements in Wallonie currently discharging untreated sewage directly into rivers come below this threshold and, secondly, tertiary level treatment is required to deal entirely with the bacteria that are the subject of the bathing water directive, although primary and secondary level treatment do make a contribution.

107. Private water companies supply water in Flanders, as well as in Belgium as a whole.

108. See OECD (1998*b*), p. 60 for more details. The Göteborg Protocol has superseded a number of these objectives: Reduction targets for 2010, compared with 1990 are the following: SO_2, 72 per cent; NO_x, 47 per cent; NH_3, 31 per cent; VOC, 56 per cent; the Kyoto greenhouse gas target (principally covering CO_2, methane and N_2O is for a 7.5 per cent reduction over the 1990 level by 2008-12.

109. Greenhouse gas (GHG) emissions from agriculture have been rising in Belgium against the trend in other OECD countries and now occupy about 10 per cent of total Belgian gross GHG emissions.

110. And missing an earlier CO_2 target of a reduction of 5 per cent between 1990 and 2000.

111. The BAT approach consists of assessing what is thought to be the best technique for reducing a particular kind of emission in a given production process, calculated in terms of emissions per unit of output. Regulations then set this rate of emission as the standard, but leave the producer to choose what techniques actually to employ. This gives producers incentives to develop new techniques for meeting the standards, but potentially leaves different activities paying very different implicit costs for reducing emissions of particular pollutants.

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112. The tax rate on heavy fuel with sulphur content below 1 per cent is BF 250 per ton, while the rate for heavy oil with sulphur content above 1 per cent is BF 750 per ton.

113. This is particularly true for heating oil of various grades.

114. In the case of petrol, Belgium applies tax levels, which are below the levels of its neighbours with the exception of Luxembourg, but considerably higher than in South European EU member states.

115. Before the recent oil price rises, the estimate was BF 1 800.

116. See OECD (2000*b*). This report criticised the extent to which the Danish system was distorted (from the environmental point of view) for "competitiveness" reasons and argued that there were more efficient ways to deal with some of the competitiveness fears. Nevertheless, the Danish model does provide definite incentives to reduce emissions.

117. Some industry groups feel that the Belgian negotiators did not argue strongly enough for easier targets.

118. A decision has been made to phase out nuclear power stations, which currently provide around 60 per cent of Belgium's electricity and about 20 per cent of total energy supply. Replacing this with gas-generated electricity would increase national CO2 emissions by as much as 20 per cent. However, the phase-out, based on allowing a 40-year operating life, will occur between 2015 and 2025, a period for which negotiations over emission allowances are unlikely to begin for some time.

119. United Nations Framework Conventions on Climate Change (2000), Report on the in-depth review of the first and second national communications of Belgium, UNFCCC.

120. However, as the level of "gasoline-tourism is a function of the distance travelled and the fuel price differential a certain spread between Belgian prices and those of other countries can still be maintained without loss in tax revenues. This spread is estimated to be around a couple of Belgian francs. In comparison, Belgian fuel prices tend to be below those of other countries, so the existing room for manoeuvre is not at present being exploited.

121. Due largely to particles and NO_x emissions themselves are somewhat greater in congested conditions, but the cost of any given quantity of emissions is also much higher in urban areas because of the higher population density.

122. There is therefore also no reason why taxes on diesel should be reduced to compensate overall crude oil price increases, as has been demanded in the course of truck drivers and operators protests.

123. Agriculture is also fully exempted from fuel taxes.

124. The social cost of providing public transportation is only to a small degree revealed in the direct cost of using public transportation as revenue from ticket sale only cover about one-third of total costs.

125. Referred to as the RER (*réseau express régional*), similar in inspiration to the system with the same name serving Paris and its suburbs.

126. It is intended mainly to use and upgrade existing lines and stations, with a small amount of new construction.

127. Restricting access would clearly favour residents, whereas both commuters and residents would in principle face the same prices under a road-pricing scheme.

128. Van Calthorp *et al.* (2000) use simulations of an urban transport model to argue for a combination of taxing car parking opportunities (in the inner cities) and access to the

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inner city area. Their results suggest that both measures have to be considered together and that road pricing might not deliver large additional welfare gains, once free parking opportunities in inner cities have been eliminated.

129. Calthrop-Proost (1998) argue that the role of government is crucial not only in terms of being able to compensate the externalities of urban traffic but also in terms of marketing the public support for an optimal institutional road pricing design.

130. Some could not be implemented at all in the form legislated: a tax on paper was intended to be a function of the proportion of recycled paper contained in the product: there is no known way to measure this in the final product. Those implemented so far are on batteries, single-use cameras and some industrial packaging items. A tax on disposable razors was introduced but later removed.

131. The tax on batteries is at a flat rate of BF 20 (about EURO 0.5) per battery, regardless of its size. This amounts to as much as 50 per cent on small batteries. On single-use cameras (and razors) the tax rate is (was) as much as 100 per cent.

132. This is irrationality shared with a number of other taxes (notably those on fuels, where agriculture, air and sea transport is exempted) and a large number of other countries. Information on environmental taxes and charges, rates and exemptions, for OECD countries can be found in a new database on environmental taxes: *www.oecd.org/env/policies/taxes/index.htm*

133. This seems to have been the case for the tax on disposable razors mentioned earlier. After sales fell to zero, the tax was removed. The follow-up commission on ecotaxes could not find a significant difference between the environmental damage of the taxed razor and other razors. Presumably it was felt that the value of these products exceeded their environmental cost after all, despite their apparent wastefulness.

134. Under the constitution, only the federal government has the power to impose product taxes. The regions can impose taxes on pollution.

135. "A*vant-projet de* P*lan fédérale pour un développement durable*, 2000-2003."

136. "P*lan fédéral de développement durable*, 2000-2004".

137. It seems, in the case of the Kyoto Protocol, that the draft plan has adopted the "Assigned Amount" (as adjusted under the EU burden-sharing scheme) as the domestic target for GHG emissions, implying that Belgium would not undertake any net trade in emission allowances. In fact, Belgium probably has relatively high abatement costs and should, therefore, expect to emit somewhat more than its assigned amount, making up the difference by purchasing permits from other countries. At least this is true for CO2 emissions; Belgium probably has relatively high emissions of nitrous oxide and methane, which could be reduced at relatively low cost. See J.-M. Burniaux (2000), "A multi-gas assessment of the Kyoto Protocol", ECO/CPE/WP1(2000)17.

138. There seems to be a common view that diesel fuel should be taxed less because diesel engines are more economical. This does not make sense, except perhaps to the extent that environmental damage is a function of distance travelled rather than fuel consumed. This is true for accidents, but not for pollution costs. A plan in 1996 to increase the tax on diesel fuel was shelved through lack of agreement with neighbouring countries. An additional tax on diesel cars was introduced instead.

139. See, for example, OECD (1992), pp. 150-151, reporting analysis showing that some safety programmes cost tens of millions of dollars per life saved, whereas others cost only hundreds or thousands. See OECD (2000*h*) for further discussion of this.

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List of acronyms

BAT	Best Available Technique
BELFOX	Belgian Futures and Options Exchange
CCPIE	Co-ordination Committee for International Environmental Policy
CHP	Combined Heating and Power
CIE	Inter-ministerial Conference on the Environment
CO_2	Carbon dioxide
CPI	Consumer Price Index
CPTE	*Société pour la Coordination de la production et du transport de l'énergie*
EC	European Community
ECB	European Central Bank
EMU	Economic and Monetary Union
ESA	European Space Agency
EU	European Union
FOREM	Regional Placement Service (Wallonia)
GHG	Greenhouse gas
IRCEL/CELINE	Inter-regional Cell for the Environment
kWh	Kilowatt hour
MINA	*Milieu en Natuur* (Environment and Nature)
NAIRU	Non-accelerating Inflation Rate of Unemployment
NH_3	Ammonia
N_2O	Nitrous oxide
NO_x	Nitrogen oxides
NPRE	National Programme for Reducing CO_2 emissions
ONEM	Federal body administering unemployment benefits
ORBEM	Regional Placement Service (Brussels)
PTP	*Programme de transition professionelle*
R&D	Research and Development
RER	*Réseau express régional*
SMEs	Small and Medium-sized Enterprises
SO_2	Sulphur dioxide
SO_x	Sulphur oxides
UMTS	Universal Mobile Telecommunication System
VAT	Value Added Tax
VDAB	Regional placement service (Flanders)
VOC	Volatile Organic Compound

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Annex

Calendar of main economic events

December 1998

The trade unions and employers' organisations conclude an inter-professional agreement for the period 1999-2000, which sets the maximum nominal hourly wage increase at 5.9 per cent over the two years. They also undertake to step up workforce training.

The government presents the 1999-2002 stability programme, whereby the public deficit will be cut to 0.3 per cent in 2002. The primary surplus would remain constant at 6 per cent, the debt ratio falling from 117.5 per cent in 1998 to 106.8 per cent in 2002.

31 December 1998

The Finance Ministers of the European Union set the conversion rate between the euro and the currencies of the "in" countries. 1 euro = BF 40.3399.

January 1999

First quotation of the euro: 1 euro = US$1.18.

March 1999

As from 1 April 1999 it is decided to increase cuts in employers' social security contributions and gradually to merge the systems targeted at low wages and Maribel, which is targeted at manual workers, into a single system. Henceforth, there will be a flat-rate reduction in employers' social security contributions for all firms, with a more marked reduction in the low-wage range, the transition from one range to another being progressive.

April 1999

The European Central Bank lowers it refinancing rate to 2.5 per cent, *i.e.* 50 basis points below the level prevailing since the launch of Monetary Union on 1 January.

May 1999

Dioxin crisis. On 27 May the Ministry of Health announces the withdrawal from sale of all Belgian-produced eggs and chickens potentially contaminated by dioxin.

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July 1999

On 13 July, the new government formed in the wake of the legislative elections of 13 June 1999 takes office.

The government approves a draft bill concerning the creation of a "Federal Food Safety Agency".

August 1999

Suez-Lyonnaise des Eaux makes a public exchange offer for the entire share capital of Tractebel, 50.8 per cent of which is held by the French group. Tractebel controls 39 per cent of the electricity company Electrabel.

October 1999

The government presents its 2000 budget. It announces a series of measures reducing taxes and social insurance contributions on earned income, and in particular a marked acceleration in the process of reducing employers' social security contributions from 1 April 2000. Employers' contributions also to be reduced for low wages and various other measures to combat unemployment traps to be taken. Pending the forthcoming tax reform, personal income tax schedules are reindexed and the additional "crisis" contribution gradually abolished. VAT rates on labour-intensive repair work are cut.

On the social front, various measures are announced such as an increase in the lowest pensions and an increase (from 1.5 to 2.5 per cent) in the maximum real annual growth rate of expenditure on the heath insurance system.

Efforts to be made to modernise public administration and make it more efficient, for example, the police, justice and public transport.

November 1999

- The ECB raises its refinancing rate from 2.5 to 3 per cent.
- The government approves a draft bill introducing an agreement for first-time job-seekers, the so-called Rosetta plan. The Plan will be supplemented by a co-operation agreement with the Regions, adapting its implementation to local market conditions.
- Electrabel acquires the largest Dutch electricity generator Epon.
- The Electricity and Gas Board of Supervision announces a cut in electricity tariffs from 1 July 2000, spread over the period 2000-2002, with a view to bringing them into line with those in neighbouring countries by 2002.
- The Board of Directors of the Post launches the procedure to transform this public enterprise into a public limited liability company.

December 1999

- For the first time the euro falls below parity with the dollar.
- The take-over of *Crédit professionnel* – one of the last credit institutions still under public control – by the *Crédit mutuel du Nord* (France) is announced.
- The government adopts a new stability programme for 2000-20003, which provides that the budget will be balanced in 2002 and confirms that the primary balance will, in the medium term, be kept at around 6 per cent of GDP; on the basis of the cautious assumptions adopted, budgetary equilibrium implies a primary surplus of 6.4 per cent in 2002.

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Once the budget has been balanced, the programme provides for the constitution of a limited structural surplus. The debt ratio would fall to 101.3 per cent of GDP in 2003.

January 2000

– The Electricity and Gas Regulation Commission (CREG) starts up.

February 2000

– The ECB raise its intervention rate from 3 to 3.25 per cent.

– The Flemish and Walloon regional Ministers of Employment announce the drawing up of an agreement to facilitate interregional labour mobility by means of technical and language training.

March 2000

– Announcement of a plan to merge the Paris, Amsterdam and Brussels stock exchanges into a single entity, Euronext.

– The ECB raises its intervention rate from 3.25 to 3.5 per cent.

– The government approves a plan for modernising the selection and recruitment procedures for central government employees, and the setting up of human resource management units in the federal ministries.

– The Lisbon Summit sets out the conditions for the transition of the European Union towards a competitive, dynamic and knowledge-based economy.

– Co-operation agreement signed between the Belgian railways (SNCB) and the Post, setting up a joint subsidiary for express parcel and mail distribution.

April 2000

– The government concludes the 2000 budget audit. The overall budget deficit for 2000 is cut to 0.7 per cent of GDP, instead of 1 per cent as projected in the initial budget. It is planned that the debt ratio will fall below 100 per cent of GDP in 2003.

– The government decides to speed up the timetable for opening the electricity market to competition: customers whose consumption per site is more than 20 Gwh will be eligible from 1 July; customers consuming 10 Gwh or over will be eligible from 31 December 2002.

– The first public telephone boxes run by an operator (BT) other than Belgacom come into service.

– Agreement in principle on Swissair eventually acquiring a majority stake (85 per cent) in Sabena.

– The ECB raises its refinancing rate from 3.5 to 3.75 per cent.

– The government outlines the general principles of a reform aimed at modernising the federal administration, which provides *inter alia* for the abolition of the current set-up of ministerial department staff, the introduction of fixed terms of service for management posts, the reorganisation of control and supervisory functions, etc.

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May 2000

- Government agreement and signature of an amendment to the SNCB's management contract, providing *inter alia* for the launch of preliminary work on the construction of a regional express service around Brussels.
- Presentation of a strategic plan for the Post by its *administrateur délégué*. Under the plan, the Post would become less dependent on traditional mail and expand more into related logistics markets. Also, the Post is set to invest (on a venture capital basis) in high-growth companies in the e-commerce sector, both upstream (sales) or downstream (distribution). Lastly, the possibility of introducing part of the capital of the Post on the stock market should be considered by 2004.
- Publication by the Banking and Finance Commission of a circular for credit institutions, investment companies and investment advisers, laying down a framework for the organisation and supervision of financial services provided over the Internet, the principle being that existing rules will be applied to them.
- The government approves a raft of measures designed to improve the social status of self-employed workers and to narrow the differences between their treatment and that of dependent workers.
- France Telecom, which controls the mobile telephone operator Mobistar, buys Orange, which controls the third Belgian network in partnership with KPN. France Telecom announces that it will pull out of the KPN/Orange partnership.

June 2000

- The ECB raises its refinancing rate from 3.75 to 4.25 per cent.
- The Flemish Government adopts a draft decree whereby the government stake in the capital of the *Société régionale flamande d'investissement* (the GIMV) can be reduced from 70 to a minimum of 25 per cent.

July 2000

- The government decides that the opening up of the electricity market for customers consuming a minimum of 20 Gwh per year (42 per cent of the market) has to come into effect by 31 December at the latest.

Where the gas market is concerned, final customers consuming 25 million m^3 per year or more will be eligible as from 10 August. This corresponds in principle to a 47 per cent opening up of the Belgian market, but a minimum of 20 per cent should be achieved by 10 August.

- The government revises upwards the scope for obtaining loans from the *Fonds de participation aux créateurs d'entreprises*, particularly in the e-commerce sector.
- The government approves a draft bill aimed at establishing an overall legislative framework encouraging all workers to hold shares; this is applicable to all firms based in Belgium.
- The government outlines the main principles of a legal framework for the second pillar of pensions.

August 2000

- The ECB raises its refinancing rate from 4.25 to 4.5 per cent.

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- The government decides to offset the cost of the increase in the price of heating oil for certain low-income groups. The allowance will be paid in respect of oil bills for the period 1 July to 31 December.
- The government approves a draft bill on bankruptcies and legal settlements, the aim being, *inter alia*, to make it easier to rescue viable companies experiencing difficulties; it also approves a draft bill on company transparency.
- 23 September: Euronext is effectively launched.

October 2000

- The Lisbon stock exchange announces that it wishes to join Euronext.
- 8 October: local elections.
- The ECB raises its refinancing rate from 4.5 to 4.75 per cent.
- The government tables its 2001 budget. The general government borrowing requirement should be reduced to 0.1 per cent of GDP in 2000, while a small surplus (0.2 per cent) is likely to be posted in 2001. The budget includes a programme covering the years 2001-2005. The budget surplus should reach 0.7 per cent of GDP in 2005, with the public debt-to-GDP ratio being brought down from 110.6 per cent in 2000 to 88.7 per cent in 2005. On prudent macroeconomic assumptions, achieving these objectives will mean generating leeway so as:
  - to cope with the expenditure occasioned by population ageing. A F*onds de vieillissement* will be set up;
  - to implement a tax reform which to begin with will concern personal income tax, the aim being to ease tax pressure on labour, ensure tax neutrality *vis-à-vis* people's chosen civil status and take dependent children more fully into account. Taxation ought to be rendered more environment-friendly;
  - to step up active employment policy with the object of increasing the employment rate;
  - to make for suitable financing of the communities and regions. The communities will be refinanced so that they are able to invest more in human capital. Tax independence, and hence the financial responsibility of the entities that make up the federal state, will be strengthened;
  - to contribute to the modernisation of the social security system, coupled with additional efforts to combat poverty;
  - to continue the modernisation of public utilities and the development of an integrated transport policy.
- On 26 October the euro reaches its lowest ever level against the dollar: 0.823.

November 2000

- European Union Finance Ministers reach agreement on the taxation of saving.

December 2000

- The government approves the new 2001-2005 stability programme, which is based mainly on the programme covering several years which was presented in conjunction with the 2001 budget.
- The social partners conclude a 2001-2002 inter-professional agreement stipulating that the maximum increase in the nominal hourly cost of labour over the two years will in principle be 6.4 per cent. The most competitive sectors are, however, allowed an additional degree of flexibility, as long as the increase does not exceed 7 per cent.

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Statistical annex and structural indicators

Table A. **Selected background statistics**[1]

	Average 1990-99	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
A. Per cent changes from previous year											
Private consumption[2]	1.8	3.2	3.0	2.2	–1.0	2.0	1.0	0.7	2.1	3.3	1.9
Gross fixed capital formation[2]	2.5	8.5	–4.1	1.7	–3.1	–0.1	4.9	0.8	6.7	4.6	4.8
Public[2]	2.2	–6.9	7.4	5.3	12.3	1.3	–8.3	–7.6	6.8	1.4	10.4
Residential[2]	2.0	8.0	–8.9	4.9	1.8	5.3	5.6	–4.1	5.0	2.3	0.2
Business[2]	2.8	10.6	–3.7	0.2	–6.8	–2.4	6.8	4.0	7.3	5.9	5.7
GDP[2]	2.0	2.8	1.9	1.6	–1.5	3.0	2.6	1.2	3.4	2.4	2.7
Implicit price deflator											
GDP	2.2	3.0	2.8	3.6	3.7	1.8	1.8	1.2	1.3	1.6	1.0
Private consumption	2.0	2.8	2.6	1.9	2.7	2.5	1.7	2.2	1.6	1.0	1.2
Exports of goods and services	0.4	–1.7	–0.7	–1.1	–1.3	1.2	1.4	2.6	4.7	–0.3	–0.3
Imports of goods and services	0.4	–1.4	–0.7	–2.7	–2.8	1.8	2.3	3.1	5.3	–1.6	0.7
Industrial production	1.2	1.3	–1.8	–0.5	–4.9	1.8	6.4	0.8	4.9	3.2	1.1
Employment[3]	0.3	0.9	0.1	–0.5	–0.7	–0.4	0.7	0.3	0.8	1.2	0.9
Compensation of employees	4.3	8.4	7.4	5.1	2.4	3.6	3.0	1.5	3.9	3.8	3.6
Productivity (GDP[2]/employment)	1.7	1.9	1.8	2.1	–0.8	3.4	1.9	0.8	2.6	1.2	1.9
Unit labour costs (compensation of employees/GDP[2])	2.2	5.5	5.3	3.4	4.0	0.6	0.4	0.3	0.5	1.4	0.8
B. Percentage ratios											
Gross fixed capital formation as % of GDP[2]	20.7	21.9	20.6	20.7	20.3	19.7	20.2	20.1	20.8	21.2	21.6
Stockbuilding as % of GDP[2]	0.0	–0.3	–0.1	–0.2	–0.5	0.1	0.2	0.0	0.0	0.6	–0.1
Foreign balance as % of GDP[2]	3.6	2.6	2.9	2.6	2.6	3.5	4.1	4.3	5.1	3.7	4.3
Compensation of employees as % of GDP	52.1	52.0	53.3	53.2	53.3	52.7	52.0	51.5	51.1	51.0	50.9
Directs taxes as % of household income	21.1	20.5	19.5	19.2	20.5	20.8	21.6	21.5	22.5	22.5	22.1
Household saving as % of disposable income	16.3	15.6	17.1	18.4	18.1	17.6	17.4	16.2	14.5	14.0	14.2
Unemploymen rate[4]	8.7	6.7	6.6	7.2	8.8	10.0	9.9	9.7	9.4	9.5	9.0
C. Other indicator											
Current balance[5] (billion US$)	8.5	3.0	3.6	5.6	8.9	9.7	11.4	11.3	11.7	10.3	9.8

1. All variables including statistical discrepancies.
2. At constant 1995 prices.
3. Domestic concept of employment.
4. Standardised unemployment rate.
5. Before 1995, data refer to BLEU.

Source: National Accounts Institute; National Bank of Belgium and OECD.

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Table B **Gross domestic product**[1]

Billion francs

	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
	Current prices									
Private consumption	3 657.4	3 864.7	4 024.0	4 094.7	4 280.7	4 397.5	4 526.5	4 694.7	4 899.9	5 054.3
Public consumption	1 339.3	1 448.3	1 528.2	1 599.6	1 671.4	1 746.4	1 812.0	1 857.2	1 923.9	2 016.5
Gross fixed capital formation	1 523.3	1 487.4	1 546.1	1 523.0	1 557.5	1 642.8	1 673.8	1 801.6	1 895.6	2 009.0
Change in stocks	–49.2	–30.4	–27.4	–52.5	–33.9	17.1	–18.9	–20.0	–1.1	–14.0
Total domestic demand	6 470.9	6 770.0	7 070.9	7 164.8	7 475.7	7 803.8	7 993.5	8 333.4	8 718.2	9 065.8
Exports of goods and services	4 700.2	4 812.8	4 934.6	4 848.4	5 320.3	5 702.4	5 917.2	6 608.3	6 879.1	7 213.3
less : Imports of goods and services	4 576.1	4 673.9	4 731.8	4 582.8	5 003.2	5 372.4	5 582.9	6 214.7	6 515.8	6 855.8
Gross domestic product at market prices	6 595.0	6 908.9	7 273.7	7 430.4	7 792.8	8 133.8	8 327.8	8 727.0	9 081.5	9 423.3
	1995 prices									
Private consumption	4 096.9	4 218.8	4 311.2	4 269.6	4 354.0	4 397.5	4 429.0	4 519.9	4 670.1	4 760.9
Public consumption	1 620.0	1 678.6	1 703.2	1 701.2	1 725.8	1 746.4	1 789.1	1 791.3	1 817.0	1 878.6
Gross fixed capital formation	1 657.7	1 589.1	1 616.4	1 566.5	1 565.5	1 642.8	1 656.4	1 767.4	1 849.0	1 937.0
Change in stocks	–22.1	–7.8	–17.3	–38.3	10.1	17.1	1.6	2.4	56.4	–4.9
Total domestic demand	7 352.4	7 478.7	7 613.5	7 499.0	7 655.4	7 803.8	7 876.1	8 081.0	8 392.4	8 571.6
Exports of goods and services	4 673.8	4 820.1	4 996.1	4 974.3	5 392.5	5 702.4	5 768.4	6 152.6	6 421.6	6 752.6
less : Imports of goods and services	4 473.7	4 600.5	4 789.0	4 771.7	5 117.2	5 372.4	5 414.7	5 722.8	6 096.6	6 368.3
Gross domestic product at market prices	7 552.5	7 698.3	7 820.6	7 701.6	7 930.7	8 133.8	8 229.9	8 510.9	8 717.5	8 955.9

1. Including statistical discrepancies.

Source: National Accounts Institute; National Bank of Belgium and OECD, *National Accounts*.

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Table C. **Income and expenditure of households and private non-profit institutions**

Billion francs

	1995	1996	1997	1998	1999
Compensation of employees	4 229.2	4 292.6	4 460.4	4 631.0	4 796.1
Wages and salaries	3 137.4	3 159.0	3 275.5	3 409.0	3 538.1
Employers' contributions to social security and others	1 091.8	1 133.6	1 184.9	1 222.0	1 258.1
Income from property and others	2 258.3	2 277.9	2 298.4	2 394.6	2 478.7
Transfers received form general government	1 605.0	1 638.3	1 679.2	1 728.5	1 748.5
Household income	8 092.5	8 208.8	8 438.1	8 754.1	9 023.3
less:					
Direct taxes	1 143.0	1 151.5	1 222.0	1 270.1	1 291.9
Current transfers paid	1 667.3	1 711.7	1 783.9	1 832.5	1 885.4
Social security contributions	1 493.8	1 530.4	1 613.8	1 663.6	1 746.3
Other current transfers	173.5	181.3	170.1	168.9	139.1
Disposable income	5 282.3	5 345.6	5 432.2	5 651.4	5 846.1
Consumers' expenditure	4 397.5	4 526.5	4 694.7	4 899.9	5 054.3
Adjustement for change in equity of households in pension funds	43.2	56.7	59.6	46.2	47.8
Household saving	928.0	875.7	797.1	797.7	839.5
Memorandum item:					
Saving ratio	17.4	16.2	14.5	14.0	14.2

Source: National Accounts Institute; National Bank of Belgium and OECD, *National Accounts*.

Table D. **Income and expenditure of enterprises**

Billion francs

	1995	1996	1997	1998	1999
Disposable income, gross	1 179.3	1 182.0	1 204.2	1 181.1	1 198.7
Change in equity of households in pension funds	–43.2	–56.7	–59.6	–46.2	–47.8
Saving, gross	1 136.1	1 125.3	1 144.6	1 134.8	1 151.0
Capital transfers and net acquisitions of non-financial assets	3.5	46.0	88.4	83.1	74.9
Gross fixed capital formation	961.5	1 010.7	1 097.4	1 177.8	1 243.7
Increase in stocks	16.8	–18.4	–19.9	–1.4	–14.4
Net lending, gross	161.4	179.0	155.6	41.5	–3.4
Consumption of fixed capital	638.0	698.6	750.6	819.1	883.3

Source: National Accounts Institute and National Bank of Belgium.

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Table E. **General government revenue and expenditure**

Billion francs

	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
Direct taxes	1 031.7	1 060.0	1 072.0	1 183.4	1 269.8	1 360.6	1 389.0	1 494.8	1 599.4	1 620.1
Household direct taxes	886.3	908.3	947.7	1 024.1	1 082.3	1 143.0	1 151.5	1 222.0	1 270.1	1 291.9
Corporate direct taxes and others	145.4	151.7	124.3	159.3	187.5	217.6	237.4	272.8	329.2	328.2
Indirect taxes	779.5	808.5	852.2	904.2	975.9	993.7	1 061.1	1 126.2	1 172.0	1 254.2
Social security contributions	995.7	1 086.0	1 156.4	1 211.5	1 254.1	1 281.7	1 307.2	1 364.2	1 408.5	1 459.5
Other current transfers received	15.0	17.4	17.2	23.3	24.0	24.4	25.2	22.4	29.1	35.3
Property and entrepreneurial income	84.2	97.0	94.7	92.1	79.9	82.7	96.9	86.9	86.3	78.9
Current receipts, total	2 906.2	3 068.8	3 192.5	3 414.5	3 603.6	3 743.1	3 879.4	4 094.6	4 295.3	4 448.1
Government consumption	1 339.3	1 448.3	1 528.2	1 599.6	1 671.4	1 746.4	1 812.0	1 857.2	1923.9	2 016.5
Subsidies to enterprises	109.4	116.6	115.1	119.6	116.9	122.6	130.4	122.3	132.1	139.9
Social security outlays	997.7	1 076.2	1 136.5	1 190.0	1 226.1	1 262.6	1 294.0	1 327.6	1 361.7	1 381.7
Other current transfers paid	109.3	130.9	139.4	151.6	163.6	163.2	175.7	189.4	198.0	205.5
Interest on public debt	782.9	782.3	811.2	829.1	754.7	755.9	740.2	701.3	695.7	677.1
Current disbursements, total	3 338.6	3 554.2	3 730.2	3 889.9	3 932.7	4 050.6	4 152.3	4 197.8	4 311.4	4 420.7
Saving	–432.4	–485.5	–537.7	–475.5	–329.0	–307.5	–272.9	–103.2	–16.1	27.4
Gross investment	108.2	115.4	128.1	144.7	152.6	133.8	124.4	138.2	132.4	170.2
Consumption of fixed capital	130.8	132.8	136.6	138.8	143.2	146.4	148.0	149.8	151.3	153.2
Net capital transfers received	–34.9	–40.9	–49.8	–64.4	–54.6	–56.7	–63.2	–74.7	–88.5	–72.0
Net capital outlays	12.3	23.5	41.3	70.4	64.0	44.1	39.7	63.1	69.6	89.0
Total expenditure	3 350.9	3 577.8	3 771.5	3 960.3	3 996.7	4 094.7	4 192.0	4 260.9	4 381.0	4 509.7
Net lending	–444.7	–509.0	–579.0	–545.8	–393.0	–351.6	–312.6	–166.3	–85.7	–61.7

Source: National Accounts Institute; National Bank of Belgium and OECD, *National Accounts*.

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Table F. **Area breakdown of foreign trade**

Million US$

	1994	1995	1996	1997	1998	1999
Exports, fob	143 658	175 849	175 356	171 880	178 288	177 503
OECD	122 816	149 882	149 922	145 646	154 798	153 232
EU	110 274	135 774	134 576	128 615	136 991	135 051
of which :						
Germany	29 313	37 429	35 195	32 083	33 653	31 432
France	27 517	32 459	31 693	29 777	31 854	31 469
Netherlands	18 963	23 537	23 568	22 080	22 836	22 440
United Kingdom	11 859	14 019	15 618	16 979	17 792	17 899
Italy	7 362	9 718	9 477	9 243	10 139	9 948
United States	6 710	6 491	7 206	8 370	9 108	9 372
Other OECD	5 832	7 618	8 140	8 660	8 698	8 809
Non-OECD	20 842	25 967	25 433	26 234	23 491	24 271
CIS (Commonwealth of Independent States)	925	1 315	1 731	2 024	1 544	1 055
OPEC	2 061	2 569	2 302	2 577	2 320	2 152
Other	17 857	22 083	21 400	21 633	19 626	21 064
Unspecified	671	638	742	656	288	604
Imports, cif	130 067	159 684	163 604	157 259	164 411	162 470
OECD	111 396	137 762	141 100	134 582	141 664	139 179
EU	94 609	116 493	118 869	111 872	117 012	114 576
of which :						
Germany	23 824	30 656	29 633	27 184	29 485	28 512
France	19 906	23 633	23 842	21 811	22 815	22 230
Netherlands	22 604	27 958	29 742	28 311	27 418	27 210
United Kingdom	11 938	13 844	14 536	14 301	13 882	13 899
Italy	5 355	6 607	6 654	6 059	6 519	6 310
United States	7 845	10 071	11 109	12 058	12 927	12 164
Other OECD	8 941	11 198	11 122	10 652	11 726	12 439
Non-OECD	18 671	21 921	22 504	22 677	22 746	23 291
CIS (Commonwealth of Independent States)	1 704	1 856	1 632	1 852	1 397	1 386
OPEC	1 587	1 508	1 660	1 940	1 961	1 936
Other	15 380	18 558	19 213	18 885	19 389	19 969
Unspecified	549	659	94	69	9	41

Source: OECD, *Foreign Trade Statistics*, Series A.

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Table G. **Commodity breakdown of foreign trade**

Million US$

	1994	1995	1996	1997	1998	1999
Exports, fob	140 854	167 718	170 799	170 654	175 958	178 862
SITC sections						
0. Food and live animals	13 918	16 710	16 856	16 209	16 375	15 351
1. Beverages and tobacco	1 371	1 441	1 512	1 337	1 272	1 569
2. Crude materials, inedible, except fuels	3 416	4 421	4 235	4 582	4 189	4 069
3. Mineral fuels, lubricants and related materials	4 685	4 765	6 865	5 190	4 253	5 195
4. Animal and vegetable oils, fats and waxes	722	953	692	806	879	762
5. Chemicals and related products, n.e.s.	22 040	27 553	28 040	30 022	31 912	33 531
6. Manufactured goods	36 085	43 965	42 683	41 696	41 917	42 132
7. Machinery and transport equipment	41 701	47 902	50 030	50 159	53 061	53 833
8. Miscellaneous manufactured articles	11 649	14 090	15 615	15 574	17 078	17 854
9. Commodities and transactions, n.e.s.	5 268	5 918	4 271	5 079	5 023	4 566
Imports, cif	127 589	152 350	159 380	158 320	163 995	164 603
SITC sections						
0. Food and live animals	12 093	14 950	14 576	13 721	13 879	12 839
1. Beverages and tobacco	1 637	1 887	1 864	1 835	1 987	2 116
2. Crude materials, inedible, except fuels	6 377	7 561	6 985	7 292	6 771	6 269
3. Mineral fuels, lubricants and related materials	8 558	8 958	11 419	10 976	8 293	9 417
4. Animal and vegetable oils, fats and waxes	632	714	708	822	809	740
5. Chemicals and related products, n.e.s.	16 830	21 688	22 712	23 710	27 018	26 379
6. Manufactured goods	28 522	34 077	34 344	34 073	34 547	34 160
7. Machinery and transport equipment	32 458	39 223	44 651	46 670	50 895	52 539
8. Miscellaneous manufactured articles	13 609	15 508	17 010	17 358	18 537	19 072
9. Commodities and transactions, n.e.s.	6 871	7 782	5 111	1 862	1 258	1 073

Source: OECD, *Foreign Trade Statistics*, Series C.

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Table H. **Balance of payments**

Million francs

	1995	1996	1997	1998	1999
Exports					
Goods	4 438	4 668	5 206	5 394	5 628
Services	877	908	1 032	1 103	1 206
Income	1 114	985	1 001	1 111	1 242
Imports					
Goods	4 110	4 345	4 857	5 072	5 337
Services	874	896	985	1 062	1 133
Income	993	844	848	953	1 077
Balance					
Goods	328	323	348	323	291
Services	4	12	47	41	73
Income	121	141	153	158	166
Transfers	–116	–126	–128	–150	–162
Current balance	336	349	420	372	367

Source: National Bank of Belgium and OECD.

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Table I. **Structure of output and performance indicators**

1. Structure of output (1995 prices)

	1995	1996	1997	1998	1999	1995	1996	1997	1998	1999
	Share of GDP (at basic prices)					Share of total employment[1]				
Agriculture, hunting, forestry and fishing	1.6	1.6	1.6	1.6	1.8	2.4	2.2	2.1	2.1	2.1
Mining and quarrying	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Manufacturing	20.1	20.4	21.0	21.0	20.8	18.2	17.9	17.4	17.3	16.9
of which :										
Food products, beverages and tobacco	2.7	2.8	2.5	2.6	2.5	2.7	2.7	2.6	2.6	2.5
Textiles and textile products	1.2	1.3	1.4	1.5	1.5	1.8	1.7	1.6	1.6	1.5
Pulp, paper and paper products; publishing and printing	1.6	1.5	1.5	1.4	1.5	1.4	1.3	1.3	1.3	1.3
Chemicals, chemical products and man-made fibres	3.6	3.8	4.2	4.1	3.8	1.9	1.9	1.8	1.8	1.8
Non-metallic mineral products	1.1	1.1	1.1	1.0	1.0	1.0	0.9	0.9	0.9	0.9
Metals products, machinery and equipment	4.2	4.1	4.3	4.3	4.5	4.1	4.0	3.9	3.9	3.8
Electricity, gas and water	2.8	3.1	3.2	3.0	3.2	0.8	0.7	0.7	0.7	0.7
Construction	5.1	4.9	5.0	4.7	4.8	6.1	6.0	5.9	5.8	6.0
Market services	46.1	45.8	45.8	46.4	46.3	37.4	37.6	37.9	37.9	37.9
Total market sector	75.9	75.9	76.8	77.0	77.0	64.9	64.6	64.2	64.0	63.7
Non-market sector	24.1	24.1	23.2	23.0	23.0	35.1	35.4	35.8	36.0	36.3

1. Domestic concept of employment.

Source: National Accounts Institute; National Bank of Belgium and OECD.

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Table I. **Structure of output and performance indicators** (*cont.*)

2. Economic performance (1995 prices)

	1995	1996	1997	1998	1999	1995	1996	1997	1998	1999
	Share of total investment					Productivity growth				
Agriculture, hunting, forestry and fishing	1.7	1.7	1.6	1.4	1.3	. .	3.1	9.0	5.5	10.7
Mining and quarrying	0.1	0.1	0.1	0.1	0.1	. .	–4.4	11.4	–13.9	–1.6
Manufacturing	16.6	18.5	19.6	18.4	18.1	. .	3.8	8.7	1.8	2.2
of which :										
Food products, beverages and tobacco	2.5	2.6	2.5	2.7	2.3	. .	3.9	–5.5	6.8	–3.4
Textiles and textile products	0.9	0.9	1.0	1.1	0.8	. .	21.0	16.2	9.6	3.2
Pulp, paper and paper products; publishing and printing	1.6	1.6	1.6	1.4	1.4	. .	–4.4	5.7	0.2	3.6
Chemicals, chemical products and man-made fibres	3.1	4.2	5.5	4.5	4.4	. .	8.2	15.9	–1.6	–6.2
Non-metallic mineral products	1.2	0.9	1.1	1.0	0.9	. .	–4.5	5.7	–7.2	4.7
Metals products, machinery and equipment	2.9	3.1	3.0	2.9	3.2	. .	–2.1	11.3	2.2	9.3
Electricity, gas and water	4.7	3.7	3.7	4.2	3.9	. .	12.8	7.1	–4.3	6.6
Construction	2.9	2.8	2.9	2.9	3.1	. .	–1.0	4.0	–2.4	0.3
Market services	59.5	60.4	59.4	61.1	60.2	. .	–0.9	2.0	2.2	0.9
Total market sector	85.6	87.3	87.2	88.1	86.8	. .	1.1	4.3	1.6	1.6
Non-market sector	14.4	12.7	12.8	11.9	13.2	. .	–0.6	–2.0	–0.6	0.3

Source: National Accounts Institute; National Bank of Belgium and OECD.

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Table I. **Structure of output and performance indicators** (*cont.*)

3. Other indicators (current prices)

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
R&D in the business enterprise sector as a per cent of gross domestic product in industry	1.54	1.49	1.40	. .	1.37	1.46	1.55	1.55	1.56	1.62	1.66	1.70	. .
Total R&D expenditure as a per cent of total GDP	1.64	1.59	1.64	. .	1.62	. .	1.75	1.74	1.74	1.82	1.84	. .	. .
Government funded R&D as a per cent of total	27.60	26.70	32.00	. .	31.30	. .	26.60	26.40	26.30	25.60	24.90	. .	. .
Breakdown of employed workforce by size of establishment:													
1 to 9 employees	15.07	16.01	16.08	15.97	16.14	16.3	16.4	16.7	16.7				
10 to 49 employees	20.84	21.45	21.78	22.07	22.39	22.5	23.3	23.3	23.3				
50 to 199 employees	21.58	21.64	21.42	21.33	21.72	21.8	22.4	22.5	22.7				
200 to 499 employees	14.72	14.57	14.86	14.98	14.53	14.8	14.6	14.3	14.2				
500 to 999 employees	9.6	9.39	9.42	9.19	9.3	9.3	9.3	9.5	9.3				
1 000 employees or more	18.17	16.95	16.46	16.42	15.92	15.4	14	13.7	13.8				
Total	100	100	100	100	100	100	100	100	100				
Workforce (thousands)	2 888.7	3 002.6	3 082.0	3 145.3	3 153.5	3 158.9	3 156.2	3 142.0	3 188.0				

Source: National Social Security Office and OECD, *Main Science and Technology Indicators*.

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Table J. **Labour market indicators**

	1980	1985	1990	1995	1997	1998	1999
A. Trend							
Standardised unemployment rate	8.3	10.4	6.7	9.9	9.4	9.5	9.0
Unemployment rate[1]	8.1	12.6	8.9	13.0	12.6	11.7	. .
Male	4.8	9.1	6.1	9.9	9.8	9.1	. .
Female	13.5	17.7	12.8	16.9	16.0	14.9	. .
Youth (15-24 years old)	. .	23.6	14.5	21.5	21.3	20.4	22.6
Share of long-term unemployment[2]	. .	68.9	68.7	62.4	60.5	61.7	60.5
Unfilled vacancies (thousands)	5.9	18.4	18.8	19.7	24.6	36.3	44.0
B. Structural and institutional features							
Labour force (per cent change)	0.3	–0.5	0.8	0.6	0.4	0.3	0.0
Participation rate[3]	63.0	62.0	62.6	64.4	64.8	65.0	65.0
Male	78.9	74.5	72.7	72.3	72.1	72.1	. .
Female	47.0	49.3	52.4	56.4	57.4	57.8	. .
Employment (as a percentage of population aged 15-64)	57.4	53.7	56.1	55.4	56.0	56.7	57.1
Employers, self-employed and family workers (as a percentage total employment)	16.3	17.8	18.0	18.8	18.6	18.2	18.0
Employees (as a percentage of total employment)	83.7	82.2	82.0	81.2	81.4	81.8	82.0
Civilian employment by sector (as a percentage of total)							
Agriculture	3.2	3.1	2.7	2.4	2.3	2.3	. .
Industry	34.7	30.2	28.3	26.4	25.3	25.1	. .
Services	62.1	66.7	68.9	71.2	72.5	72.6	. .
of which : General government	18.8	20.2	19.3	18.5	18.5	18.3	. .
Total	100.0	100.0	100.0	100.0	100.0	100.0	. .
Non-wage labour costs[4]	20.5	23.0	25.6	25.8	26.6	26.4	26.2

1. Registered unemployed as a percentage of civilian labour force.
2. People who have been looking for a job for one year or more as a percentage of total unemployment.
3. Labour force as a percentage of the corresponding population aged between 15 and 64 years.
4. Employers' social security contributions as a percentage of compensation of employees.

Source: OECD, *Labour Force Statistics* (Parts II and III) and *Main Economic Indicators*.

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Table K. **Public sector**

	1975	1980	1985	1990	1995	1997	1998	1999
Budgetary indicators : general government accounts								
(as a percentage of GDP)								
Primary receipts[1]	41.3	43.2	46.1	43.4	45.6	46.6	47.0	46.9
Primary total expenditure[1]	43.4	46.8	46.1	38.9	41.0	40.8	40.6	40.7
Primary balance[1]	–2.2	–3.6	0.0	4.5	4.6	5.8	6.4	6.2
Net interest payments	3.4	5.9	10.3	11.2	8.9	7.7	7.4	6.8
Net lending	–5.6	–9.5	–10.3	–6.7	–4.3	–1.9	–0.9	–0.7
Structure of expenditure and taxes								
(as a percentage of GDP)								
General government expenditure	44.6	50.3	55.7	50.6	49.8	48.1	47.5	46.9
of which :								
Transfers	16.4	17.8	19.1	16.8	17.5	17.4	17.2	16.8
Subsidies	2.6	2.8	2.4	1.7	1.5	1.4	1.5	1.5
Tax receipts	41.0	43.1	46.3	43.1	44.7	45.7	45.4	45.3
Personal income tax	12.8	15.1	15.8	13.4	14.1	14.0	14.0	13.7
Corporate tax	2.8	2.0	2.3	2.2	2.7	3.1	3.6	3.5
Social security contributions	3.0	2.5	2.5	2.4	3.0	3.4	3.9	. .
Consumption taxes	10.8	11.3	11.8	11.4	11.5	12.0	11.4	11.8
of which : Value added tax	6.5	7.3	7.2	7.1	6.8	6.9	7.0	. .
Other indicators								
Income tax elasticity	1.9	0.6	0.7	1.2	2.1	2.2	1.1	0.6
Income tax (as a percentage of total tax)	38.0	39.7	39.2	36.3	37.4	37.5	38.8	38.0
Gross general government debt (as a percentage of GDP)	57.6	76.1	118.5	124.9	129.8	125.2	119.7	115.9
Net general governement debt (as a percentage of GDP)	48.0	67.2	108.5	116.7	125.3	118.0	112.6	108.8

	Prior to		After
Tax rates (per cent)			
Personal income tax rates			
Top rate	72	1st January 1989	55[2]
Lower rate	17	1st January 1989	25[2]
Number of brackets	13	1st January 1989	7
Corporate tax rates	41	1st January 1991	39[2]
Standard VAT rate	20.5	1st January 1996	21.0

1. Excluding interest charges.
2. Excluding the solidarity tax surcharge (*contribution complémentaire de crise*) which has increased the tax rates by 3 per cent since 1 August 1993 (to 56.65, 25.75 et 40.17 respectively).

Source: National Bank of Belgium; OECD, *National Accounts* and *Revenue Statistics*.

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